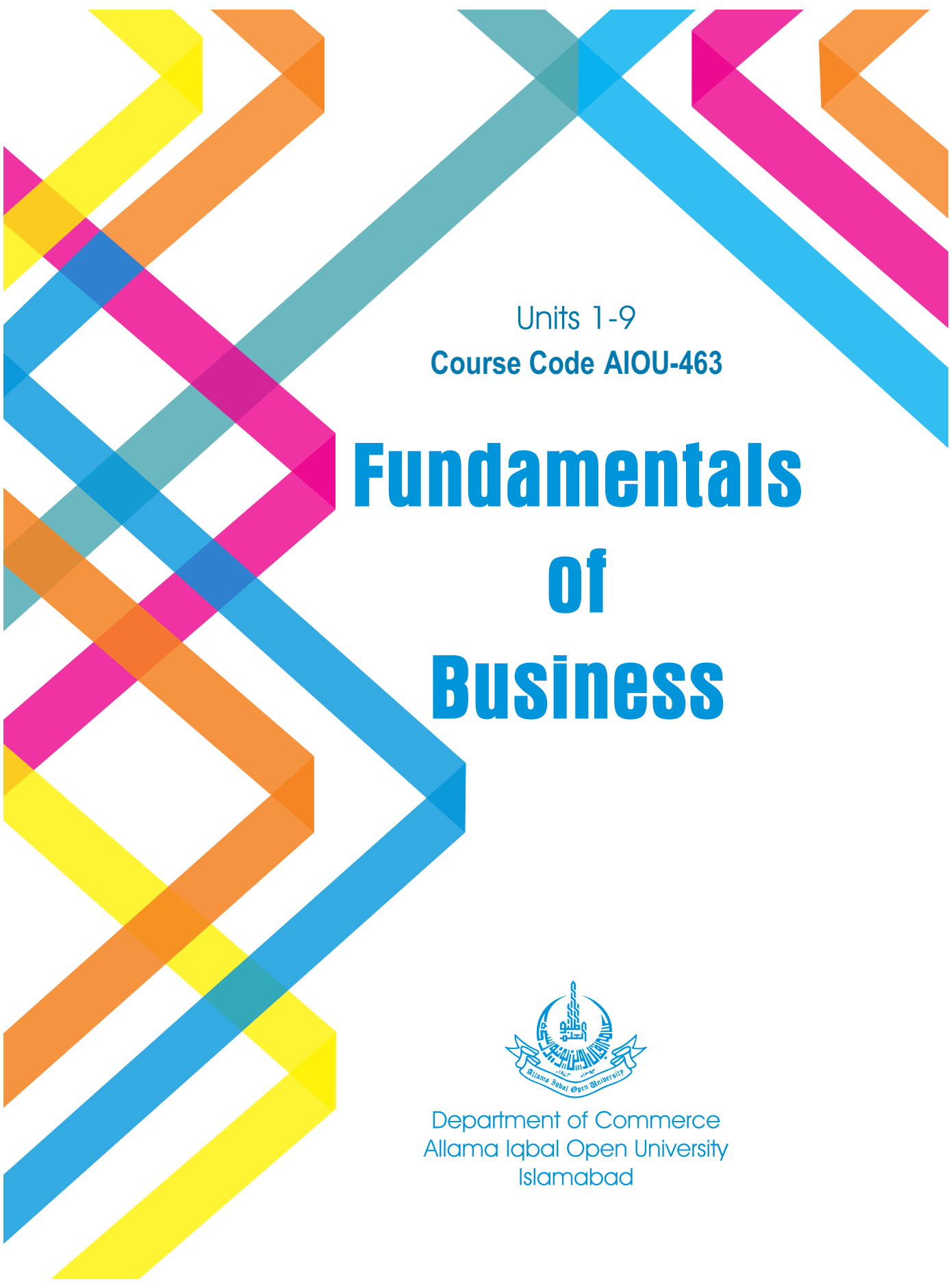




Units 1-9
Course Code AIOU-463

Fundamentals of Business



Department of Commerce
Allama Iqbal Open University
Islamabad

FUNDAMENTALS OF BUSINESS

Course Code: 463/5402

Units: 1–9



**DEPARTMENT OF COMMERCE
FACULTY OF SOCIAL SCIENCES AND HUMANITIES
ALLAMA IOBAL OPEN UNIVERSITY
ISLAMABAD**

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PREFACE

In the age of globalization and information technology, the field of business and commerce is undergoing significant changes around the world. This course of Fundamentals of Business is intended to present a comprehensive picture to the bachelor level students by highlighting the basics of the modern concepts of business in the 21st century. To compete in this challenging environment, a student is required to not only master the theoretical foundations but also the practical aspects of the course.

The revised course of Fundamentals of Business has incorporated the latest changes in the subject matter with a view to upgrade the practical knowledge of students. A considerable effort has been made to include daily life examples by featuring local businesses in the explanation of core concepts. A special focus has been placed on the small and medium size businesses as they represent more than 50% of market participants.

Throughout this text, an effort has been made to encourage students to conceive profitable business ideas and plan their own business establishment as innovation and entrepreneurship are key drivers of modern economy.

It is the tradition of AIOU to continuously update its books & revise course contents. Any suggestions from the readers will be welcomed.

Prof. Dr. Syed Abdul Siraj
Dean, Faculty of Social Sciences

COURSE INTORDUCTION

In this modern age, businesses are experiencing numerous challenges and significant changes in their operational aspects. A student of business studies needs to understand these issues and changes to correctly scan the business initiatives for designing a competitive business model. In this course, we have tried to describe the latest concepts emerging in the area of business studies and incorporated them in the context of Pakistan to present a day-to-day observable picture of the textbook material to the students.

The **Unit 1** presents a brief introduction of the business activities and core concepts in the context of overall economic systems with a key focus on the capitalism and its promises for the business. The **Unit 2** describes the various forms of a business (sole proprietorship, partnership, joint stock companies and co-operative societies) through which a business can be established in the legal manner comparing the advantages & disadvantages of each mode of working. In **Unit 3**, the practical side of the management of a business is discussed to inform students about the structure, strategy, human resource and operational aspects of a business which are necessary for the conversion of inputs into the saleable outputs.

In **Unit 4**, various modes of financing have been discussed which can be utilized for establishing and running a successful business. The comparative aspects of debt and equity financing have been compared and contrasted in the unit. In **Unit 5**, the focus has been on the operational aspects of the business for planning location and layout for the performance of business activities along with a discussion on inventory management. In the same manner, in **Unit 6**, the modern approach towards marketing & advertisement has been discussed with a view to put consumer dynamics at the center of any marketing strategy. The **Unit 7** prescribes the different support services which a business requires in the modern age to increase its sales and decrease its costs. These include access to capital markets for funding, using information technology, employing insurance and risk management solutions and access to international markets.

In **Unit 8**, a special attention has been given to the various regulatory authorities in Pakistan for which a business has to interact for various permissions and compliance. These institutions include FBR, SECP, CCP and labour Departments of the provinces. Lastly, in **Unit 9**, various techniques have been discussed to expand the business activities. These include mergers, acquisitions, consolidation and exports describing the pros and cons of each technique.

Errors and omissions are expected as writing is a continues exercise of improving the subject matter. Kindly inform us such discrepancies and give your valuable suggestions.

Moazzam Ali
Course coordinator

Unit–1

BUSINESS AND ITS NATURE

Written by: Moazzam Ali

Reviewed by: Dr. Syed Muhammad Amir Shah

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INTRODUCTION

The growth and development of an economy depends on the nature of businesses operating in it. A business in broad terms may include any activity performed to earn income or profit. In this unit, we shall study the business and its nature, types of different businesses and their role in an economy. If we learn how a business is organized and operated, we can start our own business or become a part of a running business and may contribute in the economic growth of the country. For this purpose, we have to understand the principles upon which the businesses are operated and their products that make them attractive to the customers. However, a business is not separate from the environment or society in which it operates; therefore, we have to develop a clear understanding of the interaction of businesses with environment to develop useful skills for running a business.

OBJECTIVES

The main objective of this unit is to give the students an insight into the nature, purpose, business systems, different factors affecting business and utilization of various opportunities provided by the business. In brief, the study of this unit will enable the students to:

1. Understand the concept and classification of business.
2. Create awareness of economic systems in which businesses operate.
3. Understand the concept of capitalism.
4. Analyzing the environmental factors from the perspective of a business.
5. Understanding the qualities required in a businessman.

1.1 BUSINESS AND ITS NATURE

1.1.1 What is Business?

In daily life, we purchase many products from the markets. These products are produced by different businesses operating in the markets. A market is a place where buyer and seller of a particular product meet and buyer purchases the product from the seller by paying a price. These businesses work in markets to sell different goods and services to the consumers by estimating their economic needs and wants for different products. *An economic need is a desire for which a good or service is required.* The different needs of customers include the need for food, clothes, residence, travel, entertainment etc. A business exists to fulfill these economic needs of the customers and earn profits in doing so. We can define business as *any legal activity done for purpose of earning profit by selling different goods or providing services to a person.* The above definition of a business has three main components: legal activity, profit and products.

i. Legal Activity

A business needs to be in the legal form in country which requires registering it with the relevant government department. The registration of business is necessary to make its activities legal. For example, the selling of car by a company is a business activity while the selling of a car by a smuggler is not considered to be a business activity. Generally, a government decides which activities are allowed to be conducted in a business and which are not, depending on their social and economic utility.

ii. Profit:

Profit is the main objective of a business. The profit is defined as an amount which a person receives from the consumers after deducting the relevant expenses. In a simple equation form it can be shown as:

$$\text{Profit} = \text{Sales} - \text{Expenses}$$

The profit is calculated by adding the all amounts received from the consumers and then deducting from it the all expenses incurred on the production and selling of that product. To increase the profit a business, a person is required to increase its sales and reduce its expenses.

iii. Products:

A business can be started in the form of selling goods or providing services to the consumers. For example, a company may start producing clothes to sell it to the consumers. Another company may serve its customers by opening a hotel and serving different foods. Every business exists to meet the economic needs and wants of the customers.

A business is started to supply goods or to deliver services to the public at reasonable price. The target of all businesses is to sell more products in the markets by meeting the demands of customers. The customers of a product include all people who buy the products of that company. The business of a company involves many steps to produce and deliver the product to the customer.

1.1.2 Features/Characteristics of Business

Following are some important characteristics of business:

i. Earning Motive

The basic purpose and function of the business is to earn profit. The profit is the return to the owners of a business who have invested their capital in the business. A business exists to maximize its profit by selling the products to the consumers.

ii. Legal Activities

All businesses need to register with the government, otherwise their activities are regarded as illegal. Further, business that does not include illegal activities such as smuggling, bribery, and robbery or the like illegal activities is not covered under the business.

iii. Satisfaction of Human Needs and Wants

The businesses exist in markets to fulfill the different economic needs and wants of the customers. These wants are served through the provision of many products in the markets. The good quality of products helps a business to grow and get more customers.

iv. Benefits for Society

The modern business concept is to serve society in terms of providing goods and services, providing employment opportunities & saving time of customers by providing high quality of goods.

v. Innovation

This means to include new and advanced features in the production of goods and services. For example, adding a camera in a cellular phone, including memory card facility and video features etc. are categorized as innovation in the business processes. A business can earn more profit by differentiation and innovation. In this way, the sales volume is increased which results in higher profits.

vi. Employment Opportunities

Business provides employment to oneself and society. In this way, higher living standards and social progress are achieved. The people are engaged in different professions through the conduct of businesses. It impacts positively upon national income growth, economic development and employment level.

1.1.3 Types of Business

There are many forms of business which exist all over the world. A brief description of these forms of business is described below:

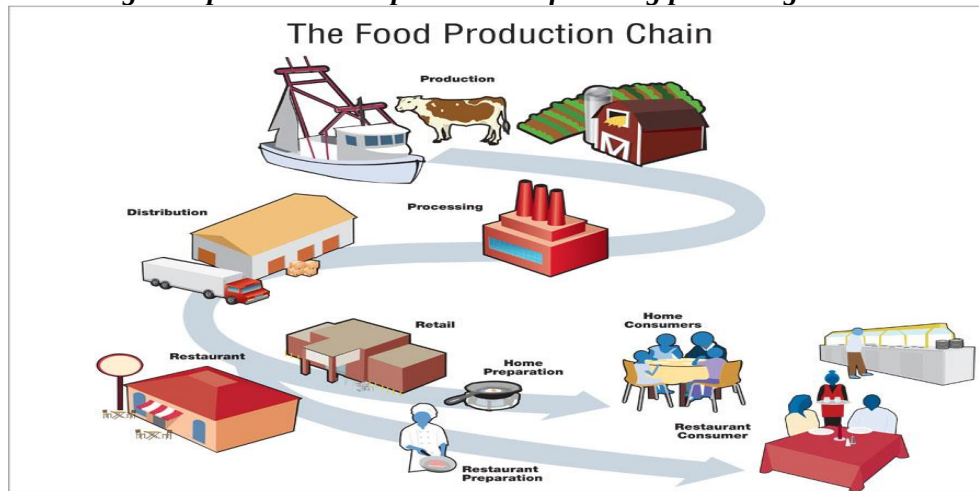
i. Manufacturing Business:

Manufacturing refers to those businesses which take raw material from other businesses and process it to make a finished good. Examples of such industries include cement factories, car producing factories, food processing units, shoe manufacturing companies etc. Manufacturing businesses can be classified into the following categories:

- a) **Extractive Units** is concerned with supplying commodities, which are extracted from earth like as oil and metals. The products of these industries are generally used by manufacturing and constructive industries for making saleable products.

- b) **Genetic Units** refers to industry under which plants and animals are grown for the purpose of sale to the consumers such as fishing, poultry and cattle forms etc.
- c) **Conversion Units** refers to those businesses which are working by converting the raw material through defined processes into the finished goods.

Figure 2 presents the steps in a manufacturing/processing business:



At first step the milk is collected in a dairy form from the cows. At second step the milk is boiled in a factory and packed. At third step, the milk is distributed through trucks to the retailers and the restaurants. At fourth step, the consumers buy the milk from the retailers and use it in their homes or served to the consumers in restaurants with tea or coffee.

ii. **Services Business:**

It refers to all those types of businesses which provide various useful services to the people. The service sector businesses include banks, insurance companies, law firms, doctors, engineers, advertising agencies, television, radio channels etc.

Services can be divided into three following categories:

- a. **Recreational Services** refer to the services provided by a business for the entertainment purposes. These include movies, theater, tourism, telecom etc.
- b. **Personal Services** includes the services provided by a business for meeting various individuals' needs. These include *restaurant*, retailing, doctor's clinic etc.
- c. **Professional Services** refer to the different services for supporting other business activities. These include lawyers, chartered accountants, tax practitioners etc.

iii. **Trading Business:**

It refers to the exchange or buying and selling of commodities; especially the exchange of merchandises on a large scale, between different places or communities; extended trade or traffic includes all those activities which help directly or indirectly in the distribution of goods to the end users. It is also called merchandising. Trading activities can be classified into the following categories:

- a) **Domestic trade** refers to those businesses which are involved in the buying and selling of goods within the boundaries of a country.
- b) **Foreign trade** refers to those businesses which are involved in the buying and selling of goods outside the boundaries of a country and is generally called exporting.
- c) **Retail trade** refers to those businesses involved in buying and selling of goods to the general consumers for the purpose of consumption. The businesses carrying out such activities are called retailers.
- d) **Wholesale trade** refers to the buying and selling of goods usually in bulk quantities to the retailers.

iv. Hybrid Business:

It refers to a form of business in which any of the above mentioned three types of activities are combined to satisfy the customers. For example a hotel may be engaged in the processing of food and then serving it to the consumers employing the both features of services and manufacturing. The different hybrid brands exist in Pakistan i.e. Gul Ahmad brand manufactures their clothes and then sells through their own IDEAS stores.

1.1.4 Types of Economic Systems

The business all over the world exists in different countries that have separate economies. These economies are run through different policies. These policies determine the form and shape of businesses in those countries. For example, a country may allow private companies to establish bank while another country may decide to allow only government institutions to form the banks. These differences in the different countries exist due to the presence of different economic systems in these countries. There are various economic systems being used throughout the world. These are discussed below:

a) The Command System: (Socialism)

In this type of system, the ownership and management of business is in the hands of a central authority, or the government. The allocation and use of resources is determined by political decision making and is under bureaucratic control is usually exercised over the whole range of economic needs in the nation, including military. This system predominates in the communist countries such as Russia and China. In Pakistan, this system works in the shape of corporations such as National Fertilizers Corporation, Pakistan National Shipping Corporation, Utility Stores Corporation of Pakistan, Pakistan Petroleum Limited etc. This system traces its origins to the socialism and communism which emphasized the role of state in the economic activities.

b) Market System: (Capitalism)

In contrast to the command system, this system ignores the role of central control of planning, government regulation, or public enterprises. The nation's business resources are employed and managed by private enterprises. The individual decisions of business owners and managers influence the prices, wages and costs in a competitive market. Competition in free market serves as an automatic regulator of supply and demand. Most of the English-speaking countries, European Union, Japan and developing countries in Asia and Africa have this type of system. This system is derived from the capitalism which encourages the role of individuals in deciding the economic activities.

c) Mixed Systems:

In 21st century, all business systems are a mixture of command and market systems. They mix private enterprise and social control in varying degrees, with one or the other predominating, various types of mixed business systems. This type of system is basically a mixture of capitalism and communism where private businesses are involved in markets along with some government run corporations. Almost, all developing countries have some form of mixed economic systems. In Pakistan, private businesses are allowed in many sectors of economy where private firms are working as per market conditions to supply the required goods and services to the consumers. However, some government organizations are also working in some economic sectors i.e. defense, air aviation, shipping, mining etc.

Figure 5 compares the capitalism and socialism:

BASIS OF DIFFERENCE	CAPITALIST ECONOMY	SOCIALIST ECONOMY
Resources Ownership	Privately owned	State owned
Foundation belief	competition brings out the best in people	cooperation is the best way for people to coexist
Earning of wealth	everyone works for his own wealth	everyone works for wealth which is distributed equally to everyone
Market Scenario	Level playing field	Protection to PSUs, Private enterprises are permitted in few businesses only
Govt. interference	Only in situations where laws have been broken	Fully involved
Employees motivation	Highly motivated on account of proportional benefits	Rarely motivated as performance is not rewarded
Merit	Perception of better economic growth because of competition	Equal distribution of income results in welfare of all
Demerit	Few individuals/groups attain powers, rest are exploited	Hard work is not rewarded, lazy employees also enjoy equal level of benefits

1.2 CAPITALISM

1.2.1 What is Capitalism?

After understanding business and its features, we need to understand the overall economic environment in which a business operates. The three types of economic systems are described in the previous section of the unit. Among them, capitalism is the most business friendly system as it regards the business activities as the fundamental to the economic benefits of the society. The capitalism is an economic system in which the resources of a nation are owned by the persons. This system separates the state and business sector. The followers of capitalism are called capitalists who believe that markets work in a better way without interference of the government. Hence, the role of the state is to regulate and protect the business.

The United States, Canada, Australia and England are the examples of the capitalist system, but with some elements of the command system in government regulation and public ownership of some production facilities, such as public utilities and power dams. However, in private enterprises competitive market forces and private profit predominate. In Pakistan, the major portion of our economic system is made up of private enterprises which work to provide various goods and services to the consumers. The main task for the business organizations in capitalism is to arrange the factors of production and apply them to make the products. A brief description of these factors is given below:

Factors of Production: (Inputs)

Factors of production refer to the inputs which are required for making any product. The task of a business organization is to arrange a suitable quantity of these factors of production and then performing business processes to make a finished good. For example, a person wants to make biscuits for which he will require the following inputs:

i. Capital

It refers to the monetary and physical resources which a business requires to start its operations. It includes the initial amount invested by the owners of the business and the plant & machinery required for starting the production. It also includes any loan taken from the bank for the purpose of investment in the business.

ii. Labour

It refers to the people working in a business to make different goods. The human beings are required for the efficient operations of the business. *The people working in a business organization are called employees.* The owners of business provide wages to the employees.

iii. Land

It is defined as God-gifted resources which a business is required for performing its activities. These natural resources include land, water, air, trees, minerals etc. Land is given reward in the shape of rent.

iv. Organization (Enterprise)

This fourth factor that brings together the other three factors of production is called organization. The task of an organization is to arrange the required factors of production and then apply them in a correct balance to make the products. In capitalism, the organization is the main driver of the economic activities because it takes risk and generates the business idea for a particular product. Organization gets reward in the shape of profit.

1.2.2 Principles/Characteristics/Features of Capitalism

The most outstanding characteristic of capitalism is the freedom. Three basic freedoms of rights of capitalism are discussed below:

i. Private Property

This means that individuals and business firms have the right to purchase, own, and sell property of all kinds, including land, building, machinery and equipment. The ownership of resources does not belong to the government.

ii. Private Enterprise

This means that businesses are owned and managed by the individuals who have invested their own funds in the business of their own choice from the operation of which they hope realize gains/ profits for themselves. Any person wishing to do legal business has right to form a company or partnership firm to start its activities.

iii. Freedom of Choice

It means that everyone has freedom of choice in his economic actions. A person may start any business of his choice within the legal boundaries. Thus the businessman is free to choose the land, capital, and management as he sees fit in order to achieve the highest degree of profit.

iv. Voluntary Exchange

The buyers and sellers in capitalism are free to exchange the products in markets at the prices they think reasonable. *Price is the amount of money for which a good or service is exchanged or sold.* It is determined by demand and supply of various types of goods and services in the market. The government has no role in fixing the price of any product in the market.

v. Competition

This means that the organizations in each line of business compete with each other in the sale of their products or services. Competition is the basic characteristic of capitalistic system. The level of competition in a market can be high with many businesses trying to sell the similar type of products or it can be low with only one or two businesses making that product.

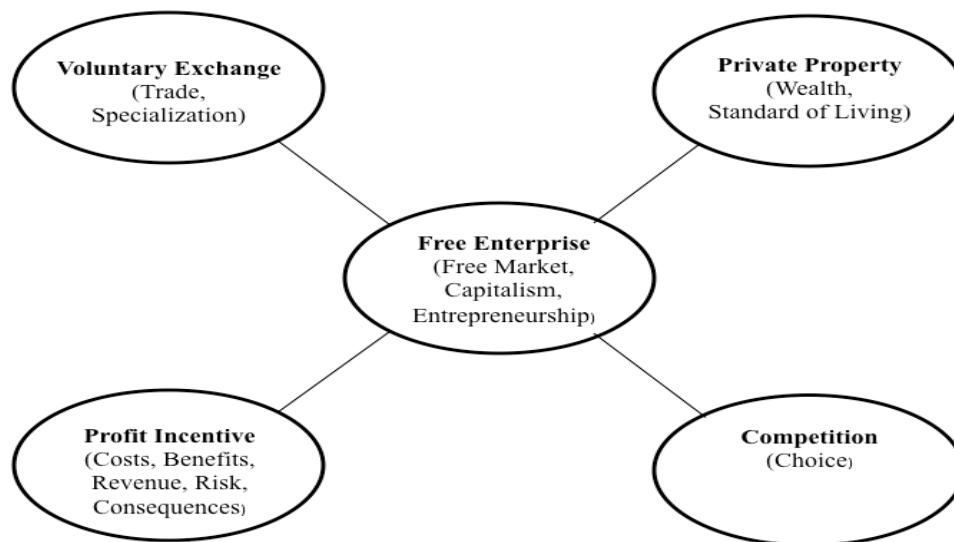
vi. Risk

It refers to the chance of success or failure of a particular type of product in the market. The examples of risk are changes for loss through changes in price level, changes in style and fashion, the appearance of similar products in the market. In capitalism, a person faces the risk of success or failure of a product.

vii. Profit

It is the excess of income of an enterprise over the cost of its operation. When, however, the income of a business is insufficient to cover its cost, there is loss. An entrepreneur accepts the risk of loss when he enters the business to earn profits. All the profit of a business belongs to its owners.

Figure 6 shows the various aspects of capitalism:



1.2.3 Role of Stakeholders in Capitalism

The following four groups of individuals play important roles under capitalism:

i. Entrepreneurs

An entrepreneur is a person who thinks a new business idea and starts a new business by collecting the factors of production. This includes an individual or a group engaged in business under capitalistic system and who has the necessary capital (or can secure it) for entering into a business in a form which he considers will give him an opportunity to earn profit for himself.

ii. Management

The persons responsible for operating the business enterprises and for endeavoring to do so profitably are commonly referred as the management. These include managers of different departments in a business organization. The management is under pressure in capitalism to produce the good quality products at lower costs to satisfy consumers.

iii. Employees

These are the persons who perform the actual physical and mental labour necessary to produce various types of goods and services. Workers or employees are given instructions by the management to carry out different tasks in the organization to produce the goods.

iv. Consumers

Every individual in an economy is a consumer as the consumers have so many things for his use. Consumer demand for various goods and services determines the success or failure of the businesses in an economy. In capitalism, the consumers constantly demand better quality and a reduction in prices.

v. Government

The role of government in capitalism is relatively lesser by allocating more space to the private sector. In capitalism, government generally makes rules for the efficient working of the markets. All other activities of production, sales, advertisement etc. are handed over to the private businesses. However, the government has power to collect different taxes from the businesses operating in a country.

1.2.4 Advantages and Disadvantages of Capitalism:

The advantages are:

- i. Choice** - Individuals choose the type of products to consume and this choice brings more competition and better products in the market.
- ii. Efficiency**- Goods and services produced by observing the market demand create incentives to lower costs and avoid waste. The efficient production of goods enables the producers to supply goods at lower rates to the consumers.
- iii. Growth**-Capitalism increases the Gross Domestic Product (GDP) that improves living standards. The overall economy gains more by the expansion and stating of new businesses.
- iv. Motivation:** Entrepreneurs are more motivated to produce more as the ownership of resources is held by them. All the profits belong to the owners so they work hard to produce good quality products.
- v. Innovation:** The competition in the markets in capitalism encourages businesses to produce the new product ensuring the better quality for the consumers.

The disadvantages are:

- i. **Monopolies**- Firms with monopoly power (when a particular person or enterprise is the only supplier of a specific commodity in the market) can abuse their position by imposing higher prices.
- ii. **Inequality** - A capitalist society is based inherently on the right to pass wealth down to future generations. If a group of people hold all the wealth and that wealth continues to be passed down to the same groups of people, inequality and social division can occur.
- iii. **Recession and unemployment** - An economy based on the capitalisms invariably going to experience growth and decline. This decline is inherent in the nature of capitalism.
- iv. **Advertisement**: The needs and wants for a product created in the minds of people through advertisement affecting their independence ability to think on what is better for them.
- v. **Human Values**: The capitalism places more trust on the profits and business growth than on preserving the human values. The cultural aspects of human life is ignored or compromised in the search of more profits.

1.3 BUSINESS ENVIRONMENT

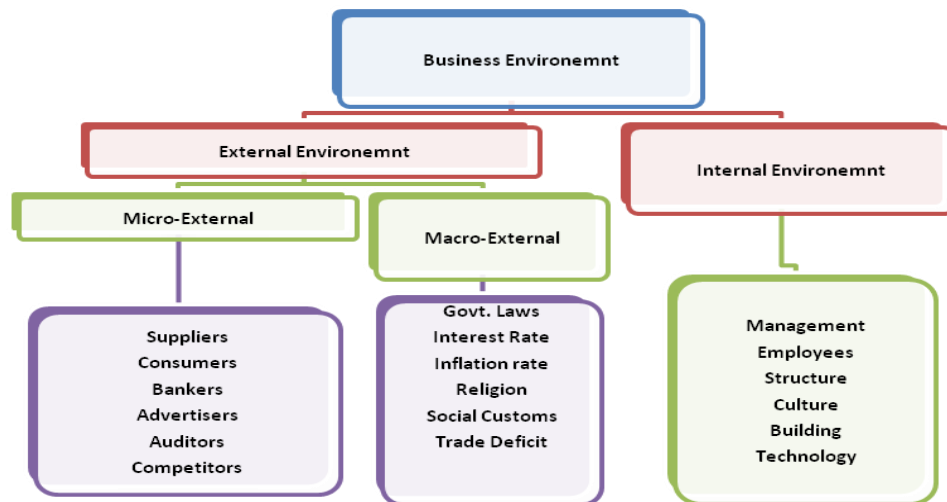
1.3.1 Meaning of Environment

After understanding the features of business and the key principles of capitalism, we are now in a position to analyze the environmental factors that affect a business. When a business decides to launch a new product or a person decides to start a new business, his/her idea is affected by the presence of various factors in the market. These factors or forces are required to be studied and planned by the person before practically starting a business. The business environment is defined as all factors that affect the business organization and its operations. These factors are categorized in two ways: internal factors and external factors. The internal factors include all those issues which have an effect on the business operations from within the organization. These issues include employees, culture, capital, building, culture, management, sales team etc. These factors have an impact on the performance of the business.

Secondly there are external environmental factors which also have an impact on the performance of the business. These are further classified in two categories: micro factors and macro factors. The micro external factors include the number of firms in competition with the business, suppliers, customers, agents, dealers, customers etc. The success of a business depends on a good relationship with these factors. A business organization can increase its profit by making policies that are good for the parties in the micro external environment.

The macro external environmental factors include the political system of country, the economic development of a country, the technological progress in a country and the social issues that can affect the business operations. All businesses operate within the boundaries of particular countries. The governments in different countries have made laws for the monitoring of business activities. Further, a business increase its profit, if it is working in an economically develop country. In addition to this, social habits, culture, religion etc. also effect the business operations in a country.

Figure 7 presents the internal and external environmental factors:



1.3.2 Interaction of Business and Environment

The above mentioned internal and external environmental factors affect the performance of a business. An analysis of the effects of the environmental factors is necessary because it helps to correctly understand the market conditions which in turn guides toward producing a good quality product.

There are many ways in which the factors operating in the internal environment affect the business activities. For example, any change in the management of a business may have dramatic effects on its performance. If the owners have hired competent and experienced managers, the sales and profits of business will increase in short period. Similarly, if a business has constructed a new building with state-of-the art facilities, it may also improve the level of hardworking of employees. Likewise, adopting new technology in machines and plants may also increase the production processes leading to the more profits. In the same manner, hiring of skilled labor may also contribute towards more production in least time.

The micro-external environmental factors also affect the performance of the business. For example, the selection of a supplier who provides low quality raw material for making a product may negatively affect the sales of a business. Similarly, the increase in number of competitors in the market may also reduce the sales volume leading to lower profits. Further, the change in taste and preferences of the consumers may also reduce the sales of a business resulting in reduced profits. Likewise, any positive or advertising practice may also increase the sales of a business.

In addition to all these factors, the macro-external environmental forces also play their role in shaping the results of a business. For example, any change in the government in a country may lead towards higher tax rate for the business resulting in lower profit margins for the business. In the same manner, the decrease in interest rate in an economy also impacts the performance of a business by reducing the costs of getting bank loan. Further, any technological change in the external environment also forces the business to adopt new technology to produce high quality products. Similarly, any change in the social habits also leads towards making adjustments in the design and packing of the product to satisfy the consumers.

1.3.3 Analysis of Environmental Factors/Environmental Scanning

It refers to the careful analysis of the forces operating in the external and the internal environment of a business to determine the opportunities for making more profits or highlighting the threats existing in the environment. There are various internal and external environmental factors affecting the business negatively or positively. The factors described above are analyzed for determine the strategy of a business to succeed in selling more products and increasing the profit. The internal and external factors are studied deeply to find the new customers for the business, improving the production processes and dealing with the political and economic factors in a country. Only the careful analysis of these factors enables a business to correctly estimate the business potential in a market. The task of manager is to study the environmental factors in detail and formulate a good policy to deal with all these factors and increase the profit margins.

Internal Factors

Internal factors are those issues which affect the business within an organization. These include employees, processes, management, sales, advertisement, assets, plant etc. The strategy selected by a business is greatly influenced by these factors as the achievement of business objectives requires a team work from all the people in the business organization. The internal strength of a business makes it capable of meeting with the external challenges effectively. The right direction of human resource policies, accounting system, sales team efforts, quality assurance and effective feedback system are necessary for the efficient functioning of an organization. To analyze the internal environment, we use the SWOT analysis.

SWOT Analysis

SWOT analysis is a technique used for analyzing the internal business issues in an organization. SWOT stands for *Strengths, Weaknesses, Opportunities and Threats* in the context of a business. This type of analysis helps a business to rightly understand its strong areas that it can use for gaining more market or increasing its profits and it also highlights its weak areas where its performance needs improvement. Similarly, this analysis helps a business to find opportunities in the external environment for introducing a new product or improving an existing product. Lastly, this analysis brings into the frontline the threats that exist in the external environment affecting its profits. This technique is widely used by the businesses all over the world to decide their strategies.

Figure 8 presents the format for doing a SWOT analysis:



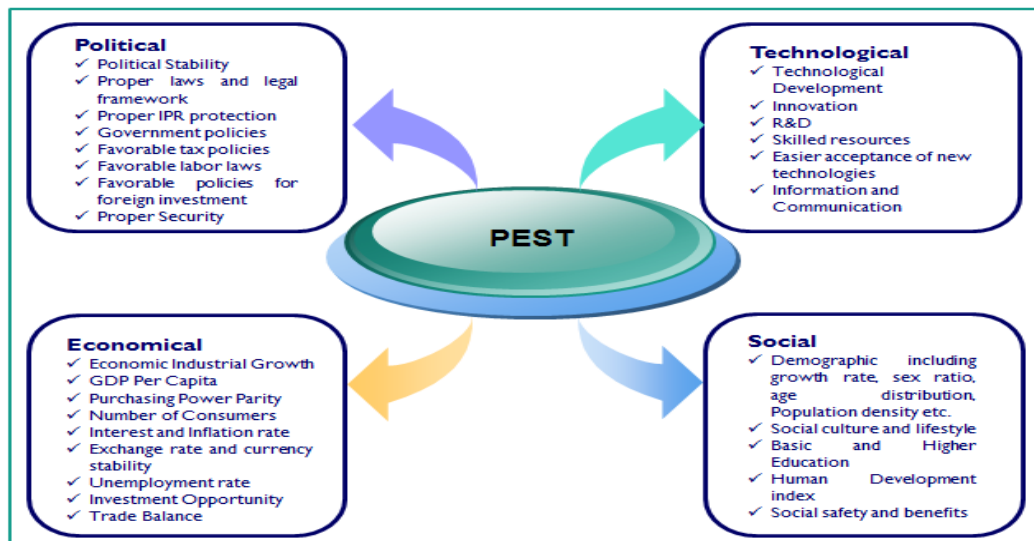
External Factors

These factors exist outside the business but regularly affect the business operations. These are classified into two categories; micro and macro. Micro-external factors include industry situation, competitors, suppliers, customers etc while the macro external factors include political, economic, social, technological, legal and environmental issues that affect a business. All businesses operate within the framework of these factors and any change in them is bound to affect the business. The challenge for a business is to correctly scan the changes happening in the external environment and adjust the strategies of the business in accordance with the new realities to achieve the business objectives. To effectively, identify and evaluate the external factors affecting a business entity, a technique called PEST is used.

PEST Analysis

PEST stands for Political, Economic, Social and Technological factors. This method is used by the businesses to correctly identify the political, economic, social and technological forces that are relevant for the growth and profitability of a business. This method highlights the potential hurdles or incentives in a political system, where the business is operating. It also consider the economic factors like interest rates, GDP growth rate, unemployment, per capita income etc. in deciding the future course of action for the firms. In social factors, this method considers the culture, taste, habits, customs, religion, geography etc. of the customers to rightfully apply the relevant strategy to achieve the business objectives. At the end, it looks for technological changes happening in the external environment and highlighting the potential gains from the use of new technology.

Figure 9 presents the points considered for PEST analysis:



1.4 OPPORTUNITIES IN BUSINESS

1.4.1 Business Opportunity

After analyzing the environmental factors, we can determine the business opportunities present in the market for a business. *A business opportunity refers to the presence of demand of a particular product in a market but the absence of supplier of that product.* The customers of a product may require it for meeting their needs but the non-availability of the business related to that product presents an opportunity to the businessman. In every country, there is always an opportunity for the businesses to start and expand their operations. Even in poor countries, various businesses are flourishing due to the presence of entrepreneurs who seek business opportunities. *An **entrepreneur** is a person or organization who identifies a business opportunity and gathers all the relevant human, physical and financial resources to produce what consumers demand.* In reality, an opportunity is the correct demand estimation by a person in a country for a particular product.

To find a business opportunity, an entrepreneur will first study the features of market in which he wants to do a business. These features include the following key areas:

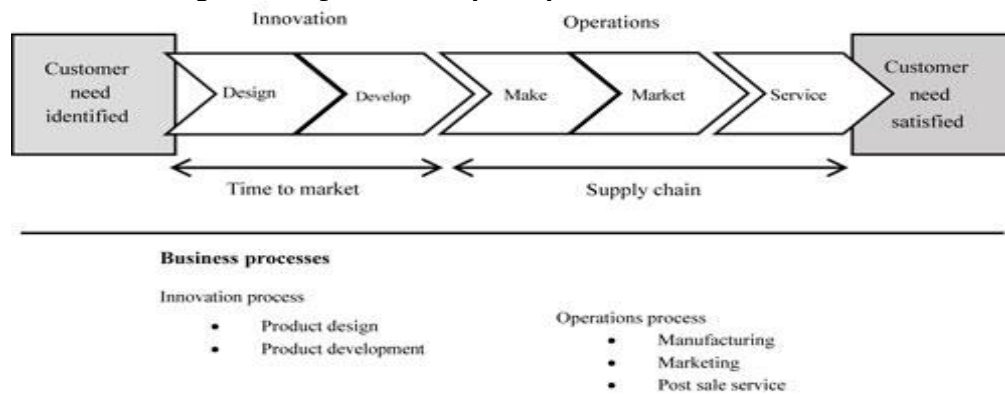
- a. Number of products in the markets
- b. Number of competitors in the market
- c. The price of existing products
- d. Number of consumers/users of the product
- e. The taste and preferences of the consumers
- f. Govt. approvals required
- g. Labour laws & rate of tax
- h. Number of suppliers of the raw material
- i. Number of dealers & distributors required

1.4.2 Which Area of Opportunity to Select?

One of the problems that everybody has to face is to decide which area of business he should adopt to work as many opportunities are available in different business fields, such as in creation of raw materials, manufacturing, transportation, wholesale services, retailing, service business and others, It is true that some forms of economic enterprise are increasing in activity. They therefore present relatively more opportunities. Some areas of economic activity are decreasing in importance, and therefore probably offer less opportunity. The fact remains that there are tremendous opportunities in all areas of the economy.

The practical process for selecting a business opportunity starts with thinking about the overall business climate in a country and then planning for meeting the specific needs of people with the desired products.

Figure 10 represents the flow of activities in a business:



The above figure shows that at first stage, a business needs to identify the needs and wants of customers. Then at second stage, the business design its product by considering the income and taste of the customer. Next the product is manufactured by getting the right raw material. After that, the product is delivered to the customer by charging the right price. Only a good quality, timely delivered & reasonably priced product can satisfy the needs of customers.

For example, if there is a shortage of biscuits in a market then an able entrepreneur will plan for meeting the consumers demand. For this purpose, he will first estimate the number of customers that visit that particular market along with knowing their tastes and preferences. At second stage, the entrepreneur will plan how to supply the biscuits to the market. To achieve this objective, he can manufacture the biscuits or as an alternative he can place an order to an existing biscuits manufacturer to make the required biscuits at a price. At third stage, the entrepreneur will supply the biscuits to the market at price that will include his profit margin.

Before deciding, therefore, which area of opportunity to select in business, one has to consider several factors such as the leadership qualities necessary for success on the job etc.

1.4.3 Factors to be Considered Before Selecting

Following factors should be taken into consideration at the time of deciding which business to start:

A. Personality Factors:

i. Business Vision:

The success of a business depends on the future vision of its founders. A vision is dream of the success an entrepreneur wants to achieve. The attractive, reality based and challenging vision motivates the employees to work hard in a business.

ii. Experience:

Some experience of work during school/college years or during vacations is also a desirable factor in helping in decision of the vocation. The experience gives an entrepreneur the necessary understanding in highlighting the details of a business.

iii. Education:

The success of a business depends on the level of education of the entrepreneur. An educated person will do a business in a more friendly and profitable way as he can understand the requirements of the customers in a good way.

iv. Contacts:

The success of a business depends on the contacts a person has in market. A good relationship with the suppliers, dealers, retailers, transporters and government officials helps to achieve the objectives of a business successfully.

v. Independence:

The independence and free thinking is very important for a business to start and succeed. The first step of a business idea is always an imaginative thinking or a dream. To turn this dream into a reality is the task of an entrepreneur.

B. Professional Factors:

i. Money:

The first factor is the collection of financial resources for a business as all businesses requires initial capital. It can be in the form of personal capital, loan from friends/family or from a bank.

ii. People:

The second important thing to consider in a business is the selection of hardworking and creative employees to start and run a business. A business always requires some team efforts for the efficient completion of tasks.

iii. Market:

The third factor to be considered before starting a business is the market conditions. It refers to the level of market competition, number of customers, distribution channels, quality standards etc.

iv. Approvals:

All business requires government approvals and registration. The registration of a business requires certain conditions to be fulfilled and criteria to be met out.

v. Suppliers:

The finished product of a business needs certain raw material from the suppliers. The suppliers provide the necessary material for developing a good quality product.

1.4.4 Qualities of a Successful Businessman

Following are the major qualities of a successful businessman:

i. Knowledge and Skills

A good businessman should have a good knowledge about the business he is in. He should have knowledge with trade, marketing, business laws and banking. He should also have some knowledge of mathematics and accounting for proper analysis of business data. Further, as this is the age of computers, so the knowledge of managing business on computers is also helpful in achieving the desired results.

ii. Vision

A businessman needs a vision for the future. A vision is the objective which a businessman wants to receive in the next 15 to 20 years. It is the long-term goal for which the business strives and tries to achieve it by organizing the all business activities. The attraction of a business vision motivates the owners and employees to work hard and achieve the desired results within time.

iii. Ability to Plan and Organize

An entrepreneur must have the ability to plan and organize it. He must have an eye on the past performance of his business, its capacity to produce for the future demand of his products, etc. If he has the foresight ability to plan its operations for a period ahead, the business will be successful and the entrepreneur will enjoy profit.

iv. Ethical Standard

The ethical standards of business are that, there should not be the role of cheating, fraud and commercial bribery in the business. An entrepreneur using unethical practices will soon find himself without customers. A good businessman has the social, moral and religious responsibility to follow the ethical standards of business to earn good profit and stay longer in the market.

v. Honesty

The honest businessman always gets higher number of customers for its products in market. The honesty is required in using the good quality raw material and ensuring high quality in production processes. Further, the cheating and fraudulent advertising practices should not be encouraged as these activities lead to the loss of customers' confidence.

vi. Creativity

The business world of today is much more dynamic. An entrepreneur should have the ability of taking initiative by producing new things; new methods of marketing the products and services. The business opportunity, creative imagination is regarded the most productive asset in the business.

vii. Leadership

The success in the business depends mainly upon the faithfulness and cooperation of each employee in the company. The employees mainly look up to their managers and what their managers are doing strongly affects how his workers are performing. So, for a business to be productive and successful, they should have a manager with a good leadership character.

viii. Sound Financial Management

Business is all about managing the money, whether it is coming into the business in the form of sales revenues, owners' capital or banks loan or is going out of the business in the form of payment to suppliers, utility bills payments, tax payments etc. The main task of a businessman is to rightly manage the cash inflows and outflows in a business. The excess and shortage of cash, both, creates problems in a business.

ix. Understanding Customers

A good businessman is always attached to its customers. The correct understanding of the customers, their tastes and preferences help to design the products in a customer friendly way. The listening to the needs and requirements of the customers gives an important feedback to the businessman and he can redesign his business processes to help the customers.

SUMMARY

Business is an activity organized to provide goods and services with a motive to earn profit. Although profit is necessary, private enterprise has other incentives as well as services. The main characteristics of business are profit making, serving society and creating employment opportunities. All businesses operate in the different economic systems. First is the command system (socialism) under which the total control of the business is in the hand of an authority or government. The second is market system (capitalism) under which

the resources of the nation are employed and managed by the private sector. The third is mixed economic system in which the private and public ownership co-exists.

Capitalism gives the freedom to have private property and enterprise and also freedom of choice. The various stakeholders play important role in the capitalism are; entrepreneurs, management, workers, government and consumers. There are various aspects of capitalism which need careful study. They are capital, production, distribution, price competition, risk and profit. Under the socialism, there is no private property.

The environment within which business operates influences its entire structure and component parts, in turn, business and its environment. These environmental factors are classified in two categories: internal and external factors. The internal factors relate to the forces inside a business (management, culture, building, technology etc.) and the external factors are the forces operating the environment outside the business (political, economic, social etc.).

Before a business decision is made, various factors such as a vision, experience of work, course attended, and vocational literature, business histories and articles studied should be taken into consideration. After these things have been taken into consideration, the availability of opportunities in various fields should be studied. These opportunities may be doing your own business, marketing, manufacturing, personnel, finance, management, transportation, public utilities and government services.

Test Questions:

1. Define business. Explain the importance of business in the development of Pakistan.
2. Explain the nature of business. What are the core objectives of a business?
3. Define capitalism. What are important characteristics of capitalism?
4. Explain the various environmental factors affecting the business.
5. What are advantages and disadvantages of capitalism? Explain in detail.
6. What are the personal & professional factors helpful in availing good business opportunities?

Activities:

Visit a manufacturing factory and after seeing its premises in detail.

1. Prepare a list of:
 - a. Products manufactured
 - b. Production departments
 - c. Offices
 - d. Service divisions/departments
2. Prepare a flow chart of work from raw materials up to dispatch of finished goods for marketing.

Unit–2

FORMS OF BUSINESS OWNERSHIP

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INTRODUCTION

As you have already studied in Unit 1, the private business is an important feature of a capitalistic society because of the freedom of doing business. The majority of businesses in Pakistan are owned by the persons who risk their funds in starting and running a business. The business may be run by a single person on his own risk, or he may share the ownership with one, two or even thousands of people who wish to invest their funds for profit in successful business. There are many ways of operating a business when you decide to set up your own business. This unit aims to educate you on all these areas by describing the merits and demerits of each of them.

OBJECTIVES

The objective of this unit is to introduce the student to different way of operating a business and also to the role that management and organization play in the successful conduct of business firms, regardless of the forms of ownership adopted by their proprietors. After studying this unit, the student will be able to:

1. Different forms of business ownership and their legal implications.
2. Sole proprietorship and its characteristics.
3. Pros and cons of establishing business as proprietorship.
4. Partnership and its essential elements and characteristics.
5. Joint stock companies and their legal requirements.
6. Other forms of business: State Owned Firms & Co-operative Societies.

2.1 SOLE PROPRIETORSHIP

2.1.1 What is a Sole Proprietorship?

In unit 1, we have studied the features of business and methods to find the business opportunities in the markets. A business exists to supply the goods and services to the consumers who demand it. The establishment of a business requires certain procedures to be fulfilled. These procedures depend on the form of business a person chooses to apply in a market. The forms of business generally practiced in Pakistan are sole proprietorship, partnership and the joint stock companies. A business needs to be set-up in any of the above mentioned form and each form requires different procedures for registration with the government departments.

The first form of starting a business is the sole proprietorship. *A sole proprietorship is a business owned and managed by one person.* The sole proprietorship can be set up in minimum time and is easy to manage and control. The owner of a sole proprietorship has complete control over the business assets and its operations. He is legally responsible for all debts and legal actions against the business. A sole proprietorship is suitable for small scale businesses. For example, if a person wants to establish a shop for selling different goods to the consumers, the format of sole proprietor is most suitable for him. In Pakistan, the sole proprietorship is generally used for running the small businesses in the shape of shops of different kinds i.e. *kiryana* stores, tailors, street vendors, Sunday bazaar etc.

2.1.2 Key Features of a Sole Proprietorship Business

- i. There is no formal requirement of registering with the government department in the case of sole proprietorship. However, a business can register its name as trade mark for saving his brand name and reputation.
- ii. It provides time saving as the decision making is in direct hands of owner. The owner manages and controls the entire operations of the business.
- iii. All profits or losses of the business are transferred to the owner of the business.
- iv. The initial start-up costs for establishing a sole proprietorship are low.
- v. A sole proprietorship requires minimum number of employees.
- vi. Owner has unlimited liability which means that in case of non-payment of liabilities by the business, the assets of the owners can be sold.
- vii. It can be ended when the owner becomes disabled or dies. However, it may continue in the form of family business.
- viii. It is difficult for a sole proprietorship to raise bigger capital amount. The financial resources are generally limited to the owner's funds and any personal loans.

2.1.3 Advantages of Sole Proprietorship

a. Easy to Form and Wind-up:

A sole proprietorship can be set up easily and quickly. It does not require long legal formalities and approvals from the government departments. It can be started in lesser time with small amounts of initial expenditures. Further, if a person wants to close up his business, he can do it without too much worry.

b. Independence of Decision Making:

A sole proprietor is independent in his decisions. He is not bound to take advice from others in the business matters. If he wants to make a decision, he does it in his own capacity as per his thinking. This results in making quick and timely decision for the business.

c. Direct Motivation:

The sole proprietor receives all the profits of business which results in creation of incentives for him to work hard and satisfy the demand of consumers in a better way. The greater ownership of rewards and profits motivates the sole proprietor to make his products in a good manner.

d. Keeping Business Secrets:

Business secrets are the methods of making a product which if leaked to others can destroy the foundations of a business. These secrets include formulas, processes, raw materials etc. that a business uses in developing product.

e. Close Personal Relations:

The sole proprietor is always in a position to maintain good personal contact with the customers and employees. Direct contact helps the sole proprietor to know the individual likes, dislikes and tastes of the customers. It also helps in maintaining close and friendly relations with the employees. Thus, he can run the business smoothly in an efficient manner.

f. Employment Opportunities:

Sole proprietorship form of business organization leads to creation of employment opportunities for the people. Sole proprietorship not only provides employment opportunity for the owner but also provides job opportunities for others. Thus, it helps in reducing poverty and unemployment level.

2.1.4 Disadvantages of Sole Proprietorship

i. Limited Capital:

In a sole proprietorship business, the owner arranges the required capital for the business. It is difficult for a single individual to raise a huge amount of capital. The owner's own funds as well as borrowed funds sometimes become insufficient to meet the requirement of growth and expansion of the business. Generally, banks hesitate to lend money to sole proprietors.

ii. Unlimited Liability

The sole proprietor of the business is held personally liable for the debts and obligations of the business by the court in case of default. If loans exceed the assets of the business, then the personal property of the owner is sold to recover the debts from him.

iii. Inefficient Decision Making

All responsibilities and business decisions fall on the shoulders of the sole proprietor. Running a small business entity can be very challenging since; the owner makes decisions alone, no one questions his actions. The benefits of team work are not available here.

iv. Limited Size:

There is a limit beyond which it becomes difficult for a sole proprietor to expand the business activities. It is not possible for a single person to manage and supervise the affairs of the business if it grows beyond a certain limit.

v. **Lack of Experts:**

The sole proprietorship lacks the expertise knowledge to timely satisfy the customers demand relative to the big companies who have hired market experts to know the needs and wants of the customers. Further, big budget advertisement and product development through research is also a limitation of sole proprietorship.

2.2 PARTNERSHIP

2.2.1 What is a Partnership?

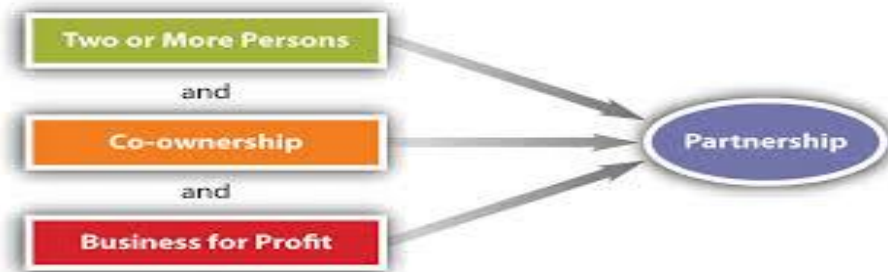
The sole proprietorship form of business that we have discussed above is suitable only to the small size business. As business grows, more resources are engaged to meet the rising demand of customers. The success of a business results in expanding the size of business which requires new building, machinery, employees, technology and additional capital. To manage all these new resources, a business needs more owners who can contribute funds in the business and handle the growing activities of the business. For this purpose, the other forms of business are considered. The first of such forms is the partnership which is suitable for a medium size business.

According to the Partnership Act 1932, *a partnership is a relationship between persons who have agreed to share profits or losses of a business carried on by all or any of them acting for all.* The persons who join partnership are individually known as *partners* and collectively as a *firm*.

There are the following essential elements of a partnership business:

- i. There must be a written or oral agreement between the concerned parties.
- ii. There must be a business which means and includes any type of trade, profession or vocation for earning the profit.
- iii. It must be carried on by all or any of them working for the benefit of all the partners.
- iv. It must be carried on for the purpose of earning profits which will be divided among the partners in the pre-agreed ratio.

Figure 1 shows the essentials of forming a partnership:



A partnership is formed to establish a business by a group of owners for earning profit. All of them contribute capital in mutually agreed ratios to start the business. This results in gathering more resources as compared to the sole proprietorship form of business.

The law which deals with the partnership form of business in Pakistan is the Partnership Act 1932. According to the Partnership Act 1932 there cannot be more than 10 partners in banking business and not more than 20 partners in any other business. However this limit does not apply to those professions which are prohibited from doing business in the form of a limited company such as physicians, attorneys and accountants etc. A partnership is not a separate entity from its owners. All the partners are jointly liable for the affairs of the partnership.

2.2.2 Registration of Firm

It refers to a partnership firm registered with the Registrar of Firms. It is optional for a firm to get register itself with the government department. A partnership can be registered in the office of the Registrar of Firms located in the District Administration. A Registrar of Firms works in the District Administration and receives applications from the partners of the partnership firm. A registered firm enjoys several benefits including adopting a single brand name that can be used to file a case against any party in a court of law.

This non-registration of firm can result in the following situations for firms:

- i. No partner can bring a suit in any court against the firm or his partners in the firm.
- ii. The firm cannot file a suit against any third party
- iii. Unregistered firms cannot be registered for income tax purpose.

The prescribed form along with the necessary fee is deposited to the Registrar of Firms. The form contains information such as; name, place and duration of the firm, and the names, addresses and dates of joining the firm of each partner etc. After the registrar is satisfied that all the legal provisions have been complied with, he makes an entry in the register maintained by him and thus the firm will become registered.

2.2.3 Major Characteristics of a Partnership

i. Limited Life

A partnership business may be dissolved due to a variety of causes such as death, insolvency mental disorder (insanity) of a partner, the happening of an event which makes it unlawful for the business to be carried on, or a partner giving a notice of his intention to leave the firm etc. Similarly a change in the firm may occur due to entry of a new partner also.

ii. Unlimited Liability

Each partner is individually and jointly liable to creditors for debts incurred by the firm. Thus, if partnership becomes insolvent, the partners are required to contribute sufficient personal assets to settle the debts of the firm.

iii. Co-ownership of Property

The property invested in a partnership by each partner becomes the property of the firm jointly.

iv. Participation in Income

Net profit or loss is distributed among the partners either in accordance with the agreed ratio or in the absence of agreement, equally.

v. Partnership agreement

A partnership arises out of an agreement between the partners which, as earlier stated, may be either in writing or an implied one (oral).

2.2.4 Kinds of Partners

- i. **Ordinary or Active Partner** is one who has invested capital in the business and who takes active part in the conduct of business.
- ii. **Dormant or Sleeping Partner** retains his capital in the business but refrains from taking any active part in its management.
- iii. **Nominal Partner** is one who neither contributes any capital nor takes any active part in the management but merely lends his name and credit to the firm and thereby incurs the liability of a partner.
- iv. **Quasi Partner** retains his capital in the business as loan after he has retired from the firm and receives interest on his loan.

2.2.5 Advantages of Partnership

- i. **Easy to Start:**
The partnership can be easily organized as there are no complex legal formalities involved in the establishment of partnership business. The partners just enter into a partnership agreement and start business.
- ii. **Team Work:**
In partnership, the partners mutually consult each other about the lay out, production procedure, marketing channels, etc. and ultimately develop a wise course of procedure through team work.
- iii. **Profit Incentive:**
The profits are shared by the partners as per agreement. They are encouraged to do more work to earn more profit. Higher is the profit, higher will be the partners' share.
- iv. **Division of Risk:**
In partnership, the risk is divided among all the partners. The profit and losses are equally shared among the partners. The risk of failure of business is shared by all partners.
- v. **Tax Advantage:**
This is an advantage enjoyed by registered partnerships as their profits are not taxed as a firm. However, the share of profit received by the partners is taxable in Pakistan.
- vi. **Ease of Dissolution:**
The partnership can also be legally dissolved by mutual consent of the partners, in accordance with a contract by the partners, or on happening of some events like death or insanity of any of the partner. There are no formal documents required to be drawn up in case of a firm.

2.2.6 Disadvantages of Partnership

- i. **Unlimited Liability:**
All the partners have unlimited liability and are jointly liable for the debts of the firm. They can share the liability among themselves or any one can be asked to pay all the debts even from their personal properties depending on the arrangement made among the partners.
- ii. **Uncertain Life:**
The partnership firm has no legal existence separate from its partners. It comes to an end due to a variety of causes such as death, insolvency, incapacity or the retirement of a partner. Admission of a new partner also makes it unlawful for the business to be carried on without the consent of all the partners.

iii. Lack of Public Confidence:

Partnership form of organization may not enjoy public confidence because it lacks advertisement and application of regulations to win the trust of general public. It results in lower customer base and erosion of customer confidence.

iv. Limited Capital

Since the total number of partners cannot exceed 20, therefore, the capital to be raised is always limited. It may not be possible to start a very large business in the form of partnership.

v. No Transferability of Share:

The partners of a firm cannot transfer their shares or part of the firm to outsiders, without the consent of other partners. This creates inconvenience for the partners who want to leave the firm or sell part of their share to others.

vi. Divided Control

In a partnership, the work of the business is divided among the partners according to their ability, choice and taste. Divided control and responsibility sometimes creates confusion and inefficiency in business operations and can delay making decisions and affecting profits.

2.2.7 Contents of Partnership Deed

Due to various legal difficulties which may have to be faced afterwards, it is always better to have a written agreement known as Articles of Deed of Partnership. This deed should ideally contain the following points:

- i. The name of the firm and the nature of the business to be carried on.
- ii. The commencement and duration of the partnership.
- iii. The amount of capital to be contributed by each partner.
- iv. The extent to which each partner is allowed to withdraw sums of money in anticipation of profits.
- v. The manner in which the profits and losses will be divided among the partners.
- vi. Whether or not any salary is allowed to the partners.
- vii. The manner in which any further capital, if deemed necessary, is to be introduced.
- viii. All partnership transactions to be recorded in a proper set of books to be kept at business place and such books should be open for all partners for the purpose of inspection.
- ix. The basis of valuation of goodwill of the firm, if any, as also the other assets for this purpose.
- x. An arbitration clause, for matters in dispute to be determined by submission to an arbitrator.

2.2.8 Rights of Partners

The partnership agreement usually provides for the mutual rights and duties of the partners. The following rights of partners as specified in the Partnership Act 1932, however, are applicable if the partners fail to provide them in the agreement:

- i. Right to take part in the management of the business.
- ii. Right to access to all records, books and accounts of the business.
- iii. Right to be consulted and heard in all matters affecting the business of the firm.
- iv. Right to share the profit in the agreed ratio, or equally where there is no partnership agreement.

- v. Right of indemnity for all acts done or payments in the course of the partnership agreement.
- vi. Right to act prudently in an emergency for protecting the firm from the loss.
- vii. Right to prevent the introduction of a new partner without his consent.
- viii. Right of not becoming liable for any debts or liabilities of the firm before his admission as a partner.
- ix. Right to retire from the firm at any time.
- x. Right to continue to share either profit or interest after death or leaving the firm.

2.2.9 Duties of Partners

- i. To work for the greatest common advantage.
- ii. To give true and fair information to other partners obtained during the course of partnership business.
- iii. To indemnify the firm for any loss sustained by his fraud or his willful negligence in the conduct of business.
- iv. To share losses equally with the partners in addition to the profits, unless other ratio has been provided for this purpose.
- v. To attend diligently to the business of the firm. This should be without remuneration unless contrary is provided in the agreement.
- vi. To act within authority conferred upon him.

2.3 JOINT STOCK COMPANIES

2.3.1 Introduction

With the rapid growth of trade, commerce and industry, the size of business houses began to increase and the sole proprietorships and partnerships found themselves unable to supply all the capital needed. Therefore, a new form of business organization came into existence where public was invited to contribute capital. This form of business is known as a joint stock company or merely a company. In USA and Canada, joint stock companies are known as corporations. A limited company or corporation is an artificial person existing only in the books of the law.

This artificial legal person, once created, is separate from its founders, and shareholders or members. It is called an artificial person because it has certain qualities that are being attributed to human beings e.g. it can own property, sue and can be sued, and generally carry on activities through its officer and agents. A company is allowed to perform its functions according to the law under which it has been registered. The incorporation and regulation of the companies in Pakistan are governed by the law i.e. Companies Ordinance 1984. The government body that registers and regulates the companies in Pakistan is known as the Securities and Exchange Commission of Pakistan (SECP).

The shareholders are, of course, the owners of the company but being large in number, sometimes in thousand, and being present in different places cannot exercise control personally. To manage the affairs of a company, a team of managers and workers is appointed. The shareholders, however, exercise control indirectly by electing directors among themselves who are made responsible for managing the affairs of the company. The directors meet from time to time to determine the policy of the company and are answerable to the shareholders.

2.3.2 Difference between a Company and a Partnership

The following characteristics of companies differentiate them from the partnerships:

- i. A company is created by registration under the Companies Ordinance 1984 while a partnership firm is created by an agreement under the Partnership Act 1932.
- ii. A company is a corporate body with a distinctive name, able to sue and can be sued in its own name in a court of law. A partnership firm is not a separate legal entity. The rights and obligations of the firm are those of the partners personally.
- iii. The member of a company is not its agent, whereas a partner in the firm is its agent in making various business deals.
- iv. A shareholder of a company is not entitled to take active part in its management, whereas a partner can do so subject to the willingness of other partners. .
- v. A partnership cannot have more than 20 partners in a business. A company, on the other hand, may have large number of shareholders subject to the limit of authorized capital.
- vi. The liability of the shareholders of a company is limited to the amount of his shares or guarantee. Partners, however, are liable to the full extent of all the partnership debts.
- vii. All members have power to transfer their shares but a partner cannot do so without the consent of his co-partners.
- viii. The general powers of a company are governed by its memorandum and articles of association but those of the partnership are governed by the partnership deed.
- ix. A company is registered with the Securities and Exchange Commission of Pakistan (SECP) while a partnership firm is registered with the Registrar of Firms with the district government.
- x. A company is taxed as an entity while a partnership's income is taxed in the hands of the partners.

2.3.3 Types of Companies

A company can be divided into the following types by allocating it in four different categories i.e. incorporation basis, liability basis, ownership basis and the nationality basis.

A. Incorporation Basis:

It refers to the legal base upon which a company is formed. It is further divided into three types:

- i. **Chartered Companies:**
These companies are formed under the Royal Order of King or Queen. These were formed initially in England in 16th century to start foreign trade i.e. East India Company etc.
- ii. **Statutory Companies:**
The companies formed by the parliament for the benefit of public, are called statutory companies. State Bank of Pakistan is an example of statutory company.
- iii. **Registered Companies:**
The companies formed under the law existing in a country for the dealing with the affairs of companies are called registered companies. The law related to the registration of companies in Pakistan is the Companies Ordinance 1984.

B. Liability Basis:

It refers to the formation of a company on the basis of the liability of its shareholders. It is further divided into three types:

i. Limited by Shares:

These are the companies registered with the limited liability up to the amount of shares that shareholders have paid to the company. Majority of companies registered in Pakistan are limited by shares.

ii. Limited by Guarantee:

These are the companies registered with the promise of its members or shareholders to guarantee a certain sum of money in the event of default of company.

iii. Unlimited Companies:

The companies have no limit on the liability of its members. Every member is liable to the full payments of the debts of the company.

C. Ownership Basis:

It means the formation of a company by including a specified number of shareholders. It is further divided in the following categories:

i. Public Companies

These are the companies registered with the limited liability of its members under the companies' ordinance 1984. The minimum number of members is seven and maximum members are unlimited.

ii. Private Companies

A private company is started by minimum two persons with a limit of 50 persons. A private company does not offer its shares to the general public and it is not required to be listed on a stock exchange.

iii. Single-Member Company:

A single-member company is formed by an individual person and registered under the Companies Ordinance 1984. It is an alternative way of doing business for the sole proprietorships. It provides a legal cover to the single person business bringing the limited liability benefit to the business.

iv. Government Companies

These are the companies formed and run by the Federal, Provincial or Local Government. Such companies may be registered as public or private companies.

v. Holding Companies

When a company purchases more than 50% of shares of other company, it is called a holding company. Through such holding of shares, it controls the other company.

vi. Subsidiary Companies

A company is called subsidiary company when more than 50% of its shares are owned by another company. A holding company controls a subsidiary company.

D. Nationality Basis:

It means the classification of companies on the basis of nationality or the country of origin. It is further divided into two categories:

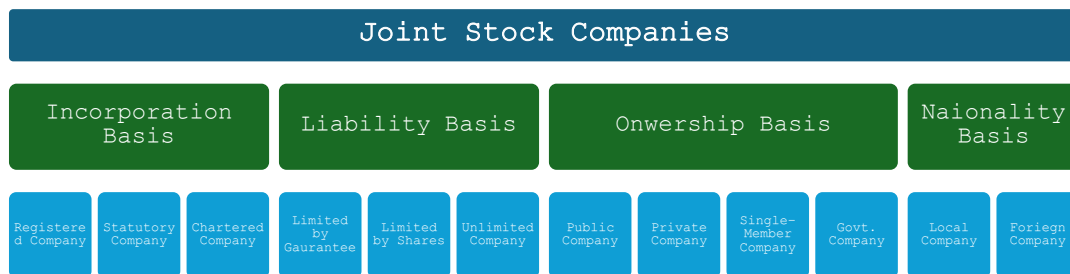
i. Local Companies

These are the companies formed and registered inside the country. The registered head office of the company may be situated in any province of the country.

ii. Foreign Companies

These companies are formed and registered outside the country. The registered head office of the company is outside the country, in its home country. These companies establish their branch offices or co-ordination offices in the foreign countries.

Figure summarizes the types of joint stock companies:



2.3.4 Advantages of Companies Form of Business

i. Limited Liability:

The risk of every shareholder is limited to the amount of his investment in the company. This aspect of company form of business protects the personal assets of the shareholders.

ii. Larger Size:

The company, by dividing its ownership into shares of small denomination, can attract larger amount of capital from thousands of individuals.

iii. Transfer of Ownership:

Except in case of a private limited company, the shares of a company can be easily transferred whenever required by any shareholder usually on a stock exchange.

iv. Permanent Existence:

A company has permanent existence. The death of its shareholders, officers or employees does not bring an end to its life.

v. Efficiency in Management:

The company being big in size than other forms of business can hire the services of professional managers and specialists which results in more efficient management resulting in higher profits.

vi. Additional Capital:

Whereas a sole proprietor or a partnership already having 20 partners cannot make expansion in their capital structure without changing their form of business, a company can do so very easily by issuing additional shares.

2.3.5 Disadvantages of Companies Form of Business

i. Higher Tax Rate:

The rate of tax in case of companies is higher in Pakistan than in case of other types of business. The tax rate for companies is 33% while, partnerships and sole proprietorships enjoy considerable lower tax rates.

ii. Expenses of Organization:

Of all the various forms of business enterprises, the companies are more expensive to organize as much amount is spent to hire the professional and specialist employees.

iii. Government Restrictions and Reports:

As the company is created according to government statute, several documents and reports have to be filed with various government officials, such as the registrar of joint stock companies in the SECP.

iv. Lack of Personal Interest:

Since most of the work of the companies is done by its employees and the employees who don't have investment in the company. Their level of interest in the affairs of the business is not as of the owners or shareholders.

v. Lack of Secrecy:

Since a company has to submit its annual report and accounts to its shareholders, these reports may be got hold of by outsiders. Thus information considered secret by the management may be leaked.

vi. Restrictions on Change in Charter:

It is not as easy to change the business objectives of a company as it is to alter the in case of a sole proprietorship or a partnership. It usually requires approvals from the SECP.

2.3.6 Differences between Public and Private Limited Companies

The most common types of companies in Pakistan are public and private limited companies. Majority of companies registered in Pakistan are either public companies or the private companies. There are following differences in both of these types of companies

- i. A private company can have at least two members, whereas a public company must have at least seven members for registration.
- ii. The maximum number of members in a private company is fifty while no maximum limit is prescribed by law in the case of public companies subject to the limit of the authorized capital of the company.
- iii. A private company may allot shares immediately after its incorporation, but a public company cannot do so unless it has received the minimum subscription amount mentioned in its articles of association.
- iv. A private company can commence business and also borrow money immediately after its incorporation, but a public company cannot do so unless it has obtained the certificate of commencement of business from the registrar of joint stock companies in SECP.
- v. A private company is not required to hold a statutory meeting or to file the statutory report, but a public company is required to do so.
- vi. A private company is not required to send the copies of its balance sheet and profit and loss account and other documents to SECP but a public company has to do so.
- vii. A private company is required to add the words "Private Limited" at the end of its name, but a public company is not required to do this.
- viii. A private company cannot invite public to subscribe to its shares but a public company has to do so and also file information with the registrar of joint stock companies to this effect.
- ix. The minimum number of directors of a private company is two, whereas for those of a public company it is seven.

2.3.7 Steps in the Formation of a Company

A company is formed by completing certain legal requirements. These requirements are fulfilled in many steps. These steps are explained below:

i. Founders and Promoters:

At first step, the idea of a business is generated and the planning for starting the business begins. To register the business in the form of a company certain persons, called the promoters, starts the process. Firstly, the promoters must get the name of the proposed company approved, prepare and file the memorandum and articles of association of the company and certain other documents and prescribed forms with the registrar of joint stock companies and also pay the necessary fees and stamp duties. To form a public company, at least seven persons and to form a private company at least two persons must sign the memorandum and articles of association.

ii. The Memorandum of Association:

At next step, the Memorandum of Association is formed. It is the constitution of the company which lays down its objectives and goals for the business. It contains some important clauses about:

- a. The objectives for which the company is being formed;
- b. The name of the company with the word “Limited” if it is a public limited company and words “(Private) Limited” if it is a private limited company;
- c. The location of the registered office;
- d. The fact that the liability of its members is limited; and
- e. The amount of share capital with which the company proposes to be registered and the division thereof into shares of fixed amount.

iii. The Articles of Association:

These contain the regulations for the management of the affairs of the company. They define the powers and the duties of the directors, rights of shareholders, regulations related to the issue of share capital, procedures for meeting of shareholders and directors, voting rights, the declaration of dividends and audit of the accounts etc.

iv. Incorporation of Company:

After the submission of the memorandum of association, the articles of association and other documents, a company is registered by the registrar of the companies in SECP. A certificate of incorporation is issued as a result of the registration of a company. After getting the certificate of incorporation, a company can start its business.

v. Prospectus:

After the incorporation of a company, the next step is to obtain the necessary capital required to start the business. For this purpose, public limited companies usually issue a prospectus. The prospectus is an invitation by the company to the public to subscribe for its shares. The prospectus described the future prospects of the company, names of the promoters and original directors, and the amount of authorized capital etc.

vi. Commencement of Business:

A private limited company can commence business immediately after is incorporation; but it is not the case with a public limited company. Having raised the necessary capital, public limited company has to apply to the registrar of joint stock companies for the grant of a certificate authorizing it to commence business. Only after the issue of this certificate, a public limited company can start business.

Picture presents the initiatives taken by SECP to register companies in Pakistan:

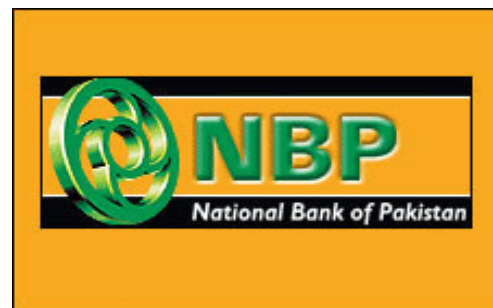
2.4 OTHER FORMS OF BUSINESS OWNERSHIP

As we have discussed earlier in the unit, a business can be started in many forms: sole proprietorship, partnership and the company. However, there are some other businesses which are organized on a different pattern. These forms of business include state enterprises, co-operative societies and trusts. We shall now take a look into these forms of business with a view to understand their characteristics and operational mechanisms.

2.4.1 State-Owned Enterprises (SOEs)

State-owned enterprises refer to those business or industrial enterprises which are directly owned, controlled and managed by the government. A government can participate in a market by starting a business organization in different sectors of economy. In Pakistan, the government has established various business organizations to serve the general public i.e. Utility Stores Corporation of Pakistan, Pakistan State Oil, Pakistan International Airlines etc.

Figure presents the names of different state-owned enterprises:



2.4.2 Causes of State Ownership of Business Entities

There are various causes which lead to the creation of state enterprises as discussed below:

i. Breaking Monopolies:

Some business organizations become monopolies owing to their nature of business such as airlines railways, water supply, telephone, banks and telegraph, electricity supply etc. A government can create its own entities to insert the competition in the market.

ii. Heavy Capital Expenditure:

Some businesses require heavy investments that will not produce considerable profits for a long time, such as railways, water or electricity supply etc. Due to their higher cost, only the government invests in such businesses.

iii. Public Interest:

Some businesses are required to be performed for the public interest. For example, defense equipment production is required for meeting the security needs of the country.

2.4.3 Characteristics of State-Owned Enterprises (SOE)

- i. The majority of the shares are owned by the government (usually more than 50%).
- ii. It is subject to the direct control of the head of the department/ministry.
- iii. It is financed by annual budget passed by the parliament and its revenues go to the government treasury.
- iv. The staffs of the enterprise are government employees.
- v. It is created by a special law or procedure of the country which defines its powers and functions.
- vi. As a corporate body, it has got a separate legal entity like a joint stock company.
- vii. It is administered by a board of directors appointed by the concerned ministry.
- viii. It makes its decision by keeping commercial as well as social aspects in a country.

2.4.4 Advantages and Disadvantages of State-Owned Enterprises

Advantages:

- i. The government retains full control over strategic sectors of economy.
- ii. It enables the government to realize its economic and social objectives.
- iii. It has got freedom in administration and elasticity in management.
- iv. It provides employment to the general public.
- v. They promote private enterprise by allowing private investors to subscribe to their share capital.

Disadvantages:

- i. Since it is controlled by the politically responsible officials, it fails to provide flexibility which is required for the efficient functioning of the business.
- ii. There is unusual delay in coming to a decision as it requires approvals at many levels.
- iii. The costs of running a government enterprise sometimes eat up the tax revenues reserved for social services.
- iv. It is provided hidden subsidy by the government disturbing the balance in the market.

2.4.5 Co-operative Societies

The main idea behind cooperative business is to organize a collective effort by a group of individuals for promoting their economic welfare through self and mutual help. In a capitalistic society, this type of business is adopted by the weaker section of the community for protecting their economic interest against the oppression of the middlemen, large scale producers and distributors.

The cooperative form of organization, commonly known as a cooperative society, is voluntary association of individuals for the common purpose of conducting some business activity for their mutual benefit. The main purpose of this form of business is not to earn profit but to supply their own needs in the forms of goods and services.

In Pakistan, there are various cooperative societies registered under the Cooperative Societies Act 1925. To deal with them, all four provincial governments have formed the Department of Cooperative Societies.

2.4.6 Characteristics of Cooperative Societies

- i. The membership of a cooperative is voluntary and unrestricted.
- ii. The liability of the members of a cooperative society may be limited or unlimited. If it is limited, then word “Limited” should appear at the end of its name.
- iii. It may either be registered or unregistered although the societies registered under the Cooperative Societies Act 1925 enjoys certain privileges which are not available to the unregistered societies, e.g., recognition as a separate legal entity separate from its members and relaxation in payment of income tax, stamp duty and registration fees etc.
- iv. Each member has got only one vote irrespective of his capital contribution and thus enjoys equal rights.
- v. A Managing Committee is elected by the members to carry on the day to day management and administration which is responsible for its actions to the general body of members.
- vi. It is not established for a profit motive and thus ordinarily there is no profit to distribute.

2.4.7 Types of Cooperative Societies

i. Credit Societies:

The credit societies work for providing short term and the long term loans to their members. Their main objective is to provide monetary resources for the welfare of their members.

ii. Industrial Societies:

These societies work for providing the necessary raw material at lower than market rates to the artists and the craftsmen for making the various products. Their objectives also include the provision of discounted business services to the members.

iii. Farming Societies:

The main aim of this type of societies is to help farmers by providing seeds, fertilizers and irrigation equipment at discounted rates. These societies work for the welfare of small farmers in the rural areas.

iv. Housing Societies:

These societies work in the housing sector and strive to provide the housing facility to their members. Their activities include forming a cooperative housing society and selling plots and constructed houses at lower than market rates.

v. Women Societies:

These societies work for the welfare of poor women by providing them employment opportunities and training them for starting their own business.

vi. Multipurpose Societies:

These societies work in any of the above mentioned area along with combining other welfare initiatives for their members.

2.4.8 Distinction between Cooperative Society and a Company

- i. A cooperative society is governed by the Cooperative Societies Act 1925, whereas a company is subject to the Companies Ordinance 1984.
- ii. A company can be formed with a minimum of two members while, a cooperative society cannot be established by less than ten persons.
- iii. In cooperative society, profits are not distributed, whereas in case of a company profits are distributed.
- iv. In a company, the members can sell their ownership right (a share), whereas in case of a cooperative society, the sale of share is prohibited.
- v. A cooperative society is not merely a business, but a combination of business and spirit of service, which evokes loyalty, fellowship and a corporate feeling. A company, on the other hand, is purely a business concern.

2.4.9 Advantages and Disadvantages of a Cooperative Society

Advantages of a Cooperative Society:

- i. It eliminates middlemen and thus makes the goods available to the consumers at cheaper price.
- ii. Since its members are its regular customers, it has not to bother for marketing the goods and is thus saved from expenses in this respect.
- iii. It enjoys the economy of management and administration since its members often render voluntary services to manage the affairs of the society.
- iv. Since it can sell goods at a cheaper price, it can easily attract a good number of customers.
- v. The cooperative societies formed in the field of small scale industries can employ a large number of people and thus can help in solving the problem of unemployment.
- vi. The poor people are inspired to save as the societies encourage people to save and invest.

Disadvantages of a Cooperative Society:

- i. Since its members are generally poor, they cannot generally supply large capital to run a large scale enterprise.
- ii. Since the services from the managers are generally free, the skilled and efficient persons may not be interested to join the society.
- iii. It may be difficult to carry on the business successfully under cooperatives, where the demand of goods changes frequently.
- iv. As the market of the commodities of the society is normally guaranteed, the managers may not be tempted to make efforts for increasing the business of the society.
- v. In Pakistan like other Government officers, the Registrars of Cooperative Societies have vast powers of interference into affairs of such societies. They are often corrupt and thus prove a handicap in efficient working of cooperative societies.

SUMMARY

There are different types of business organizations in Pakistan; sole proprietorship, partnership, company, state ownership and co-operatives. A sole proprietorship is the simplest form of business with the ownership of a single person but it lacks certain legal covers. The second option is the partnership form of business in which two or more persons can participate. A partnership, if registered, enjoys some privileges over the unregistered form of business. The sole proprietorship and partnership business organizations are limited almost entirely to the small business units. The reason for this limitation lies in the lower number of owners in the business. The difficulty in attracting capital restricts the ability of the sole proprietorship and partnership to provide suitable financial resources for the business expansion. The company form of business provides the benefit of limited liability of the share holders and can collect higher capital from its many owners generally called shareholders.

A company is larger in size than a partnership firm and possesses more resources. The various forms of companies which may be formed are the public and private limited companies. For establishing a limited liability company, various documents such as memorandum and articles of association etc., are to be filed with the registrar of joint stock companies in the SECP and the prescribed fee is to be paid. After obtaining the certificate of incorporation, a private limited company can start its business, while, the public limited company has to obtain the Certificate of Commencement of Business for starting its business.

Sole proprietorship, partnership and a limited company are the dominant forms of business ownerships but state ownership and cooperatives also exist. The state ownership may be in the form of government department organizations, public or statutory organizations or government companies. Cooperative societies are formed mainly for the purpose of self-help without any profit motive. The common type of cooperative societies in Pakistan are; farmers societies, housing societies, credit societies, industrial societies, and women societies.

Unit–3

MANAGEMENT OF BUSINESS

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INTRODUCTION

In the last unit, we have discussed the forms of ownership of a business. Once a business has been established by its owners, the next task is to make it functional by hiring the able employees. This unit will introduce you to the managers, who are responsible for running a business and achieving the required results in response to the targets set by the owners. Further, this unit will discuss the importance of planning in the context of a business organization. A focus is also made on the form of organization a business can take along with highlighting the role of staff and employees in a business.

OBJECTIVES

After studying this unit, you will be able to know the functions and process of the management of a business particularly in the following areas:

1. Management: its forms and levels in a business organization
2. Planning: its features, process and importance in a business organization
3. Organizing: its forms, importance and methods for a business
4. Leading: motivating and supervising employees in a business
5. Controlling: mechanism for comparing the plans with the results.

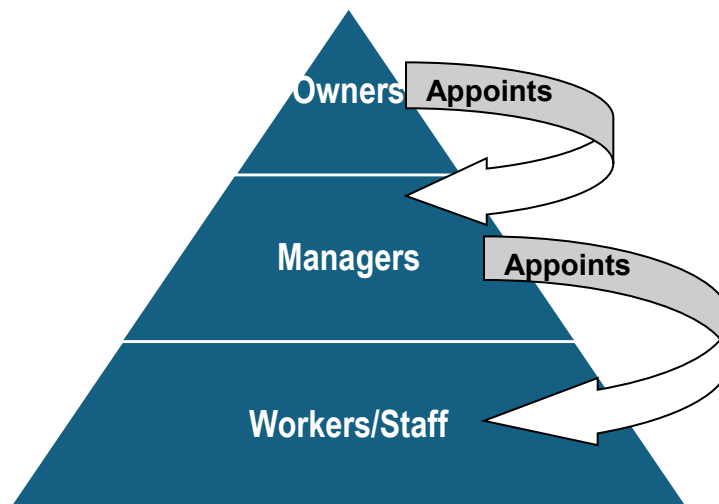
3.1 MANAGEMENT & PLANNING

3.1.1 What is Management?

In the last unit, we have discussed the forms of ownership in a business. Now, once a business is established as a sole proprietor or partnership or a company, the next task is to make it operational. The actual performance of the business activities requires some people to manage different tasks like sales, production, finance, accounts etc. For this purpose, a team of competent and hardworking employees is selected. This team is collectively referred as the management. In the case of sole proprietorship, this function can be performed by the owner himself while in the case of partnership or a company; certain people are hired by the business to run its different functions of business.

The term management includes all those activities which are concerned with the planning, organizing, leading and controlling a business enterprise. The people involved in the management are called managers. The managers supervise working of different departments in a business enterprise. For example a sales manager looks after the sales volume of a business enterprise and develops methods to increase the sales. To manage the affairs of a business, many managers are appointed at different level in the various departments. The performance of a business depends on the hard work and dedication of its managers.

Diagram 1 shows the simple relationship among the owners, management and the workers:



The managers in a business organization work in different departments at the various levels. The different levels of management are described below:

i. Top Management:

It includes the chairman, managing director or the general manager and the directors in charge of production, sales, purchase, personnel and finance departments. It is the highest level of management in a business organization. They usually work on developing the long term plans for a business organization.

ii. Middle Management:

This layer of management is composed of departmental heads, branch office and plant managers, and production superintendents. They are assigned targets by the top management for which they develop medium to short term plans for achieving those goals.

iii. Operational Management:

The operational management involves plant supervisor and foremen and heads of subdivisions of the larger departments. They get their targets from the middle management and design plans for achieving those targets from the workers.

3.1.2 Functions of Management

The functions of management refer to all those activities which are concerned with the planning, organizing, staffing and controlling the activities in a business. These functions, in simple words, show what the management of a company does to achieve the objectives set by the owners of the business organization. These functions are explained below:

i. Planning:

It refers to the developing plans to achieve the business objectives. For example, if the owners of a business set target of a 5% increase in sales in this month, then the sales manager will design plan for achieving this goal. It also involves choosing among best options for making decisions.

ii. Organizing:

This involves the determination of the activities required to achieve the plans of a business enterprise. This includes the defining methods to implement the plans and making teams for achieving the desired results of a plan.

iii. Leading:

This implies the hiring of suitable persons for achieving the goals set in the plans. To carry out the activities, the different employees are grouped to work according to the pre-defined plans. The rewards for motivating the employees are also announced to streamline the working of the employees.

iv. Control:

It refers to all those activities which are concerned with the checking of performance of the employees and comparing it with the plan developed earlier. In controlling activities, we measure any deviation from the targets set in the plans and suggest ways to control the unexpected turns.

Now, each of these functions is explained in detail in the coming pages.

3.1.3 Understanding Planning

It is the first step in managing a business organization. It refers to the developing plans for achieving different targets in a business. These plans are based on the targets set by the owners of the business for achieving a certain level of profit or sales. A plan is an estimate of the targets set in an organization. A plan specifies the goals to be achieved by fixing a time frame on the set of activities. For example if a company wants to increase its annual sales by 10% then a plan is developed to achieve this target. That plan may include the addition of extra machines in the coming three months to produce more goods together with the hiring of additional labor. Further, it may lay down the targets for increasing the advertising budget to convince the consumers to purchase more products of the company. The following table is an illustration of developing a good plan:

Target: 10% Increase in the Profit of the Business:

Areas Affected	Factors	Goals	Time
Sales	Volume	15% increase	3-6 months
	Advertisement	10% increase	1-3 months
	Discounts	5% increase	1-12 months
Production	Purchase Costs	20% decrease	1-3 months
	Plants	Add 2 more	2-4 months
	Suppliers	Increase 10% materials	1-4 months
Human Resource	Employees	Increase 15%	1-3 months
	Salaries	Increase 5%	1-2 months
	Bonus	40% performance based	1-6 months

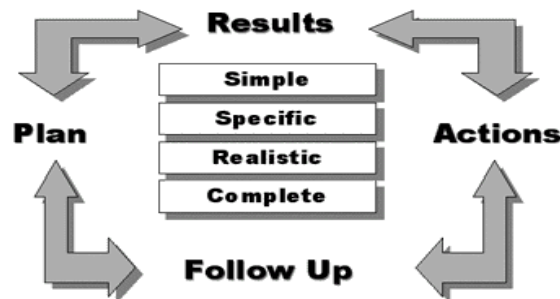
The above table shows the goals for achieving the target of a 10% increase in the profits of a business. Three areas; sales, production and human resource are considered by setting individual targets and goals for each of the factors in the above said areas. All targets and goals are time bounded.

Characteristics of a Good Plan:

A good business plan should have the following characteristics:

- i. **Simple:**
A good plan should be simple and clear. It should be easily understandable and the persons responsible for implementing should have no ambiguity in carrying out the tasks assigned through it.
- ii. **Specific:**
The second feature of a good business plan is that it should be specific and preferably expressed in numbers. A specific plan lays down the measurable goals to be achieved in the given time.
- iii. **Realistic:**
The next feature of a good plan is that it should be realistic and achievable. If a plan is designed by ignoring the ground realities then its implementation will be difficult resulting in failure to achieve goals.
- iv. **Complete:**
A good business plan should be complete in all aspects and no area should be left for further speculation. A complete business plan motivates the employees to work hard in achieving the goals set in the plan.

Diagram 5 shows the key features of a good business plan:



Types of Business Plans:

There are three different types of plans developed in an organization:

- i. **Strategic Plans** are concerned with developing the long term plans by the top management in a business enterprise. These plans set the overall vision and mission of a business and envision a long term target for the business.
- ii. **Tactical Plans** are developed by the middle management to carry out the tasks assigned through the strategic plans by the top management. These plans explain the strategic plans and add a level of details on how the strategic plans are achieved.
- iii. **Operational Plans** are designed by the operational management to carry out the tasks assigned through the tactical plans by the middle management. These plans explain the in depth mechanism for performing the activities for achieving the different goals.

3.1.4 Planning Process

The planning process consists of many steps which are being performed to design the realistic and achievable goals. This process is a team-based activity and usually done at the start of a year to set the targets for the coming months.

Step 1 Environmental Analysis:

At first step, the environmental analysis is conducted to know the political, economic, legal, technological and social factors related to a business. These factors are considered while developing a plan for the business to set realistic goals by keeping in view the positive or negative changing happening in the external environment. For example, if the economy of country is expected to grow only 1% in a year then setting of a goal of a 20% increase in sales may become difficult to achieve.

Step 2 Determine Mission:

After the analysis of the environment, a mission is determined by a business organization. That mission speaks of its long term goal with regard to the business. At this stage, the owners set a long term target for the business. For example, an owner of a business may declare the mission of a business to be the number 1 market player in the cement industry capturing 50% market share in next 20 years. Similarly, a business might decide to increase its profits by 20% in next three years.

Step 3 Establish Objectives:

Once the mission of a business is established, the next task is to break it down in the short term achievable goals. For this purpose, specific objectives are framed to achieve the required results. The objectives of a business generally cover a period of one year and show the targets to be achieved in the coming year for the business.

Step 4 Develop Action Plan:

After the determination of the objectives of a business, the next task is to assign responsibilities to the employees for carrying out the tasks to achieve the required results. For this purpose, an action plan is developed to explain the goals and targets for each department in the business. This action plan also includes the instructions for achieving the

short and medium term goals for a business along with a time table for arranging the different activities in an integrated way.

Step 5 Establish Control:

At the last stage of the planning process, a control mechanism is designed to check any deviation from the targets set in the plan and the output produced by the employees. The control mechanism ensures the smooth implementation on the plans and if any deviation is observed, a corrective action is taken to stick to the targets set in the plans.

3.1.5 Benefits of Planning

i. Future Direction:

A good plan helps the employees of a business to know what is required in future from them. It also highlights the future vision of a business by specifying the targets and goals for the coming months and weeks.

ii. Cost Savings:

The planning helps a business by scheduling for the expected inflation and other costs in a timely manner. A good plan always anticipates the expected costs in a business and the skilled managers' timely estimates the impact of costs increase on the business.

iii. Time Planning:

A plan is always time-bounded specifying the time table for carrying out the different activities. This allocation of time to various activities makes it easier for the employees to complete the tasks in a sequence resulting in higher output.

iv. Resource Allocation:

The planning makes it easier to allocate the scarce resources (building, vehicles, computers, land, furniture etc) in a business to the different areas. This creates efficiency and optimization in the management of different resources in a business.

v. Accountability:

The responsibilities assigned through planning are carried out by the concerned employees. If a deviation in results is happened then a corrective action is taken to ensure the performance as per the targets set in the plans.

3.2 ORGANIZING

3.2.1 Introduction

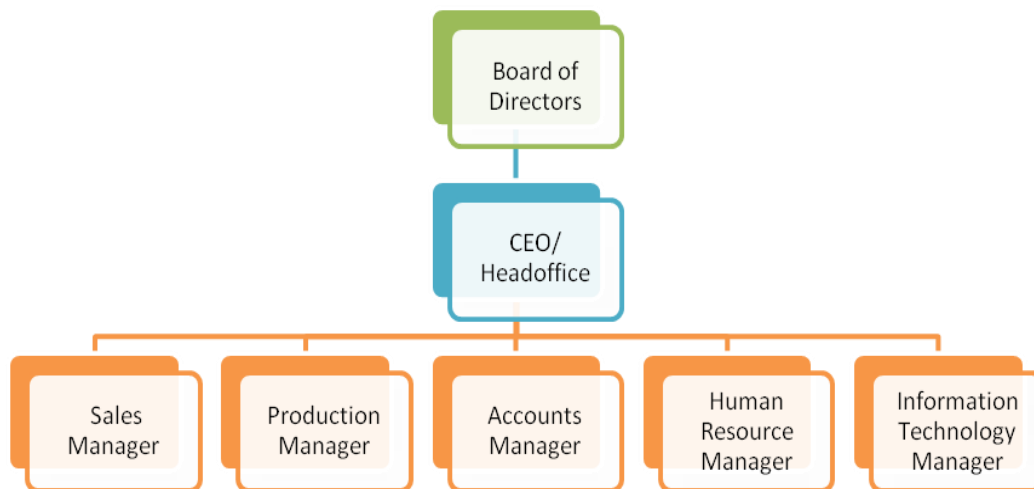
The management of business does not complete with planning only. After drafting plans, the next task is to implement those plans with suitable strategies and tools to achieve the objectives of the planning process. The term organization is applied in a scenario where two or more persons work together to achieve a common goal. The organization of business refers to all those steps which are taken to establish a structural relationship among men, materials, machines and other equipments so as to conduct the business efficiently and effectively.

The planning stage allocates resources to be used for the business, while the organizing stage decides under whose supervision these resources will be used. For example, if a business decides in the planning stage to increase its profits by 20% in next year then at

the organizing stage, the practical strategies will be devised. These may include spending more funds on advertising, offering more commission to dealers, improving product quality, adding new product lines etc. At this stage, every steps is taken to ensure the proper allocation of resources, funds, machines, workers to achieve the goals set in the planning process.

3.2.2 Organizational Structure

In a broader context, when an institution is planned to achieve certain objectives, an organizational system is framed to achieve those objectives efficiently. To perform this function of the management, the organizing phase deals with creating structures within an organization to divide the work assigned through plans and report it to the owners or Board of Directors in an efficient manner. An example of organizational structure is given below:

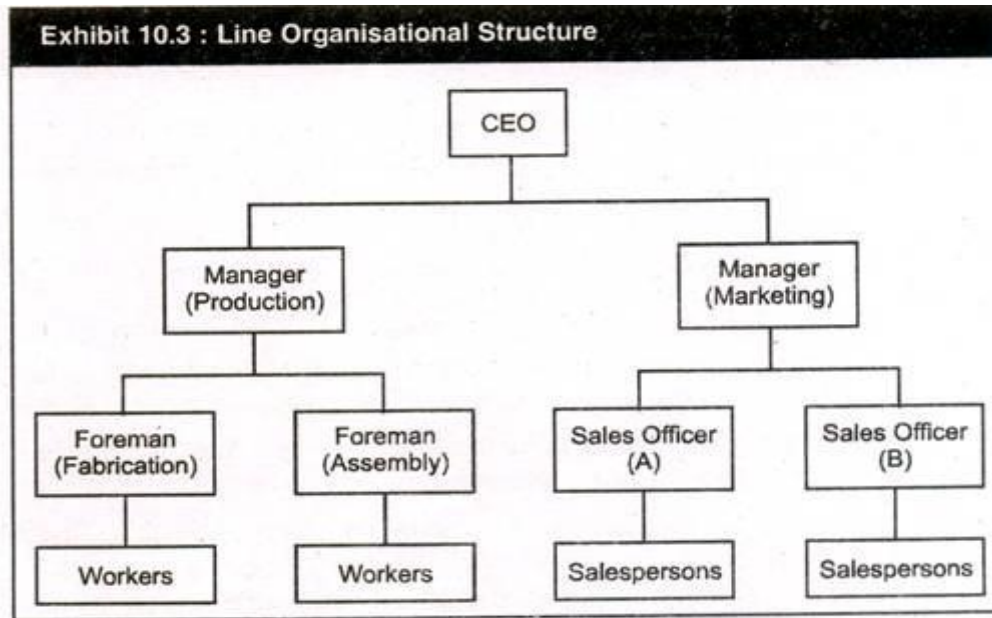


The above diagram shows the structure in an organization where the activities are divided into the different departments for meeting the targets set in the plans. The organizational structures simply divided the responsibilities of doing different tasks in an organization among various groups or teams. Each department of the organization has its own manager to report to the CEO and Board of Directors for efficient working. An example of such groups is shown above where the duties related to the sales, production, accounts, human resource and the information technology is divided in the different departments.

3.2.3 Types of Organizational Structures

i. Line or Tall Organizational Structure:

In it, there is a direct flow of authority form the top executive to the departmental heads and then down to the employees. In this type of structure, separate persons are appointed for dealing with the workers. The line organization is usually found in small firms.



Advantages:

- i. It is simple and easy to understand.
- ii. Responsibility is clearly defined to only one superior.
- iii. Decisions can be made quickly.

Disadvantages:

- i. Each supervisor needs to be master of many diverse areas to his job.
- ii. Line organization places too much authority at the top.
- iii. Coordination of the different lines is difficult to achieve in large scale industry.

ii. Functional Organizational Structure:

The functional organizational structures are being established according to the set of activities to be performed in that particular department. For example, the production department is created to produce the products of the business and a production manager is appointed for monitoring the activities of the department. All the workers are answerable to the production department manager. Similarly, the marketing, accounting & finance, research and development departments are created in an organization.

An example of the functional structure is given below:

FUNCTIONAL STRUCTURE



Disadvantages:

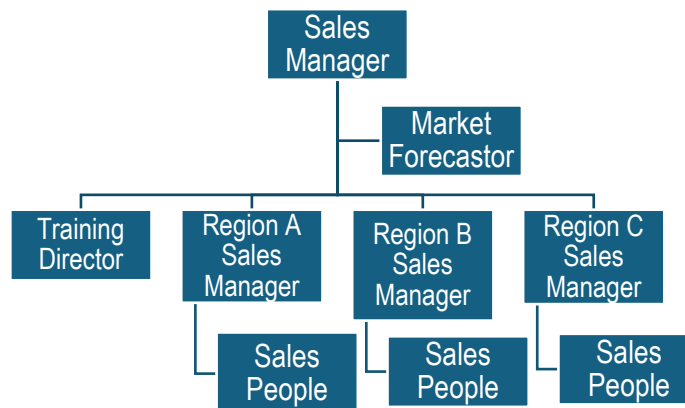
- i. The workers have more than one boss at the same level.
- ii. The disciplinary problems are difficult to handle.
- iii. Divided control is more likely to retard production than to speed it up.

iii. The Line and Staff Organization:

This type of structure mixes the functional areas with the line areas to create flexible structure in a business organization. The key to the determination of which are line and which are staff departments is the relationship that any given department has to the basic objectives of the organization. In manufacturing firms, the production and sales departments are generally regarded as having a line status as the goal of the organizations is to make and sell things at a profit. On the other hand, the departments that are established mainly for advisory and service purposes are considered to be as staff function department such as personnel, public relations, and finance.

The following diagram shows a sample of line and staff organization:

Line and Staff Organization



Advantages:

- i. The foremen are not responsible to more than one supervisor but specialists are available for dealing with specific problems.
- ii. The function of flexibility is introduced into the rigid form of the line organization.
- iii. It incorporates the principles of division of labour without losing the important combination of authority and responsibility.

Disadvantages:

- i. The advice given by staff employees may be constructed as demands, which can lead to divide authority or serious friction.
- ii. The foremen and the supervisors may try to shift responsibility to staff employees for actions taken on their advice, which do not prove successful.
- iii. The department managers, superintendents, and others in managerial positions may cease to give thought and attention to some of their duties.

iv. Team Structures:

A team structure is devised for the completion of particular task or a project by combining workers and managers from different departments of an organization. The team structure is assigned a specific task and different types of managers exchange their expertise on the given project. Generally, this type of structure is formed in I.T driven firms where research and development is a regular feature of the functioning of the organization.

Advantages:

- i. The team structure are easy to form and dismantle.
- ii. Group supervision takes a critical view of all matters.

Disadvantages:

- i. It is usually a slow method of arriving at a decision.
- ii. The chance of agreement on a point is rare.

3.2.4 Principles of Sound Organization**i. Division of Labour:**

The first principle of sound organization in a business is to divide the work among the employees based on their skills. A task if divided among the different workers makes it easier to work and the work can be completed in the minimum time.

ii. Departmentalization:

The second principle of sound organization is the division of job into the different departments. It results in completing the tasks on time and any deficiency is reported well in time. The allocation of tasks becomes easier in the form of departmentalization and the performance can be easily measured by looking at the output of the each department.

iii. Responsibility with Authority:

The responsibility given to an employee in the form of duty is required to be performed according to the set of instructions issued by his/her manager. The task

assigned through business plans should be coupled with the relevant authority for making a certain business decision.

iv. Span of Management:

It refers to the number of persons working under each supervisor or manager. The span of management shows the extent of authority of a manager in a business organization. The longer span of management implies that a manager is responsible for supervising the activities of many workers under his/her leadership.

v. Decentralization:

The structure of organization is called centralized if the decisions are made at the top level of the management in a business organization. If the large number of decisions is made at the top level, then the workers and middle managers need approval for performing any activity. In contrast, the decentralization allows the workers and managers to make decisions at their own level without getting too many approvals.

vi. Unity of Command:

The instructions for performing the various activities in a business organization should originate from the one source. The instructions issued at many levels to the same employees confuse them with respect to the performance of the assigned tasks. The employees should be guided by one authority only at a time and the clear instructions should be given not to follow any other guidelines.

3.2.5 Benefits of Organizing

i. Implementation of Plans:

The first benefit of the organizing is that the tasks planned are put to the implementation. The organizing stage of management requires that the plans made are breakdown into the different sub-tasks and the areas of responsibilities for the employees are announced.

ii. Efficiency in the Working:

The organization phase allows performing the business activities in an efficient manner by using the resources of the organization in the best possible way. The managers are assigned, teams are made and duties are assigned through the organizing stage.

iii. Timely Completion:

The organizing stage enables the management to timely complete their tasks as per the plans to achieve the higher results. The organizing of the activities of a business makes it easier to work according to the plans.

iv. Performance Measurement:

The managers and supervisors are assigned in various departments for the different organizational tasks to be done in the coming months. This makes it easier to track the performance of the concerned departments by the managers appointed for each task.

v. Directions to the Employees:

Through organizing phase, the top management of a business gives direction to the different managers and employees working in the various departments. The organizing phase enables the top management to assign the tasks to the relevant departments in the organization.

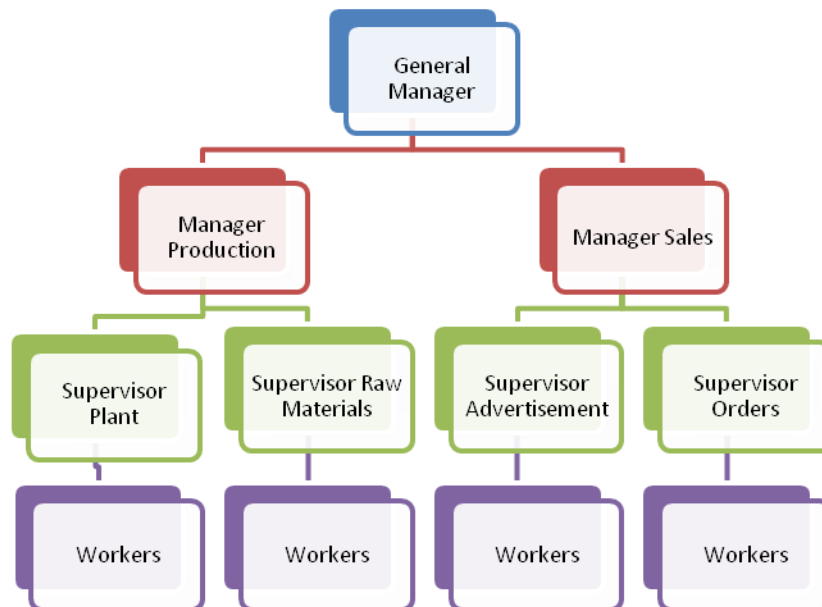
3.3 LEADING

3.3.1 Introduction

In the previous topic, the students have learnt the art of planning and organizing the activities of a business organization. Now, this topic will educate students on the role of managers in selecting, training and motivating the employees. Every business activity requires some form of human effort for which different employees are hired by the business to perform these tasks. At the top there are managers; in the middle level there are supervisors and at the lower level there are clerks in the offices and workers in the factories. Their selection, placement, training, remuneration - all are very important and have vital bearing on successful operation of each and every organization.

The working of a business is done in many stages under the different managers. At the lowest level, the employees have to perform work by taking directions from their immediate supervisors. Thus the supervisor has to manage the work of employees working under him. The managers oversee the work of departments and check the performance of the supervisors. At the highest level, the General Manager is responsible for the whole work of office or factory placed under him. The head of an office or factory is responsible for the whole employees working under his/her leadership.

Diagram shows the managerial levels in an organization:



The above diagram shows who is working under whom in business organizational structure.

3.3.2 Leadership Qualities

We have discussed that general manager, managers and supervisors control the functioning of the workers by directing them on the tasks. This process of direction and guidance needs certain skills in these officers to get meaningful output from the workers. The skills required to be in an ideal manager in a successful business enterprise should be the following:

i. Shared Vision:

The first quality of a good business leader is that he has a business vision for the next 10 to 20 years. A good leader knows the direction of his business model. Further, a good leader shares his vision with his workers to inform them about the future direction.

ii. Forward Looking:

The second quality of a successful business leader is that he looks and plan for the future by learning the lessons from the past. A forward looking person knows the path to success along with the potential hurdles in the way.

iii. Competent:

A good leader needs to competent and able to know the all aspects of a business. He should be capable of doing the analysis of the business along with skills to identify the weak areas for the improvement.

iv. Honest:

A good manager should be honest and fair in his dealings with the workers. He should work in a transparent manner by making the true promises with his workers and customers. The honesty of the leader results in tracking the true performance of the workers.

v. Empower People:

A good manager is required to give authority to the workers to make day-t-day decisions on minor matters. A good leader always encourages his workers to use their minds in making a quick decision.

vi. Inspire People:

A good leader has the capacity and will to inspire workers in his organization with his skills and performance. He should be an experienced person who can work to solve the problems being faced by the business.

vii. Set Example:

A good leader should set example by working in a disciplined and consistent manner. The workers will do what their boss is doing in the business. The hard work of the boss is reflected in the working of his subordinates.

viii. Lead Change:

A good leader should be capable of bringing a change in the organization by developing flexible plans and setting realistic targets. He should be able to identify the faults in the existing system and should have plan for improving the flaws in a business organization.

3.3.3 The Employment Process

After understanding the qualities of an ideal business leader, we now move towards getting the right employees for the business. The employees or workers in a business are hired for

completing the tasks assigned through the organizing stage for the achievements of the objectives set in the plans. For this purpose, we need to understand the employment process and its features for selecting the hard working and able workers for the business. This process includes selection, training, compensation and evaluation of the employees' performance. The department in a business organization that deals with the employment process is called the human resource or personnel department.

Diagram shows the steps in an employment process:



i. Recruitment:

This is the first step of the employment process where the potential workers are attracted to the organization by offering them the right incentives. At this stage, the vacant posts in a business organization are advertised and applications from the qualified persons are received.

ii. Selection:

In this step, the applications received through the advertisement are analyzed against defined criteria for selecting the required number of employees. For this purpose, an organization may conduct written test for selecting the competent workers. Some organizations conduct written test and select the passing candidates for the interview. In interview, an applicant is examined for different analytical and job related skills. During interview, psychological and social interests of the applicant are also observed.

iii. Orientation:

After a worker is selected, the next task is to provide guidance regarding the organization and the job requirements. The orientation phase of the employment process includes the activities directed at introducing the worker to the organization's history, founders, products, processes, policies, structures, departments etc. In this stage, a newly selected worker is introduced to the organization and the existing employees of the organization are introduced to him. He is guided on the matters of leave policy, health facilities and other available facilities in the organization.

iv. Training:

At this stage, an employee is trained before he is formally entered in the working environment. Training is provided in two ways: off-job and on-job. The off job training includes providing guidance to the worker on the requirements of the job in a separate environment under the leadership of an expert. That expert provides the guidance on how to do the work in the origination. The on-job training includes providing instructions to the worker by asking him to work in the relevant department. Both types of training are aimed at improving the skills of worker to get maximum output from him.

v. Compensation

It refers to the reward for doing the work in a business organization. It includes salary, allowances, perquisites, facilities, awards, bonus and other monetary and non-monetary benefits attached to a job. The compensation to worker should be adequate, covers the cost of living and provides the decent requirements of life. The salary of a worker can be time based or output based. In time based, a fixed amount is handed over to the worker against working for specific time. In output based, the salary of the worker depends on the output produced by him during specific time period.

vi. Appraisal

At the last stage of the employment process, a worker is analyzed for his performance in the organization. The performance is usually analyzed by comparing the targets set in the plans with the output produced by the worker. Any deficiency is regarded as a negative measure of the performance of the worker and any surplus is recognized as the extra achievement capable for bonus or other rewards.

3.3.4 Motivating the Employees

After the selection of employees, the next task is to motivate them to do the assigned duty in the designated time. For this purpose, employees require motivation from the managers and organization so that they can work effectively. There are some factors which if worked properly can motivate the employees of a business organization to achieve their goals within time. Some of these factors are described below:

i. Higher Salary:

The first factors for motivating the employees are giving them higher salary. The monetary benefits motivate a person to work more and produce higher output. These monetary benefits include higher salary, bonus, allowances etc.

ii. Flexibility:

The flexibility in the working environment makes it easier for the employees to work according to their own preference and sequence. That empowers employees to work as per their schedules and plan their relaxation time accordingly.

iii. Common Goals:

The sharing of goals and objectives of the organization with the employees tend to associate them closely with the business organization. The input from the workers should be taken while developing plans for the future.

iv. Friendly Environment:

The friendly culture and environment in an organization relax employees and provide them breathing space for sharing their common problems. The friendly environment makes employees calm and soft in their working.

v. Recognition:

The recognition of the work of an employee by a senior manager encourages the worker to produce higher and work diligently for the greater benefit of the organization. The recognition should be in the form of awards.

vi. Training:

The training equips workers with the latest skills to work hard and achieve the targets within the required time. The training should be preferably in the latest technology and on the basis of knowing –doing gap.

vii. Innovation:

The innovative work is liked by employees in a business organization. A manager should try to develop the tasks for a worker in such manner that he can enjoy doing new things.

3.3.5 Communication to the Employees

The tasks are assigned to the employees by the managers as per the pre-defined plans. These duties are allocated to the workers by communicating what is expected from them. This communication needs to be clear and comprehensive so that the message of the managers is correctly interpreted by the workers. Following are the principles of communication also known as the 7 Cs of communication:

i. Completeness:

The first principle of effective communication is the completeness of the message. Any instruction issued from the managers should be complete in all respects and should provide full details on all the matters related to the task.

ii. Conciseness:

The second principle of effective communication is the conciseness of the message issued by the managers. The conciseness demands that unnecessarily details should be avoided and the message should be as short as possible.

iii. Consideration:

The third feature in a message should depict the potential benefits a worker can get by working according to the instruction of the message. This should be feature in an effective communication by showing the promising advantages of the message.

iv. Concreteness:

The fourth element that should be present in a message is that it should be concrete and self-expressive. It should clearly state what the job is, how to do and what output is expected in the quantitative terms.

v. Clarity:

The fifth feature in an ideal communication should be the clarity in the contents of the message. A clear and simple written message has a higher impact on the workers.

vi. Courtesy:

The message should be written in a decent language and should not be derogatory or full of harsh words. It should be polite and should provide respect to all the workers.

vii. Correctness:

The message should be correct and issued from the appropriate authority. The message should not contain any quantitative error or some mistake with respect to the time table for the completion of job.

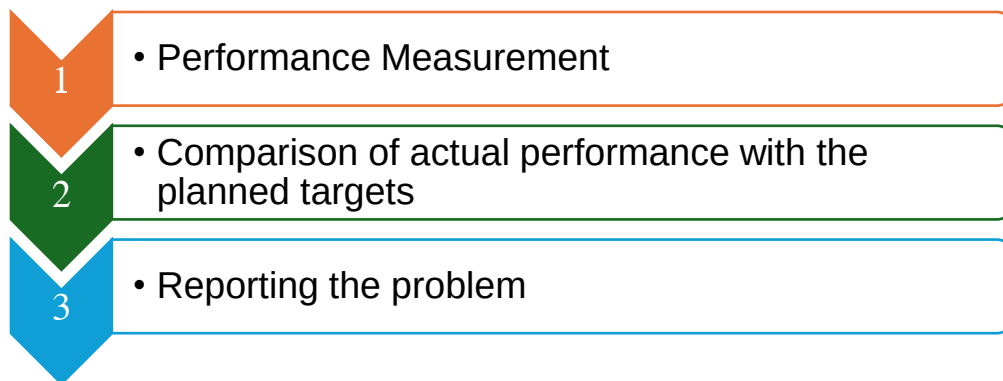
3.4 CONTROLLING

3.4.1 Introduction

In the previous topics, we have discussed how a business is managed. At first step, we said that to start a business, we require planning. A good business plan makes it easier for the managers and workers to understand targets and work to achieve them. At the second stage, we have discussed that after making plans, the next step is to organize the resources of a business to implement the pre-agreed plans. This includes structuring organization and arranging human and physical resources. At the third step, we discussed the role of leading in the context of business in which the managers act as leaders for the workers to achieve the maximum output.

Now, in the last stage of the management, we are going to study the role of control for the management of the business. The controlling function of the management includes the comparing of the actual results with the planned targets and finding any deviation in the results for taking the corrective action. The typical control mechanism in an organization refers to the designing of measurements procedures and tools for evaluating the organizational performance. These control tools measure the performance of an organization in financial and non-financial terms.

Diagram shows the control activities:



3.4.2 The Types of Controls

The controls activities in an organization are designed to prevent any deviation from the plans set earlier. The quality of controls in an organization is indicator of its strong supervisory and management skills. The general types of control activities in a business organization are described below:

i. Feed-Forward Control:

It is the first type of control where the supervisory or checking mechanism is placed at the input level. Any deficiency at this level is observed and reported for taking the timely corrective action. For example, if a factory is using flour for biscuits manufacturing the quality of flour is inspected before mixing it with the other ingredients to find out any deficiencies in quality.

ii. Concurrent Control:

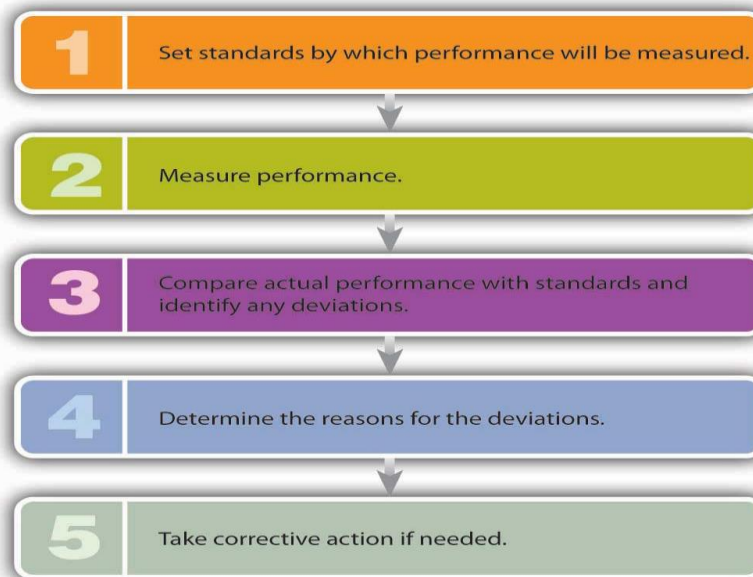
The second type of controls is the concurrent controls which are inserted at the processing stage for finding any deviation from the expected results. For example, in the above cited biscuit manufacturing example, if the processing of different raw materials is not happening as per the approved formula then an investigative report is sent to the quality control department for taking the appropriate action.

iii. Feed-Back Control:

The third type of controls is the feedback controls that are designed for inspecting the final output of a business enterprise and comparing it with the pre-agreed sample of the final product. In the above example, if the biscuits prepared after the processing stage are not approved by the final quality inspection teams then a correct action report is written for redesigning the whole manufacturing process and fixing the problems.

3.4.3 The Control Process

The control process refers to all those set of activities which are performed for the measurement of results, their comparisons with the planned goals and the reporting of any deficiency to the management. These activities are shown in the following diagram:



The process of controlling consists of the above mentioned five steps which have been explained in detail below:

i. Setting Standards:

The first step in a control process is that the standards are set for measuring the performance of the workers. Usually, these standards are set by looking at the plans set at the start of the year and then the controlling authority establishes standards for comparing the performance.

- ii. **Measure Performance:**
At the second stage, the performance is measured by applying the different tools and techniques for the financial and non-financial output. This performance is measured after regular interval by keeping in view the time specified for the completion of the job.
- iii. **Compare Performance:**
The observed performance is then compared with the planned targets and any deviation is reported. The performance comparison is done by using the various quantitative techniques.
- iv. **Identify Deviations:**
After the comparison of performance, the deviations from the targets are identified and reported. The deviations reported are then presented to the higher authorities for the taking the corrective action.
- v. **Corrective Action:**
On the basis of identification of deviations, a corrective action is planned and then executed. The corrective action is then communicated to the concerned worker for meeting the deficiency in the performance.

3.4.4 Benefits of the Controlling

The activities and process of controlling offers different benefits to the business organizations. The supervisory and checking mechanisms in the controlling activities enable the management of a business enterprise to look into the weak areas and find the reasons for the bad performance. Some of the benefits of controlling are discussed below:

- i. **Performance Measurement:**
The first benefit of the controlling activities is that the management of an organization can review the performance of the workers. The output of the workers is measured and then compared with the targets for finding any deviations.
- ii. **Risk Identification:**
Through the process of the controlling, the weak and under-performing areas are highlighted timely and it enables management to plan for the emerging risks in the business organization along with the strategies to deal with them.
- iii. **Cost Savings:**
Another benefit of controlling is that it timely highlight the bad performing areas and management is alerted for spending extra amount on the weak areas thereby resulting cost savings for the organization.
- iv. **Corrective Action:**
It is the mechanism of controls through which we can measure and report deficiencies in the performance of the workers for taking the corrective action. The mistakes of workers at input, process or output stage, if go unchecked, can result in loss of customers and revenues for the business.
- v. **Re-planning:**
The controls offer the management of a business organization to review the existing plan and make amendments in the original plans after observing the performance through the control process. The incorporation of existing business flaws in the plans make future planning more useful and relevant for achieving the business goals.

SUMMARY

After a business is registered, the next task is to make it functional. To run a business, the owners of a business appoints the management and workers for performing the different tasks like sales, production, accounting etc. The management of a business typically includes four steps: planning, organizing, leading and controlling.

The first factor considered in the management of business is the planning. The planning makes it easier to set goals for the future and identify the human and physical requirements to achieve those goals. A business organization makes long, medium and short term plans depending upon the level of management.

The second area to run a business is to organize the human and physical resources required for implementing the business plans framed earlier. This requires creating organizational structures and designing the flow of activities for performing the different tasks assigned through the plans.

The third factor for managing a business is to lead the workers in the business organization by offering them attractive incentives and applying the right motivational techniques. The role of leaders in business organization is performed by the managers in convincing workers to produce as per the targets set in the plans.

The last function of the management is to control the different activities done in a business organization by measuring the performance of the workers and identifying the deviations from the planned path. This enables the management to take the corrective action for meeting the goals set in the plans by the higher management. All these four functions of the management results in creating constructive environment where the activities of the business are planned, organized, timely executed and measured for any deficiency.

Test Questions:

1. What do you understand by the term “management”? Describe the functions of a management in an industrial organization.
2. What do you mean by planning? Discuss the process of planning in a business organization?
3. What is organizational structure? Discuss in detail the types of organizational structures.
4. What is leading? What qualities should be in an ideal leader? Can managers be leaders in a business organization?
5. What is the employment process? Explain in detail.
6. What is meant by controlling? Explain the control process in detail.

Activity

- i. Select a manufacturing organization and study its organizational structure.
- ii. Write one-page summary of real business leader in Pakistan

Unit–4

BUSINESS FINANCE

Written by: Moazzam Ali

Reviewed by: Dr. Syed Muhammad Amir Shah

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INTRODUCTION

The start of any business requires funds for performing different activities to achieve the targets set in the business plans. These activities include buying assets for the business, purchasing raw materials, payment to labour, payment of the government dues and meeting the day-to-day expenses of the business. The successful completion of these activities requires funds to be used in business. The funds or cash enables the management of a business to start and speed up many activities in the business and produce the goods and services to satisfy the demands of the consumers.

In this unit, we shall consider the meaning of funds, its importance in business operations, its requirement, study of different sources of funds and the types of funds available to companies in Pakistan. This process of raising or collecting funds is generally referred to as the finance. The finance includes performing all the necessary activities and tasks for raising and collecting the required cash for the business to meet its operational & investments requirements. The funds management in a business requires skilled staff which can arrange the financial transactions in an optimal way putting fewer burdens on the business.

OBJECTIVES

The objective of studying this unit is that the student should be able to understand various aspects of finance and be in a position to understand the following:

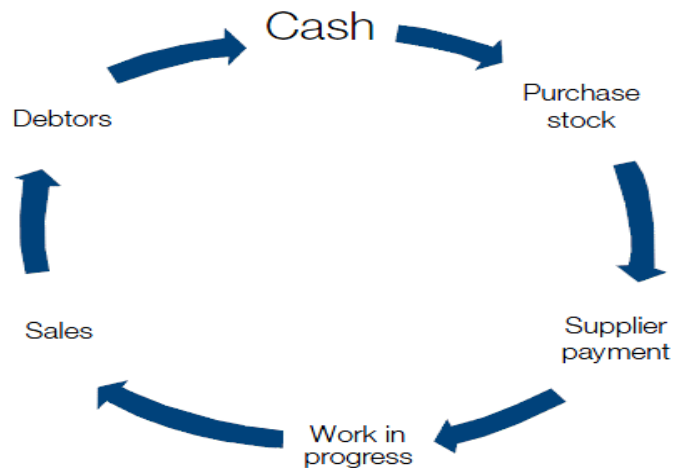
1. Finance and its importance in business
2. The procedure of financial planning
3. Different sources of finance available to a firm
4. Dealing with the banks on financial matters
5. Understanding other sources of finance
6. Analyzing risks in financial matters

4.1 IMPORTANCE OF FINANCE

The existence and functioning of a business requires resources like building, plant, machinery, computers, furniture etc. These resources are used by the management in a business by hiring different labour for performing the production and selling activities. All of these resources and the related activities in a business require the funds or cash so that they can be completed in a timely manner. Therefore, we generally divide the resources in a business in two categories: physical resources and monetary resources. The physical resources include the building, machinery, plant; computers etc and the monetary resources include loans, owners' equity, interest on investments etc.

The financial resources have a cost to the business in the form of interest or dividend. The interest is paid on the use of debt obtained from a bank or an institution and the dividend is a payment to the owners of the business against their equity contributions in the business. The choice of selection of different funds for the business depends on the management who forecasts the financial requirements of a business along with the related costs. After considering the comparative advantages or disadvantages of a particular type of finance, a financial source is selected to meet the financial requirements of a business.

Diagram 1 depicts the flow of cash in a business:



4.1.1 Uses of Funds

The funds in a business are utilized for the performance of different activities in a business. These activities are explained below:

i. Acquisitions of Fixed Assets:

The funds obtained by a business can be used to acquire the building, land, machinery, computers, furniture etc. These fixed assets are necessary for starting a business. The funds are invested in a business by the owners and lenders are carefully used to purchase the fixed assets to start the production process and deliver the quality products to the consumers.

ii. Payments to the Creditors:

After the purchase of fixed assets, the next task is to acquire the raw materials for producing the products for the customers. The raw materials are purchased from different suppliers on credit basis. The funds in a business are used to settle the outstanding liabilities of the business for purchasing the raw materials.

iii. Payments for the Operational Expenses:

The other use of funds in a business is in the operational area where many running expenses are beared by the business on routine basis. These include fuel expenses, electricity and power expenses, rent of the building, water and gas charges, government taxes, maintenance expenses, stationary expenses etc. All these expenses are paid out of the funds available to the business.

iv. Payments of Salaries & Wages:

The payment of salaries and wages to the labour and the workers employed in a business is another area for the use of funds. The salaries are paid to the different workers on the basis of their time and output produced in the business. The wages and salaries are usually paid on monthly basis in Pakistan.

v. Incentives for Dealers/Sales Agents:

The main task of the management of a business is to increase the sale of goods produced in the business. To achieve this task, the management of a business generally announces incentives to the sales agents or the dealers in the form of cash prizes, motor vehicles etc. these incentives and the promotional activities requires the funds in a business to complete this process in a comprehensive manner.

4.1.2 Sources of Finance

The financial or monetary resources are collected by the management of a business through different means. A business generally seeks owners' capital at the start of their operations and in future seeks long term loans and issue shares to finance its growth activities. The choice of a particular source of finance is influenced by the long term vision of the business and the related business plan.. The sources of finance are generally categorized in two ways: internal and external sources. A brief discussion on these sources of finance is given below:

Internal Sources of Finance:

The internal sources of finance refer to those options for obtaining funding for the business which can be available inside the business. These options include retained profits, sale of existing assets and cutting down the stock level. The internal sources of finance can be exercised by the management of a business to meet the different financing requirements. A brief description of these sources of finance is given below:

i. Retained Profits:

The retained profit in a business works as the source of finance to meet the financing needs of the business. The retained profit means the profit generated by a business in previous years and is not distributed in the form of dividend to the shareholders or owners and is still present in the accounts of the business. This amount of retained profit can be utilized by the owners of a business as per their requirements. It is an easy option and requires no extra cost to be bearded by the business.

ii. Sale of Existing Assets:

The second option available to a business through internal financing is the sale of existing assets to meet the financing requirements of the business. The existing assets

include old inventory, non-working computers, old furniture, extra land, old vehicles and scrap machinery. These assets are generally laying idle in the business and their sale can bring a substantial revenues to the business.

iii. Cut Down Stock Levels:

The inventory stock in a business is present in many forms. These forms include raw materials inventory, work-in-process inventory and the finished goods inventory. A third way to collect the desired revenues from the internal financing is to sale the different types of inventory in the market to collect the required cash. This inventory can be sold at discount to the consumers to collect the revenues in a quick manner.

External Sources of Finance:

The second category to obtain the funds for the business is the external financing. The external sources of finance refer to those options which are available outside the business organization for collecting revenues to meet the financing requirements of the business. A brief description of these sources of finance is given below:

i. Long Term Financing:

a. Issuance of Shares:

The owners of a business in a company are called shareholders. The shareholders contribute the capital in the business. The ideal source of finance for a business is the owners' capital. The shareholders contribute their capital share and they are given the shares accordingly against which they receive dividend or the share form profit. It is suitable form of raising external financing for a company as in the case of sole proprietorship or partnership, the owners are less as compared to the company.

b. Issuance of Debentures (Term Finance Certificates TFC):

The debentures or TFCs are debt instruments through which a company raises funds from the public and a fixed percentage is given in return in the form of interest to the debentures holders. The debentures are different from the shares in the way that the debentures holders are not the owners of the company and their status is just as of lender which entitle them to receive periodic interest payments. After some years, the amount of debentures holders is returned to them along with the interest accrued.

c. Long Term Bank Loans:

The third method of obtaining long term finance is contacting a bank and asking for a long term loan. The long term loans usually have a repayment period of more than five years. The long term loans are obtained by the businesses which are in the growth phase. The long term loans are awarded by the bank after critically examining the repayment capacity of the business and security is usually demanded from the business in the form of pledging fixed assets like building or land.

d. Grants:

The fourth method of getting long term financing is to avail the government grants available for a sector. The government announces different grants in the form of research and development support, modernization of machinery grant, export refinancing scheme, tax credits etc. These grants can be obtained by a business to meet its growth and development targets. These grants usually carry no specific cost with them and generally awarded by a government to support a particular sector.

ii. Medium Term Financing:

a. Leasing:

The leasing is a popular way of obtaining an asset for use in the business and paying its price in installments. The leasing products are offered in Pakistan in many types and forms. The leasing enables business to obtain new machinery and plant without incurring a heavy cost. The cost of leasing is paid by a business in periodic installments along with the rent to the leasing company. The option of leasing is suitable to the companies in growth phase to acquire new machinery and plants.

b. Hire Purchase:

The second type of medium term financing is the hire-purchase agreement through which a person acquires the right to use a particular product against a periodic payment. The hire-purchase is different form leasing in the sense that it applies to small equipment i.e. computers, electronics equipment etc. This mechanism enables a business to use a specific asset without incurring a cost and making the payments in installments.

c. Medium term Loan:

The third category of medium term financing is the obtaining medium term loan from a bank or any other financial institution. This type of loan is generally awarded for a period ranging from 2 to 5 years. This loan enables a business to pursue the growth strategy and acquire new assets like plant and machinery to produce more goods. This loan carries an interest cost with it and is generally issued after taking a security in the form of a physical asset.

iii. Short Term Financing:

a. Creditors:

The first type of short-term financing is the availing credit from the creditor in the form of trade debts. This practice is usually associated with the manufacturers who purchase raw materials on deferred payments and repay to the credits after 30 to 90 days. This enables the business to avail the short-term credit and satisfy the customers demand.

b. Bank Overdraft:

The second type of short-term financing is the bank overdraft. This facility works in a way that the bank provides 30 to 60 days funds for the settlements of the outstanding dues like wages, utility bills, creditors etc. to the business. The bank overdraft facility is provided against an interest cost to the business.

c. Short Term Bank Loan (Line of Credit):

Another short term financing facility is the short term bank loan from the bank. This enables the business to get funds from the bank for short period of time generally 3 to 9 months. This type of loan carries an interest cost to it and is generally availed without providing a security.

d. Debt Factoring:

The next option for the short-term financing is the debt factoring. It refers to selling of debtors balance to a third party against an interest cost. This enables the business to get the required funds to meet the business requirements. It also releases the

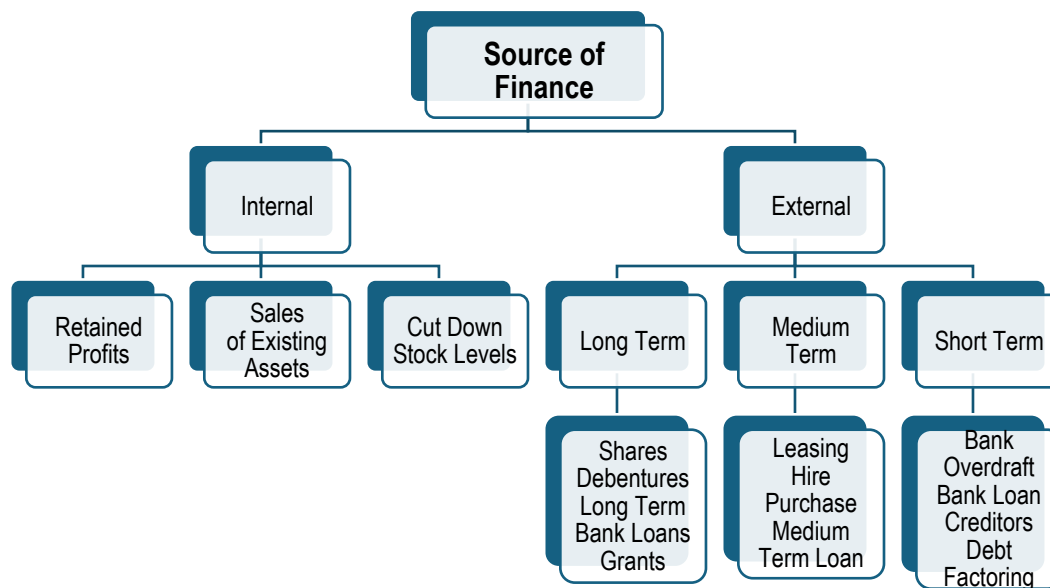
debtors' recovery burden of the business as it now becomes the responsibility of the third party.

e. Commercial Papers:

The commercial papers are negotiable instruments used for short term credit in business. These include promissory notes, bill of exchange and cheque which are issued to settle a short term credit requirement. These commercial papers are issued to get the creditors by the business firms and generally include an implicit cost in the form of interest charges.

f. Credit Cards

The credit cards are a new addition to the set of financial instruments used for obtaining short term credits. These are issued by the banks to their loyal or worthy customers to give them an option to settle their short term payments. The use of credit cards by a business also carries its charges in the form of interest or fees.

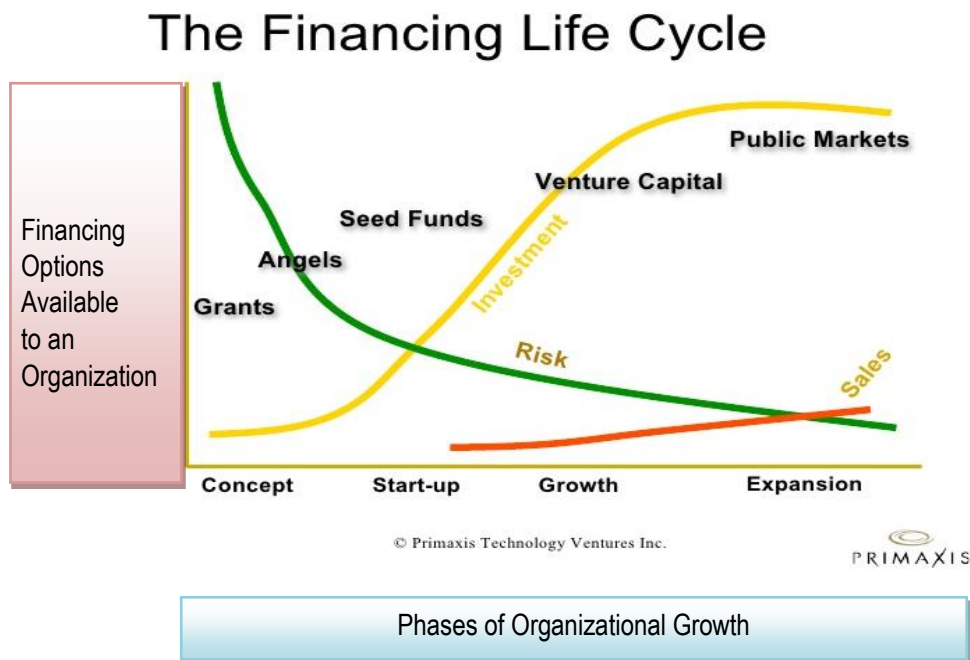


4.1.3 The Financing Life Cycle

In an entrepreneurship, the entrepreneur starts business by getting small funds through his savings or family loan. As the risk of failure of business is higher at his stage, the availability of funds is not possible from banks or equity markets (stock exchange). But with the passage of time, a business may succeed in getting the public confidence through its growth and profitability. At this stage, the entrepreneur generally converts their business operation into a public company by offering shares to the general public.

The financing life cycle refers to a concept with respect to the growth & sources of finance of a business. The financing life cycle shows the possible sources of finance for a business since its concept/idea generation to start-up and expansion. These sources of finance, as we have discussed above, are available to a business depending on its stage of business.

This concept illustrates to the potential entrepreneurs the sources of finance at the different stages of the business. A diagram of the financing life cycle is given below:



The above graph depicts the sources of finance for a business along with the stages of growth of business which are further discussed in detail below:

i. Concept/Idea Generation:

The first stage of a business is idea generation. The idea or concept of business is generated by estimating the demand in the market for particular product and the existing suppliers in the market. This exercise generally involves finances from the savings of the entrepreneurs or the family loans. The grants from the government for a particular business are also useful sources of finance at this stage.

ii. Start-Up:

The next stage of business is to start the business in practice by evaluating the potential of the idea or the concept created at the first stage. At this stage, the funding for a business generally comes from the angels investors which are the wealthy people ready to help the entrepreneur against a fixed share in revenues.

iii. Growth:

In the growth phase of the business, the sales of business start to grow and the customers are placing orders to the business for more products. The growth phase brings stability in the business and to fund this growth, the venture capitalists provide finance to the business. These venture capitalists are usually large firms or the wealthy individuals who inject funds into the business in return for a share in ownership and profits. Since the business is in its early phase, the banks and stock exchange are reluctant to fund the growth of the business.

iv. Expansion:

The expansion phase of the business depicts a level of trust and confidence on the products of the business. At the next stage of the business, the customers are placing lot of orders and the market demand is rising. This phase is called expansion in which a business plans to add more plants or buildings in its organization to meet the growing demand from the consumers. This phase results in getting easy bank loan and the investors in stock exchange began to take interest in the share of the business.

4.2 EQUITY CAPITAL

4.2.1 Introduction to Equity Capital

The funds in a business are obtained generally from two main sources: owners and the lenders. The owners contribute their share in the funds of a business which is called owners equity or shareholders equity. The lenders provide funds in the form of loans to meet the different financing needs of the business. Both of these types of capital are necessary for the performance of the business activities. In this section, we shall focus on the equity capital and a detailed discussion is presented on the type, uses and benefits of using owners' equity.

As the above table describes, the debt capital providers or the lenders are not the owners of the business and have no voting rights in the meetings of the business. Further, they are paid a periodic interest on the amount of loan they have given to the business. If a business does not pay interest to its lenders, it can be challenged in a court. There are costs associated with use of debt for a business. These include interest payments and the chances of financial distress and bankruptcy.

On the other hand, the equity capital establishes the ownership rights to the investors. They are entitled to vote in the meetings of the business specially to elect the directors. The share of profit given to the equity holders is called the dividend. However, in contrast to the interest payments to the lenders, the dividend is not mandatory to pay to the owners. The dividend is paid out of the profit and not considered as the expense to the business. Further, if a firm is not using debt capital, then chances of its going bankrupt reduces significantly.

4.2.2 Types of Equity Capital

The equity capital in a business consists of different types as per its uses and raising process. The equity capital generally includes the owners share in the capital of the business. This share can be contributed by the owners in different forms. These forms of subscribing to the capital of the business are described below with respect to the different forms of business:

a. Single Owner Equity Capital: (Sole Proprietorship):

A sole proprietor generally contributes his funds in the business in the form of cash. The sole proprietor being the only owner in the business enjoys all profits of the business. A person can contribute his funds in the form of capital as per the requirements of the business without getting approvals or fulfilling the procedures.

At the start of the business, the capital in a sole proprietor form of business is injected by the owner only. The return on this capital goes to the sole owner of the business. An owner can also contribute in the capital of the business by giving physical capital i.e. building, computer, furniture, car etc.

b. Partners' Equity Capital: (Partnership):

In the partnership form of business, the number of owners can be up to twenty. In this scenario, the capital is contributed by the partners in a pre-agreed ratio. For example, if there are three partners A, B and C in a partnership firm, they can decide their capital ratio by stating that A shall contribute 40%, B will invest 10% and C will contribute 50% in the total capital of the partnership firm. The share of each partner in the capital of the firm can be increased or decreased only with the consent of all other partners. The profits of the business are shared in the same ratio in which the partners have contributed their capital.

The tools for getting partnership equity financing are:

i. Partnership Agreement:

The partnership agreement is the document that entitles the partners to contribute their respective share of the funds in the partnership firm. All partners are bound by the terms and conditions written in the partnership agreement. The share of capital to be invested by each partner is described in the partnership agreement and the profit/loss sharing ratio is also agreed.

ii. Musharka Certificate:

It is Islamic finance tool for participation in the partnership. It works on the pattern of participatory certificate. This certificate entails its holders to contribute a certain amount in the partnership and a certificate is given entitling them to share the profit/loss in the pre-agreed ratio.

c. Shareholders' Equity Capital: (Company):

A company can raise capital from its owners (shareholders) in different forms. Generally, a company issues shares to get the required capital; from its shareholders. A share is a certificate that states the price a person is required to pay for getting it. The capital raised in this manner is invested in the different activities of the business and the profits generated on it are shared among the shareholders. The instruments used in raising equity capital for the companies are following:

i. Ordinary Shares:

These shares are also called common shares and issued to the people to get the required funds for the business. The ordinary shares entitle person to receive dividend and participate in the meetings of the company. However, in the case of wind-up of a company, the ordinary shareholders are compensated at the end.

ii. Preferred Shares:

The preferred shares are issued to the public to get the capital for the business. They are different from the ordinary shares in the way that these shareholders are paid a fixed dividend every year. In case of winding-up of the company, these shareholders are compensated earlier than ordinary shareholders.

iii. Cumulative Preference Shares:

The cumulative preferred shares are a type of the preferred shares where the dividend is guaranteed and if a company does not pay dividend in a year, it is added in the dividend for the next year. This results in assuring the shareholders of cumulative shares a fix guaranteed return every year.

iv. Redeemable Shares:

The redeemable shares are issued by a company to take them back in future by making payments to the shareholders. This type of shares are issued by a company for meeting the emergency financial conditions.

4.2.3 Methods of Raising Equity Capital

The equity capital can be raised by a business through different ways. The capital collected through any of these methods is invested in the business to perform various activities. The common forms of raising equity capital for a business are described below:

i. Conversion of Individuals Savings:

The equity capital in a sole proprietorship comes from the conversion of individual investors' savings into the equity capital for the business. The sole proprietor in which only one person is injecting equity reduces the options for raising more equity capital. The only viable options for getting more funds for the individuals are encashment of savings or selling personal property to contribute funds to the business.

ii. Partnership Agreements:

The capital in a partnership firm is raised through including other partners in the firm by changing the original partnership agreement. The new agreement specifies the shares of capital contributed by each partner and the profit/loss sharing ratio. The capital raised through partnership agreements with the new partners is utilized for the achievement of the business objectives of the firm.

iii. Venture Capital Financing:

Another way of getting funds for a sole proprietor and partnership is to acquire the venture capital funding. The venture capital funding refers to those investments in a business made by wealthy investors at the early/start-up stage of the business. The funds injected by the early investors (called angels) are used for the performance of the activities of the business.

iv. Initial Public Offer:

The most common method of raising finance for the companies is through Initial Public Offer (IPO). The IPO refers to a process in which the shares of a company are offered to the general public for investments. The money collected from people in this way is invested in the business activities. The investors or shareholders are paid dividend out of the profit of the company. Further, the shares of the company can be sold at a stock exchange by the investors.

v. Private Placement:

In contrast to the IPO where the shares of a company are offered to the general public, in private placement the shares are offered to the selected group of investors generally to the financial institutions. These investors buy the shares of company and they are compensated in the form of dividend.

4.2.4 Benefits & Costs of Equity Capital

a. Benefits of Equity Capital:

i. No Fixed Obligations:

The equity capital allows a company to be flexible in settling its expenses and liabilities without worrying for the shareholders profit share i.e. dividend. It is suitable for a company which is in the growth phase and requires higher level of financing.

ii. Large Financing:

The equity capital raised through issuance of shares enables a business entity to get a higher amount of capital from the general public. The shares can be issued in millions which is subscribed by the general public bringing more funds to the business.

iii. Good Reputation:

The issuance of shares strengthens the reputation of a company as it has now many owners from all over the country. The financial results are disclosed to the shareholders and the management remains under pressure to show good financial performance to keep a higher share price in the stock market.

iv. Ideal for Expansion:

Generally, when a company is in the expansion phase where it requires a lot of funds to finance the new buildings and machinery, the issuance of shares is an ideal option. The public subscribe to the shares and a large amount can be raised.

v. Builds Investors Trust:

The issuance of shares in the stock market enables a business entity to enjoy investors confidence as all of its financial matters are now in the public eyes. The bad performance of the company is quickly reflected in its lower price of the shares on the stock exchange.

b. Costs of Equity Capital:

i. Public Scrutiny:

The financial statements are disclosed publically by the business entity that issues shares to public. The bad financial performance is severely punished in the stock market by the investors. Further, no economic transaction can be twisted by the business.

ii. Non-Reversible Transaction:

The issuance of shares by a business entity results in creation of ownership structures. This transaction cannot be reversed and the new owners' demand answers from the management for the financial performance.

iii. Difficulty in Finding Investors:

The issuance of shares is not an easy task for the new companies. The investors generally prefer existing large companies and purchase their shares. A new company has to offer its shares on discount rate to the public.

iv. Ownership Controls:

The issuance of new shares results in adding more owners to the business. This results in ownership conflicts and the management of the business is disturbed if the new investors are not satisfied with the existing management.

v. Profit Sharing:

The equity capital rose through issuance of shares demands sharing of profit with the shareholders. If the profit is not shared in the form of dividend, the investors sell the shares of company on the stock exchange resulting in massive decrease in the share price of the business entity.

4.3 DEBT CAPITAL

4.3.1 Introduction to Debt Capital

In the previous topic, we studied the importance and role of the equity capital in providing funds to the business. The equity capital is not the only source of finance for the businesses. The other source of finance for the businesses is debt capital. The debt capital consists of loans, leasing, advances, and creditors which provide short and long term funding to the business. The debt capital is used when the equity capital is difficult to get or have a high cost to the business. The debt capital is not a bad thing if it helps a business to grow and satisfy the demand of consumers.

4.3.2 Types of Debt Capital

There are many types of debt capital depending on its use and period of repayment. The general forms of a debt capital are divided in two categories: short term and long term debts.

These categories of debt are explained below:

Short-Term Debts:

i. Creditors:

The suppliers of the business are requested to provide the raw materials for the longer payments period. This results in providing extra time to the business for the settlements to the creditors. The funds collected by making sales of the finished goods to the customers can be reused in the business before making payments to the creditors.

ii. Bank Overdraft:

The bank overdraft works in a way that the bank is required by the business to make various payments to the suppliers and employees and the money is returned by the business usually within one to three months. The bank overdraft also carries the interest cost with it to be paid by the business.

iii. Call Loans:

The call loans are short term emergency loans extended by the banks to their valued clients only. The call loans are provided on a short term basis of generally one to three months on interest basis. The call loans are available only to the selected clients of the banks.

iv. Short Term Unsecured Bank Loan:

A short term unsecured bank loan is provided by the bank to the business for meeting the urgent operational needs of the business. The short term unsecured loan is extended by the bank to only financially strong businesses at a reduced interest cost.

v. Line of Credit:

A line of credit is extended by a bank to its customers to meet the different capital requirements. A line of credit is basically an agreement of the bank with a business to cash all its cheques and pay utility bills and the whole amount is settled at the end of specific period.

vi. Family Loans:

The family loans are popular way of getting the required finance from the relatives and family members. These loans usually do not carry the interest cost on the total amounts and are extended to the business on easy repayments basis.

vii. Certificate of Deposits:

The certificates of deposits are the short term financing tool. The certificates of deposits are issued to the general public for short term for a fixed amount that carries the interest benefits to the investors. The certificates of deposits are generally issued by financially strong companies.

Long-Term Debts:

i. Long Term Secured Bank Loan:

A long term secured debt is issued by a financial institution generally a bank to the financially strong businesses by demanding a security in the form of physical asset. The long term debts are used by a business to finance its growth and expansion activities.

ii. Debentures or TFCs:

The debentures or Term Finance Certificates (TFCs) are certificates issued by a business to collect funds from the investors by promising an attractive return. The debentures are issued for long term basis and the holders of the debentures certificates are paid interest on a periodic basis.

iii. Bonds:

The bonds are issued by the business on the pattern of debentures to get funds for financing the growth of the operations. The bonds are secured way of investments as compared to the debentures. The bond holders are paid interest periodically by the business.

iv. Leasing:

Leasing is another way of financing the long term growth and expansion of a business. Leasing offers the fixed assets to the business on a long term basis and the cost of the assets is paid by the business on installments basis with interest. This option is usually opted by those companies which are facing difficulties in getting long term loan from the banks.

v. Certificate of Investments:

The certificates of investments are the long term financing instrument/tool for getting the required funds from the general public. The certificates of investments are issued for a definite period of time and the certificate holders are compensated by paying periodic interest.

vi. Term Finance Certificates:

The term finance certificates are the long term debt tool for getting the required funds. The term finance certificates promises an attractive return to the investors by asking them to invest their money for a specific time.

4.3.3 Process of Obtaining Bank Loans:

The loan process refers to those set of activities which are required to be performed by the lender to grant the loan. When a business wants to obtain a loan from a bank or any other financial institution, it has to fulfill certain procedures to get the required funds.

Step 1: Finance Requirements:

The first step to acquire loan by a business is to estimate the requirements of funds for the business in the upcoming period. If the existing funds are not sufficient to meet the operational needs of a business then the option for obtaining a loan is considered generally from a bank. The finance manager in a business estimates the requirements for cash in the coming months to avert any situation in which a business is unable to make payments to its creditors and other bills.

Step 2: Products Information:

The second step for obtaining a loan is to gather the required information from the market for different options to obtain the loan. This information includes the maximum amount of loan that the business can obtain, the rate of interest on the loan, repayment period, conditions for obtaining the loan and the security or guarantee required for obtaining the loan. A business should avail the maximum possible information from all the banks operating in the area before selecting a bank for obtaining the loan.

Step 3: Bank Selection:

At third step, after the examination of all available information regarding different banks, a business selects a bank for getting the loan. The selection of a bank depends on the analysis performed by the finance manager to obtain the loan. The selection of a bank is generally made by comparing the terms and conditions of the loan with the other banks and the most favorable bank are selected for applying the loan.

Step 4: Documents Preparation:

In the next step, the required documents for the loan application are prepared by the finance manager. These documents include the present financial position of the business, owners details, security details, estimated profit and loss account and the loan repayment plan. Further, any other detail of the assets or liabilities can be requested by the bank to verify the eligibility of the applicant. The documents for making a loan application should be verified and submitted in a timely manner for processing to the bank.

Step 5: Loan Approval:

At last step, the loan application of a person is approved by considering the various factors: repayment capacity of the business, amount of loan, rate of interest and other terms and conditions. The loan application of a person is approved by the manager of a bank by evaluating it as per the defined criteria. Once a loan application is approved, the amount of loan is credited in the account of the business which it can use for meeting the functional needs of the business.

4.3.4 Benefits and Costs of Debt Capital

a. Benefits of Debt Capital:

i. Fixed Payments:

The debt capital carries a fixed interest cost to it that results in projecting the cash outflows of a business correctly. The equity holders as compared to the debt holders demands higher returns with the passage of time.

ii. No Ownership Transfer:

Another benefit of the debt capital is that the ownership of the business is not transferred. The owners of business feel satisfied in getting the long term debt to meet the needs of the business.

iii. Tax Benefits:

The debt capital provides another advantage in the form of tax benefits. The payment of interest expenses on a debt is tax deductible from the profit and loss account of business that results in lower profits and tax liability.

iv. Growth Friendly:

The debt capital is usually obtained by the business to finance the growth and expansion of the business. The debt capital provides funds to purchase new assets and machineries for the business.

v. Easy to Acquire:

The debt capital requires lesser time and procedures to get the funds as compared to the equity capital. The debt can be acquired by providing guarantee in the form of security of fixed assets to a bank.

b. Costs of Debt Capital:

i. Interest Cost:

The interest paid on a debt is the cost that business has to bear while utilizing a loan. The interest is paid on periodic basis and usually calculated on the compound basis adding a significant cost to the business.

ii. Terms and Conditions:

The debt is obtained by a business after agreeing to certain terms and conditions specified in the loan agreement. These terms and conditions sometimes prove a hurdle in the growth and expansion of the business resulting in lower sales.

iii. Repayment Schedule:

The debt becomes payable immediately after acquiring in a clearly drafted schedule. That schedule is designed by the bank irrespective of the conditions of the business that make it harder to repay the loan if the operations of the business are facing difficulties.

iv. Monetary Policy Effects:

The debt obtained by business and the related interest costs is dependent on the discount rate set in the monetary policy. If the discount rate in the monetary policy is increased by the central bank then additional cost is to be borne by the business.

v. Creditors claims on Assets:

Another disadvantage of the debt is that in case of default of a company, the creditors or the lenders have first claim on the assets of the company. This puts the shareholders in a bad position as they get their share after satisfying the lenders debts.

4.4 FINANCIAL PLANNING

4.4.1 Introduction

The success of a business depends on the sound financial planning. The financial planning is a process of managing the funds of a business in an efficient manner resulting in lower costs to the business and bringing higher benefits to the business. The financial planning is done by the finance manager in a business by considering the overall requirements of the business for purchasing different items. The main objective of a financial planning is to provide the necessary resources to a business at the minimum cost without causing any disturbance to the business operations.

Objectives of Financial Planning

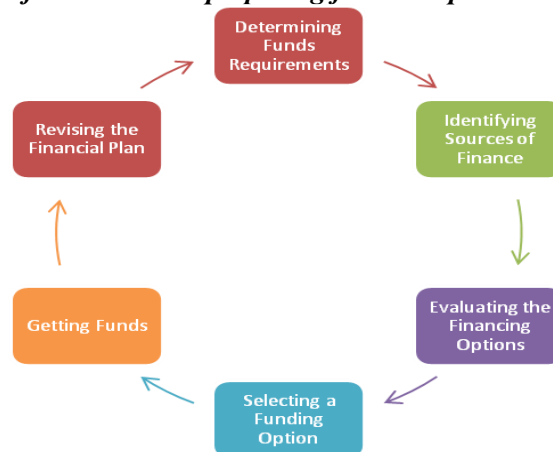
The following are some important objectives of financial planning:

- i. Determining capital requirements which depend upon various important factors such as cost of current and fixed assets, promotional expenses and long- term planning. Capital requirements from both aspects i.e. short- term and long- term are determined.
- ii. Determining capital structure. It is the relative kind and proportion of capital required in the business which includes decisions of debt/equity ratio requirements from both aspects i.e. short- term and long- term are determined.
- iii. Devising financial policies with regards to cash control, lending, borrowings, etc.
- iv. The finance manager ensures that the scarce financial resources are utilized in the best possible manner in order to get maximum returns on investment.

4.4.2 Developing Financial Plans

Once the financial policy is finalized, then the management of the business starts preparing the financial plan to seek the required capital as per the guidance of the financial policy decided by the owners or shareholders. A financial plan is a document that shows an estimate of the funds required from the different sources. It is devised to implement the decisions made in the financial policy.

The typical steps followed while preparing financial plan are described below:



Step 1: Determining Financial Requirements:

The first step in obtaining and using funds efficiently is identifying the financial needs of firm. This task involves assessing the business goals of the firms which in many cases is to maximize the wealth of owners of the business. The timings of financial needs must be determined because it greatly affects the investment decisions e.g., seeking to adjust borrowing needs to the periods when interest rates are low and when returns on investment are at their highest. Both short term and long term funds requirements are considered.

Step 2: Identifying Sources of Finance:

At this stage the sources of finance are identified for meeting the financing requirements of the business. These sources of finance may be internal or external. The internal sources of finance include retained earnings, reserves, owners' equity etc and the external sources of finance include bank loans, leasing, stock exchange etc. There are many options to a business for getting finance for the business depending on its cost and requirements.

Step 3: Evaluating the Funding Options|:

A businessman must evaluate each potential source of funds in terms of specific criteria which is important for the success of the business. These criteria include:-

- i. The cost of obtaining funds.
- ii. The timing of principal and interest payments.
- iii. The future restrictions e.g., obtaining funds from one source may restrict future borrowing.
- iv. Any effect on the control of business implied in the terms demanded by potential sources of financing e.g., selling large block of stock to a single private investor has risk of an outside takeover of management.
- v. The risk involved e.g. the possibility that a contributor may someday withdraw his investment or extract higher interest rates.

Step 4: Selecting Funding Options:

After evaluating the different financing options, the most suitable option is exercised by the management of the business. The suitability of particular source of finance is determined on the basis of cost of funds, terms and conditions, repayment period etc. The selected source of financing is then contacted by the management to get the required funds at the right time. The financial institutions that agree to provide funds to the business may attach any terms and conditions or can demand security from the business against the loan.

Step 5: Obtaining Funds:

After the selection of the financial institution for the different funding options, the demand for the required funds is placed to the financial institution. For this purpose, the negotiations are conducted with the financial institution to set the terms and conditions. The financial institution considers the demand for funds and evaluates the application of the business for granting the required funds. The funds demand should be placed well-before the required time so that the business may get the required funds after the examination of the funds application.

Step 6: Revising Financial Plan:

The final step in financial management is evaluating the financial performance of the firm, this involves:

- i. Comparing actual operations with plans to identify deviations because deviations from plans often change financial needs.
- ii. Assessing the impact of any deviation on future financial plans.

This last step in financial planning feeds results back to the first step for identifying the financial needs of the firm. Any flaw in the existing financial plan is corrected through this step.

4.4.3 Preparing Budgets

A budget is an estimate of the future expressed in numerical terms and bounded by time. There are two necessary conditions for the budgets: first is their expression must be in numbers or quantitative form and the second is that the budget is always prepared for a specific time period. A budget is prepared for the future period to plan the expenses and revenues in advance. The preparation of estimates of expenses and revenues through a budget helps a business to understand its financial position clearly and any deficiency in resources is planned well-before the time.

There are different kinds or types of budgets. A budget may be prepared for the next year expenses.

Sales Budget:

- i. It refers to a type of budget in which the sales for the next year is planned by the business. The sales estimates are collected from the sales agents working in different markets and estimating the customers demand. The sales budget is base of every other budget as it tells the management of a business how much production, labor and materials are required for meeting the customers demand.

i. Expenses Budget:

It refers to the estimation of the expenses of the next year based on the sales budget described above. If the sales of a business are increasing, then more electricity, salaries and other related expenses will occur. The expenses budgets plan the estimated future expenses for the next period.

ii. Profit Budget:

The profit budget is an estimate of the future profits of the business based on the sales and the related expenses. The profit budget estimates the income to be accrued to the business in the next year. It offers the management and the owners an overview of the expected business operations in the next year.

iii. Cash Budget:

The cash budget estimates the expected cash payments and receipts for the next year. It helps to plan the liquidity level of business for the future. The cash deficit or surplus is explored through the practice of cash budgets and the planning is made for meeting the different cash requirements of a business.

iv. Production Budget:

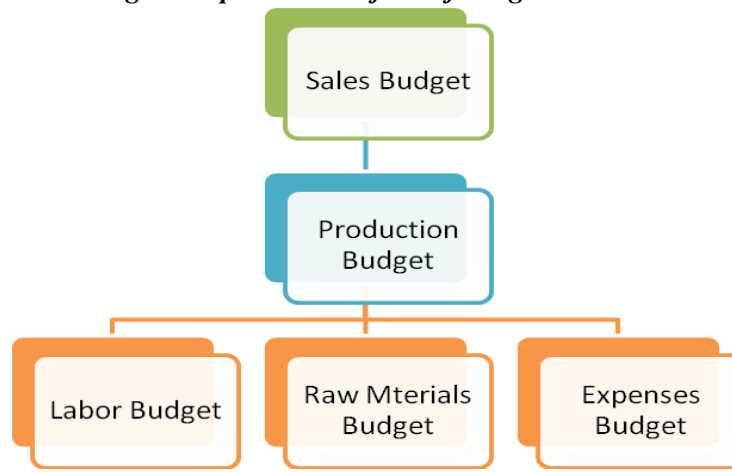
The production budget estimates the expected production of a business for the next year. The production budget is prepared on the basis of the sales budget that tells the

management of a business how much production to plan for meeting the sales demands as described in the sales budget.

v. **Labor Budget:**

The labor budget estimates the required number of workers for the next period to meet the planned production. The production budget becomes the base for the labor budget. The estimated number of workers should be enough to accommodate the unexpected rise in the demand of the product.

The diagram represents the flow of budgets in a business:



4.4.4 The Role of Finance Manager

The finance manager in business is a person who oversees the working of financial matters. These financial matters include all activities that are concerned with the monetary matters i.e. cash receipts, payments, loans raising and repayments, salaries payments, creditors and utilities payments etc. A finance manager is the in-charge of the finance department in a business and works to gather maximum resources for the business at lesser cost and minimum time.

i. **Preparing Budgets:**

The first task of a finance manager is to prepare the budgets for the next period and based on that develop financial plan. The budgets are usually prepared by the different departments and the role of finance manager is to merge the various budgets estimates into a single document to know the scale of funding required for the next year.

ii. **Identifying Sources of Finance:**

The next task of finance manager is to identify the sources of finance for the business. There are different options for a business to get funds. These options include banks, shareholders, creditors; leasing companies etc. the finance manager collects all relevant details related to the financing options.

iii. **Analysis of Funding Options:**

Once the information related to all financing options has been collected, the next task is to analyze the different financing options. These financing options are analyzed by the finance manager in order to know the best suitable option for getting the funds.

iv. Making Investments Decisions:

A finance manager is required to make investment decisions with the help of other management of the business. The surplus funds of the business are invested in profitable ventures so that the funds of the business should not sit idle.

v. Negotiating with the Lenders:

The finance manager is authorized by the management of the business to negotiate with the lenders i.e. banks, creditors, leasing companies etc. to ease the terms and conditions attached with the loans. These negotiations or talks are necessary to get the funds for the business on easy terms.

vi. Dealing with the Banks:

The next duty of a finance manager is to deal with the banks. A bank performs many functions for the business organizations. These functions include payments of salaries, utility bills, and encashment of checks, depositing of extra funds and getting loans. A finance manager maintains good relations with the banks to bring easiness in these matters.

vii. Custodian of Cash:

The custody of cash is an important function as all the cash of the business remains in the custody of finance manager. As a custodian of cash, the finance manager ensures the safe custody of the cash and all measures are taken to prevent the fraud and theft of cash in a business.

viii. Reporting Financial Results:

The reporting of financial results is the responsibility of the finance manager. The financial position of the business, profit and loss and the related cash flows are reported by the finance manager to the management and the owners of the business. The financial results show the performance of the business in a specific period.

ix. Planning Alternate Financing Options:

Another important task of a finance manager is to plan for the alternate sources of finance to face any emergency situation in case of refusal of existing sources of finance. These alternate sources of finance are explored and studied in depth to get best deal on the loans and other matters.

x. Dealing with the Govt. Departments:

An important part of the duties of the finance manager is to deal with the government departments. These departments include FBR, SECP, EOBI, District Officers, Building Controls etc. All these departments interact with the business and their questions and requirements are being answered by the finance manager.

SUMMARY

A business cannot function without getting adequate funding for purchasing assets, paying bills and producing the goods. The area of finance is of particular importance in a business. There are two categories of financing: internal or external. The internal sources include reserves, retained profits, owners capital etc. and the external sources include bank loans, debentures, leasing, mortgage etc. Both of these categories are important for a business to start and grow.

Generally, we categorize finance in two categories: equity financing and debt financing. The equity financing refers to the contribution of owners' capital in the form of equity to the business. The equity capital is difficult to get in the early stage and carries long term cost of providing dividend to the owners with it.

On the other hand, debt financing is concerned with the getting of loans for the business. These loans can be taken from a bank, leasing companies, creditors and family. The debt financing is easy to get as compared with the equity financing, however, there are certain procedures to be followed before making a loan application. The cost of debt financing is the interest payment on the borrowed funds.

The selection of whether to get equity or debt capital is based on the financial planning of a firm. The financial planning is done by financial manager, this includes making projections of sales, income, and assets based on alternative production and marketing strategies and then deciding how to meet these financial requirements. Generally, business firms, seeking to maximize earnings for the owners, employ a combination of short and long term capital.

Test Questions:

1. What is finance? Describe in detail the sources of finance for a business.
2. What is equity capital? Discuss in detail the process of raising equity capital.
3. What is debt financing? Compare the costs and benefits of debt and equity financing.
4. Can a business flourish without getting bank loan? Explain.
5. Describe in detail the process of getting a bank loan.
6. What is financial planning? Discuss in detail the objectives and importance of financial planning.
7. What are the budgets? Describe in detail the types of budgets in a business.
8. Explain in detail the duties of a finance manager in large business organization.

Unit–5

BUSINESS OPERATIONS

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INTRODUCTION

In the earlier units, students have learned the concept of business and its nature, opportunities available, different forms of business entities, and various modes of financing. The discussion, now, moves one step further and the student, having sufficient knowledge of above aspects, will now learn about the operational aspects of the business. The operational aspects refer to the flow of activities in a business that must be carried out to make a product or render some services. These activities include selecting a location or premises of the proposed business and designing its layout, hiring labour, defining business activities and raw materials planning. The student will also learn the functions of purchasing various items and commodities and how to have effective control these items to ensure their timely availability for the production process and safekeeping until they are sold.

The elements of production management and control required to achieve efficiency in manufacture of marketable commodities are discussed in detail in this unit. Simply, this unit will educate the students about the practical side of the business by focusing on the set of activities or tasks a business needs to accomplish for achieving the objectives set in plans.

OBJECTIVES

The objective of this unit is to inform the students with business operations i.e. location & layout, purchase & inventory control and production planning. The study of this unit will enable the student to:

1. Fully understand the factors which are required to be considered for location of business.
2. Consider the essential requirements of layout for the business premises.
3. Understand the policies and practices involved in the acquisition of goods of various kinds.
4. Enforce required control over all purchased items until these are sold out.
5. Anticipate the production problems faced by a manufacturing business and how these are effectively resolved through practice of scientific management.

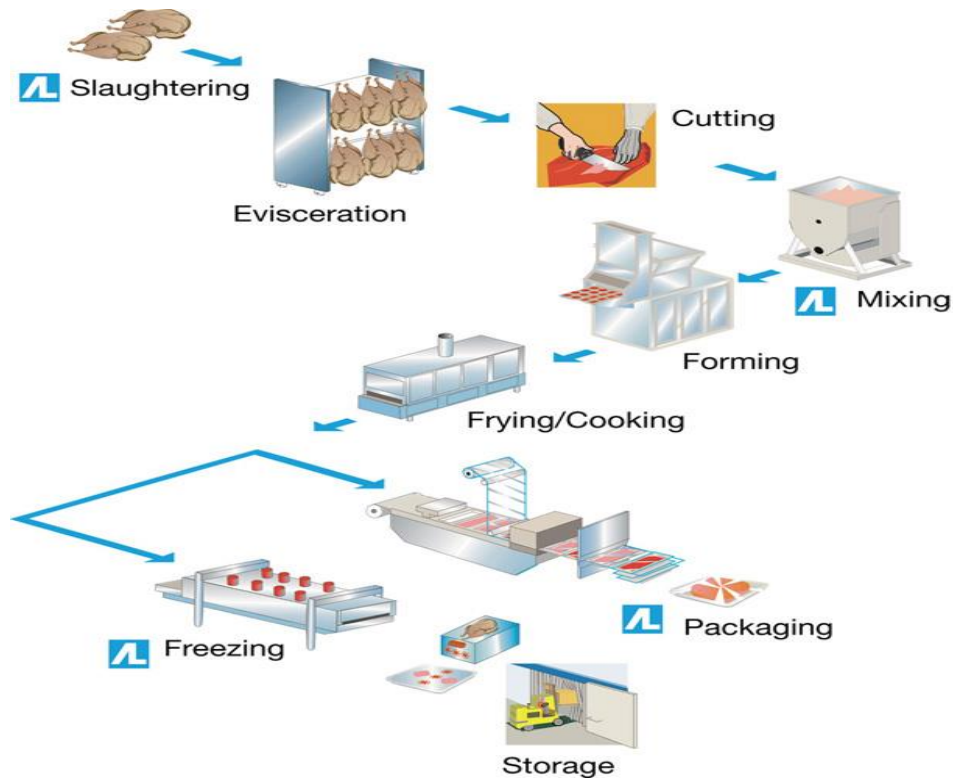
5.1 OPERATIONS MANAGEMENT

5.1.1 Introduction to Operations

In the last units, we have discussed the different areas of business. We started in first unit with the understanding the concept of business and its nature. In second unit, we have analyzed the various forms of business with regard to the ownership structure. In third unit, we have studied how a business is managed by the owners. In fourth unit, we have elaborated the role of finance in the management of a business. All these four units were aimed at educating the students the basics of business in order to help them to know the foundations upon which a business is run.

Now, in this unit, we shall concentrate on the practical side of a business by studying the processes for running a business. These processes are covered in the operational matters of a business. The operational matters or simply operations are set of activities or tasks a business is required to perform to make a product for the consumer. These activities are performed by considering the objectives set in the plan developed by the management earlier. The pre-determined objectives are divided into different areas and a set of activities is developed to carry out the production process.

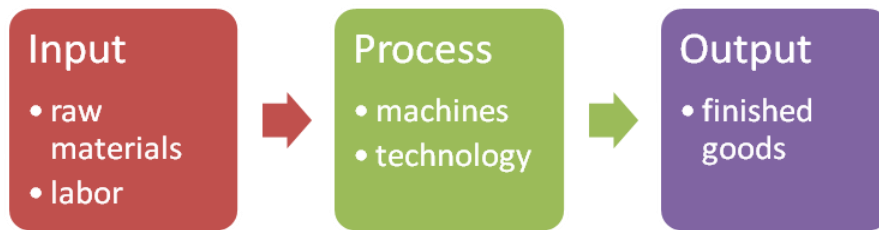
The figure below presents a process view of a poultry meat processing factory:



The above diagram shows the step-wise operations in a meat processing factory. At first step, animals are slaughtered, in second step cleaned and cut into parts in the third step. In fourth step, mixing of spices is done and forming is completed in fifth step. Next, the meat parts are put on fire and cooked. After this, the cooked meat is packed and stored in the freezing department to prevent spoilage.

5.1.2 Process of Operations Management

The operations management process refers to a process in which all the operational matters of a business are performed. These operational matters are classified into three stages. The first stage is called inputs where all the raw material is gathered to make a product. This raw material is converted with the help of labour. The second stage includes machines and technology that converts the raw materials into the finished good. The third stage is called outputs which show the finished goods produced by a business. The activities performed in the operations of a business are designed to process the raw materials into the finished goods by taking minimum time and cost.



The operations management process is composed of the above mentioned stages: inputs, process and outputs. The operation manager in a business performs the functions described in each stage for carrying out the necessary activities required for producing a finished good. At the input stage, an operations manager tries to contact the suppliers for getting the required raw materials and hiring the relevant workers. At process stage, the raw materials and labor acquired at input stage is processed using machines and technology. Lastly, at output stage, the results of processing are shown in the form of finished goods.

5.1.3 Elements of Operations Management

The operations management system should have certain features or qualities to make it effective for the achievement of the business objectives. The presence of these features in an operations management system makes it easier for the management and workers to understand and implement the tasks or activities assigned to them. These features or requirements are discussed in detail below:

i. Defining Tasks:

The first requirement for managing the operations in a business is to define the tasks or activities in a business. The definition of activities includes identifying the tasks, determining the methodology for performance and inserting performance indicators. Once a task or activity is defined, the next requirements for the operations of the business can be planned easily.

ii. Division of Labour:

The next requirement for an effective operations management is to assign the labour or workers to a tasks or activity by using the principle of division of labour. The principle of division of labour calls for assigning of different workers to each task so that the work can be completed in a timely manner and the workers specializes in their respective tasks or duties.

iii. Scheduling:

The third requirement for an effective operations management system is to allocate time for each planned task or activity. The allocation of time implies the assignment of time limits for completing each task in an efficient manner. By inserting time limits in the operations, the workers are made accountable for achieving the targets assigned to them.

iv. Controlling:

The fourth important feature that should be in a good operations management system is the controlling role of the operations manager. The controlling role means the checking of performance of the workers by comparing it with the assigned targets to know any deviation from the planned objectives. A successful operational manager always pays heavy attention to the controlling function in order to minimize the operational deviations.

v. Feedback:

The last feature of an ideal operations management system is the existence of a feedback system. The feedback system refers to the inquiries on the implementation mechanism of the system. These inquiries relate to the tasks or activities to be performed in a business and planned by the operational manager. The feedback feature allows the operations manager to rectify any mistake in the performance of different tasks or activities in the operational areas.

5.1.4 Development of Operational Plan

The operations for performing the different tasks or duties in a business are planned by the operations manager to develop a sound and dynamic operational plan. An operational plan is basically an action plan for the performance of the operational tasks or duties for the routine functions of the business entity. The operational aspects are described in the operational plan by highlighting the tasks to be performed along with the workers assigned bounded by time limits. A brief detail of the factors to be considered for planning an operation or the development of operational plan is presented below:

i. Nature of Business:

The first factor to be considered for the development of an operational plan is the nature of business. The nature of business implies the type of goods or services produced by a business. An operational plan for a sugar mill would be quite different from the operational plan of a textile mill. The nature of business activities to be performed for the manufacturing of finished goods primarily determines the action plan for the operational plan.

ii. Strategic Vision:

The second factor to be considered for the development of the operational plan is the strategic vision of the business entity. The strategic vision means the long term goals

of the business that it wants to achieve to please its owners and customers. The operational plan of a business should be based on the long term plan of the business and the related objectives should be incorporated in the operational plan to achieve the maximum financial benefits.

iii. Organizational Strengths:

The third factor to be considered for the development of the operational plan is to consider the organizational strengths of the business. The organizational strengths mean the additional factors present in a business that are absent in the competitors. These factors may be a good building, latest technology, new machines etc. The presence of such factors sends a signal to the operational manager to utilize the potential of such factors.

iv. Time-Limits:

The next feature to be considered in a operational plan is the insertion of time limits for each activity to be performed. The time-limits enable the management and the workers to understand each other's requirements and work accordingly. It also guides the operations manager to plan the tasks for the workers by keeping in view the available time for meeting the demands of the customers.

v. Manpower Required:

The fifth factor to be considered for the development of the operational plan is to review the existing manpower of the business and estimate the number of workers required in the future. This exercise results in keeping the right number of workers in the business which can be assigned to different tasks for the performance of the various functions.

vi. Suppliers Role:

The next factor to be considered for the development of the operational plan of a business is to consider the role of suppliers. The operational activities require the inputs to be converted into the outputs for the business. The inputs include raw materials which are processed to make the finished goods for the consumers. The suppliers' role is of extreme important because the non-supply of essential raw materials results in production delays.

vii. Technology Requirement:

The mere collection of raw materials is not enough. The technology, machines & software, is required for converting the raw materials into the finished goods. The type of technology required for making a product should be planned in advance so that the production of the required product can be done easily and in a timely manner.

viii. Customers Demand:

Another important factor is the estimation of the customers' demand for which we are developing an operational plan for meeting their needs. The customers demand should be estimated in a correct manner to avoid product shortages or excesses. The customers demand should be collected from the sales teams operating in the field offices and should be communicated in a timely manner to the business entity.

5.2 LOCATION & LAYOUT OF THE BUSINESS OPERATIONS

5.2.1 Importance of Location

In the last topic, we studied the nature of operations and the art of management of operations through the development of an operational plan. The operational plan sets the detail on how, where and whom will be responsible for carrying out the routine transactions on day-to-day basis. Once an operational plan is finalized, the next task is to implement it within the agreed time. The first factor to be considered for this purpose is the identification and selection of a location for carrying out the manufacturing activities.

A plan location depicts the various options for accessing the target markets. The favorable location of plant in a business makes it easier for the management to hire workers, get raw materials, contacting financial institution, reporting to shareholders, availing tax credits and accessing government departments.

5.2.2 Selection of Business or Factory Location

While making a decision about the place where the factory is to be set up, following points should be carefully considered:

i. Availability of Land:

After determining the size of the proposed factory building, it would be better to choose a locality where there is a space for present factory as well as for future expansion.

ii. Raw Materials:

Raw material is the vital factor and it plays a significant role in the selection of site. The question of raw materials is important, especially where the raw materials are either bulky or heavy and where transport facilities are available.

iii. Power Resources:

Where the manufacturing processes require enormous supply of power, it is better if the factory is located very near to the sources of power, viz electricity, gas etc.

iv. Labour:

In every manufacturing industry labour is essentially necessary to a great extent, and factory should be located where supply of labour is abundant (especially of required skill).

v. Capital:

The capital is necessary in each industry. Therefore, the site of factory if selected near the town and cities would be more advantageous. Big cities and towns provide sources of raising the required capital.

vi. Marketing:

The closeness of target market to the planned location of a business should be considered the marketing facilities of the finished goods should be carefully considered specially distribution and retail networks.

vii. Transport:

The cheap and efficient movement of transport for bringing raw material and disposal of finished goods are important in locating the site of factory. Hence access to rail, road and air transport must be considered.

viii. Govt. Laws:

The selection of location is dependent on several type of laws affecting business. These include labour laws, tax regulations, property registration, product safety laws, environmental laws etc.

ix. Climate:

Some industries are seriously affected by climate and change in weather. The climate features should also be kept in view while selecting a location.

x. Local Amenities:

The other supporting facilities in addition to the plan location should also be considered. These include availability of housing, shops, banks, hospitals, post offices and other services.

xi. Foreign Investment:

If the business or industry is to be set up in a foreign country, following points should in addition be kept in view:-

- a) Political situation in the country
- b) Incentives afforded by foreign country
- c) Remittances facilities available
- d) Chances of nationalization or take-over

xii. Tax Credits:

It is usual practice that governments offer tax concessions for establishing factories in a selected area generally in rural and backward areas. The management should consider the tax credits or concessions that a business can avail while selecting a location for the business.

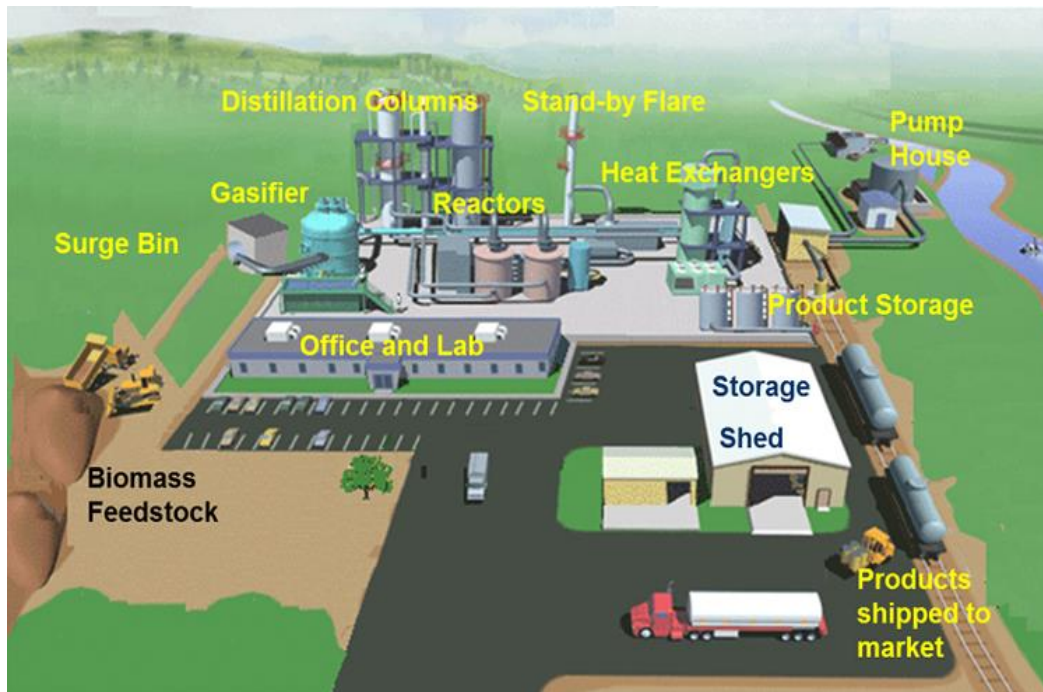
xiii. Availability of Export Options:

The selection of a site for business location should be made by keeping in view the export option. If the product of a business is acceptable in the international market, then exporting it makes a profitable sense for the management.

5.2.3 Plant Layout

After selecting the location of a business or industry, the businessman has to decide about its lay-out. The word "layout" means the design and the way in which different parts of the business buildings or factory will be located in relation to one another. The type of layout problem depends upon the nature of the business i.e. whether it is a manufacturing company or a retail store or an office. The form and shape of layout in a business shows the arrangement of different facilities in a business.

The following diagram represents a layout of a factory showing its different areas:



The Components of Plant Layout:

i. Building:

The factory site having been chosen the next consideration is to decide the design of the building which is going to house the plant and machinery as well as the workers. There are two basic designs of factory buildings:

- a) The single-story building, and
- b) The multi-story building

ii. Floors:

There must be properly constructed floors for machine, offices, canteen and other service offices for timely completion of the assignment etc.

iii. Electricity, Gas etc.:

There must be electric and gas connections for required load to run the machines and for lighting. In case of load-shedding there must be a stand-by generator.

iv. Water:

The factory must either have its own tube-well for supply of water or a reliable water supply connection for a continuous supply of water.

v. Boiler-House:

The factory should also have its own boiler-house to meet heating requirements and steam supply. The boiler-House should be designed by the experts to meet the factory's requirements.

vi. Materials Handling:

This is a very important service and adequate material handling equipment like

forklifts, trucks, trolleys etc., must be available for quick and timely movement of work-in-progress from one machine or place of work to another one.

vii. Service Departments:

There are following auxiliary departments to provide services to the main activity of production:-

- a. Administration Department.
- b. Accounts, Finance and Costing Department.
- c. Store Department

5.2.4 Types of Layout & Requirements of a Good Layout

There are two very important methods of plant layout. These are process layout and product layout:

i. Process Layout:

In process layout, there is one process for each department. All similar machine line is grouped together. This layout is associated with batch production and is sometimes referred to as functional layout. The advantages of this type of layout are the advantages of batch production and these are mostly concerned with flexibility.

ii. Product Layout:

This is often called “line layout” and is associated with flow or continuous production. In each department a group of machines deal with successive operations to produce the finished product. The department then becomes a product manufacturing department rather, than a single process department. The advantages of product layout are quite different from those of process layout in that the underlying theme is high output in order to reduce unit manufacturing cost.

Requirements of a Good Layout:

Though it is difficult to define a good layout, the following requirements must be met satisfactorily by a good layout:-

i. Flexibility:

The first feature in a good layout should be flexibility in making adjustments with respect to the processes, machines and products. The flexibility implies an ease of re-adjustment in the processes.

ii. Coordination:

The co-ordination refers to the combine efforts required for making a product. The layout should be designed in such a way that it should encourage co-ordination among the labour.

iii. Capacity Utilization:

The layout should be designed in such a way that it should encourage maximum capacity utilization. The capacity utilization means the achievement of full production capacity.

iv. Visibility:

The layout should be designed in way that the components of the layout should be visible and clearly marked for guidance. The labour should be aware of the different parts of the layout.

- v. **Accessibility:**
The layout of a plant should be accessible to the labour and staff and too many security restrictions should not be placed. Further, the placement of machineries should be in such a way that labour can move in between them easily.
- vi. **Minimum Distance:**
The machines in a layout should not be placed at a longer distance resulting in co-ordination problems. The distance among the machines should be designed by the experts.
- vii. **Machine Handling:**
The layout of a operations in a business should be easy for workers to handle different machines. The easiness in operating different machines creates efficiency in the production process.
- viii. **Minimum Discomfort:**
The placement of machines and design of processes should be in a way that do not cause discomfort and troubles among the workers.
- ix. **Safety of Workers:**
The layout should be designed in a way that ensures the safety of workers. The placement of machineries should be in a way that minimizes labour interaction with the dangerous areas of machines.
- x. **Security of Machines:**
The layout should be designed in a way that ensures the security of the machines. The theft and fraud prevention measures should be designed in careful way.

5.3 PURCHASING & INVENTORY CONTROL

5.3.1 Importance of Purchasing

In last topic we have studied the layout and location requirements for performing different business operations. Once these decisions are made by the operational manager, the next task is to conduct the physical operations and start production process. The production process requires the careful inventory planning. The inventory planning refers to the estimation of required inventory levels of raw materials. The planning for purchasing different raw materials is done by the managers in a separate department called purchase department.

The business operations rest on the key function of purchasing. The purchase department is responsible for providing the necessary raw materials and other items to be used as inputs for making different products. These products require various combinations of raw materials and overheads to be used in the business. The quality and speed of purchase department in the handling of duties creates an edge for a business organization to compete in the market.

A purchase manager is responsible for making reasonable supply of raw materials to the production process. In addition to this, a purchase manager is also responsible for making good estimates of future materials requirements. To achieve this objective, the purchase managers are required to develop contacts with the market suppliers to get a raw material on discount basis.

The brief functions of a purchase department can be summarized in the following way:

- i. What to purchase?
- ii. How much to purchase?
- iii. When to purchase?
- iv. At what price to purchase?
- v. Where to purchase?

5.3.2 Functions of Purchase Department

Following are the functions of a purchase department:-

i. Receiving Purchase Requisitions:

The first task of a purchase department is to receive the purchase requisitions from the production department. The production department makes its estimates of the materials required in the coming weeks or months and sends this demand note in the form of purchase requisition to the purchase department. The purchase department then process it and makes a purchase order for getting the required materials. A specimen of this purchase requisition form is given below:

PURCHASE REQUISITION FORM (SAMPLE)

No. _____ Regular _____ Date

Date by which materials are required.....

Special Instructions.....

Serial No.	Description of Articles	Stores Code No.	Quantity Required	Remarks

ii. Suppliers Selection:

Once a purchase requisitions is received from the production department, the next task is to select a suitable suppliers for placing the purchase order. The selection of a supplier is dependent on several factors; price, availability of item, delivery time, discounts, returns options etc. A purchase manager, after considering all these points and performing an analysis of the suppliers, selects a best option for ordering the required raw materials.

iii. Preparing Purchase Orders:

After the selection of a supplier, the next task is to prepare a purchase order for getting the required materials. A purchase order is prepared by keeping in view the time and specification of raw materials sent by the production department. After preparation, a purchase order is sent to the suppliers or vendors for getting the required materials.

iv. Receiving Materials.

After the placement of purchase orders to the suppliers, the suppliers or vendor supplies the required materials to the business. The items required in purchase orders are supplied by the vendors. The workers appointed in the receiving section of the purchase department receive the raw materials supplied by the vendors. The suppliers send invoices of the goods shipped to the business along with the bills for the raw material.

v. Inspecting & Testing Materials:

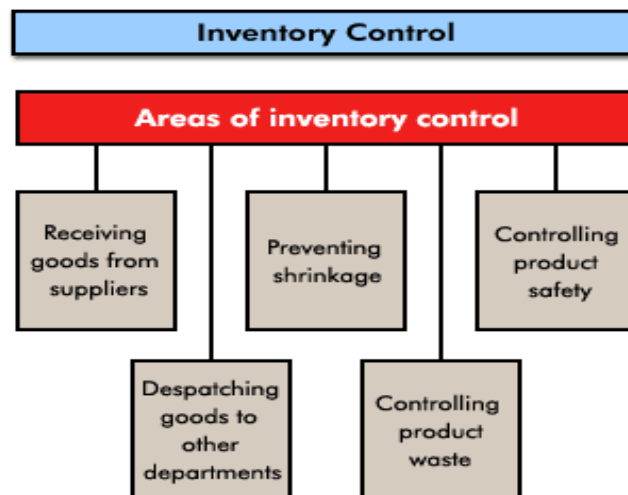
Once the material is received from the suppliers, the next task is to inspect and test for checking quality and quantity. A comparison is made between the purchase order and invoices sent by the suppliers. This step is performed to find any deviation from the purchase orders placed by the purchase department to the suppliers.

vi. Processing Invoices:

After the completion of inspection and testing, the next function of the purchase department is to process the invoices of the bills. The processing of the bills implies the checking of amounts claimed by the suppliers along with the quantity of the materials supplied. The bills for materials is then cross-checked against the quotations, inspection reports and purchase orders and only verified bills are approved and sent for payment to the treasury department.

5.3.3 Inventory Control

The inventory control is the supervision of supply, storage and accessibility of items in order to ensure an adequate supply without excessive oversupply to the production department. There are different activities or tasks required to be performed for controlling the supply of necessary inventory items to the production department. The activities performed in the areas of inventory control are shown in the diagram below:



The areas of inventory controls shown above falls under the management of an operational manager. The first activity for an inventory control department is receiving goods from the suppliers and performing inspection to match the goods with the purchase orders and

invoices. The second area of the inventory controls is making steps to prevent shrinkage and losses. These steps are designed to minimize the losses incurred due to the seasonal and non-seasonal factors i.e. weather, heat, floods, etc. The third area for the performance of activities in the inventory control is ensuring product safety. Once a product is developed, its storage should be designed in a way that prevents theft and losses.

The fourth area that falls under the influence of the inventory control is to dispatch goods to the other departments. For example, after the completion of production process, a product might be required to be sent to the packing department. The inventory control department performs this function to move the business operations in the right way. Lastly, the inventory control department takes necessary measures to prevent product wastage. These measures may include proper storage of the raw materials, advising production department to plan by-product out of the wastage produced in a process.

5.3.4 Essentials of Inventory Controls

The main essentials of materials control are as follows:-

- i. Material requirements should be properly worked out by using different tools and methods keeping in view the safety stock levels and emergency situations.
- ii. There should be effective coordination among the departments involved in the purchasing, receiving, inspection, storage and accounting.
- iii. Purchases of materials should be centralized i.e. one purchasing department should be authorized to make all purchases of materials to avoid reckless buying by all departments and to ensure that all purchases are made at the most reasonable prices.
- iv. Standard forms for requisitions, orders, issue, and transfer of material from one job to the other job and transfer of material from the job to the stores should be used.
- v. There should be proper inspection of materials when they are received by the receiving department and any deviation is explored.
- vi. A good method of classification and codification of materials should be followed by keeping in view the simplicity and consistency of the codes and procedures involved.
- vii. The storage of materials should be well-planned to avoid losses from theft, carelessness damage, deterioration, evaporation and pilferage.
- viii. A good method of issue of material to various jobs, order or processes should be followed so that there is delivery of right type of materials to the jobs, orders or processes in the right quantity at the time they are needed.
- ix. Perpetual inventory system of material records should be operated to facilitate regular checking and closing down factory for stock taking. With this system, it is possible to determine at any time the quantity and value of each type of material in stock.
- ix. Minimum, maximum and re-ordering levels for each type of material should be fixed to ensure that there is no shortage of materials and that there is no overstocking.

5.4 PRODUCTION ACTIVITIES AND PROBLEMS

5.4.1 Factors Affecting Operations

During the course of production, various factors need to be considered by an operations manager. These factors include quality control, research & development, technology, labour issues, raw materials availability etc. These factors have an impact on the performance of the production processes. An operational manager should be aware of these factors and must strive to plan and execute an effective strategy to achieve the objectives of an operational plan.

These factors are discussed in detail below:

i. Labour:

The first factor to be considered for the effective performance of the planned operations is labour. The workers employed in a business are responsible for running machines to convert input into the output. The skills of labour are highly important for the achievement of production targets.

ii. Raw Materials:

The second issue in a production department for consideration of the management is the quality and timely availability of the raw materials for a business. The suppliers of the raw materials are contacted by the purchase manager well-before the time and purchase orders are placed by specifying a schedule for the delivery of raw materials.

iii. Technology:

The third factor that needs to be considered by a business is the use of technology in the production processes. A business that is using modern computerized machinery is in a better position to manufacture the quality goods and supply the same to customers. The technology is a dynamic factor as it keeps changing after every year.

iv. Research & Development:

Another major issue in the operations management is the constant revision of the existing product made by the business. This revision is done by the researchers employed by the business or some third party having a contract with the business. The customers of a business demand quality that requires a constant focus on the production process with regard to the quality assurance.

v. Power Supply:

The operations in a business are performed using various machines. These machines require constant power supply in the form of oil, electricity, gas, coal etc. The supply of power enables an operations manager to timely complete its operations and production targets. A business should consider different modes of power supply and should select a reliable and less costly mode of power supply.

vi. Repairs and Maintenance:

The machines used in the operations of a business require periodic repairs and maintenance due to their consistent use in the business. A separate department should be established for dealing with the repairs and maintenance issues.

The work schedules of the labour working in the operations in a business should be flexible, task oriented and reward should be planned accordingly.

vii. Possibility of Outsourcing:

The outsourcing refers to the assignment of operations wholly or partly to an outside business organization. For example, a business may shift its mixing of raw materials activity in the manufacturing process to a third party against a fixed payment. The outsourcing enables an organization to save time and cost and focus on other key areas for value addition.

viii. Political Factors:

Lastly, we need to keep in mind the business operate within an overall political system. The instability in a political system also affects the ability of business to run its operations effectively. The production processes may be delayed due to the strikes, government change, riots, social disorders, army operation etc.

5.4.2 Scientific Management

The scientific management refers to a theory of management that deals with the flow of different activities in a business. The main objective of this theory is to highlight the patterns of workflow in various activities of business. Further, this theory attempts to explain the allocated time for each activity performed in a business especially in the operations. This theory was advocated by a French scientist Fredrik Taylor who laid emphasis on time-bounded interaction men and machines. The rules of scientific management developed by its earlier proponents contain guides on designing the operational activities of labour working in the business processes by assigning specific time for the completion of various tasks. A very important feature of the scientific management principles is based on the time and motion studies which are explained below:

Work study is thus a valuable tool of management and has its effect on a number of fields, including the following:

- i. Process efficiency
- ii. Materials management and handling
- iii. Plant layout and production methods
- iv. Manpower utilization
- v. Incentive schemes
- vi. Plant and equipment utilization, and
- vii. Clerical and administrative work

5.4.3 Managing Logistics in Operations

Logistics is the management of the flow of things between the point of origin and the point of consumption in order to meet requirements of customers or corporations. The resources managed in logistics can include physical items, such as food, materials, animals, equipment and liquids, as well as abstract items, such as time, information, particles, and energy. The logistics of physical items usually involves the integration of information flow, material handling, production, packaging, inventory, transportation, warehousing, and often security. The minimization of the use of resources is a common motivation in logistics for import and export.

The following diagram shows the activities of logistics in a business:



The above diagram shows the role of logistics in moving goods towards consumers by taking them from manufacturer. The position of suppliers and retailers is also shown to depict the true picture of the movement of goods in the business.

The logistics management deals with the arrangement of different vehicles and other transport mechanisms for moving goods from one place to another. The operations of a business affect highly in response to the practice of logistics maintained by a business. The acquisitions of requirements draw materials and sending the produced goods to the stores involves complex set of activities dealing with the arrangement of transportation tools. The logistics in a business can be categorized in the following ways:

- i. **Procurement Logistics** consists of activities such as market research, requirements planning, make-or-buy decisions, supplier management, ordering, and order controlling.
- ii. **Distribution Logistics** are concerned with the delivery of the finished products to the customer. It consists of order processing, warehousing, and transportation. Distribution logistics is necessary because the time, place, and quantity of production differ with the time, place, and quantity of consumption.
- iii. **Disposal Logistics** has as its main function to reduce logistics cost(s) and enhance service(s) related to the disposal of waste produced during the operation of a business. The disposal of by-products and other normal and operational losses are done through it.
- iv. **Emergency Logistics** refers to the specific time-critical modes of transport used to move goods or objects rapidly in the event of an emergency. The reason for enlisting emergency logistics services could be a production delay or anticipated production delay, or an urgent need for specialized equipment to prevent events.

- v. **Production Logistics** describes logistic processes within a value adding system (ex: factory or a mine). Production logistics aims to ensure that each machine and workstation receives the right product in the right quantity and quality at the right time. The concern is not the transportation itself, but to streamline and control the flow through value-adding processes and to eliminate non–value-adding processes.

5.4.4 Inventory Management

The inventory management is an area specifying the shape and percentage of stocked goods in a business. It is required at different locations within a facility or within many locations of a supply network to precede the regular and planned course of production and stock of materials. The scope of inventory management concerns the fine lines between replenishment lead time, carrying costs of inventory, asset management, inventory forecasting, inventory valuation, inventory visibility, future inventory price forecasting, physical inventory, available physical space for inventory, quality management, replenishment, returns and defective goods, and demand forecasting. Balancing these competing requirements leads to optimal inventory levels, which is an ongoing process as the business needs shift and react to the wider environment.

There are five key **benefits of a good inventory management system** for keeping an inventory:

1. **Time:** The time required in the supply chain, from supplier to user at every stage, requires certain amounts of inventory to use in this lead time. However, in practice, inventory is to be maintained for consumption during 'variations in lead time'. Lead time itself can be addressed by ordering that many days in advance.
2. **Seasonal Demand:** A demand varies periodically, but producers' capacity is fixed. This can lead to stock accumulation; consider for example how goods consumed only in holidays can lead to accumulation of large stocks on the anticipation of future consumption.
3. **Uncertainty:** Inventories are maintained as buffers to meet uncertainties in demand, supply and movements of goods. The uncertain and emergency situations are met by the safety stock in the warehouses.
4. **Economies of scale:** The bulk buying of different raw materials brings discounts that turn into the savings for the business. Ideal condition of "one unit at a time at a place where a user needs it, when he needs it" principle tends to incur lots of costs in terms of logistics. So bulk buying, movement and storing brings in economies of scale, thus inventory.
5. **Appreciation in Value:** In some situations, some stock gains the required value when it is kept for some time to allow it reach the desired standard for consumption, or for production. For example; dry fruits and juices.

SUMMARY

In this unit, you have studied the role of operations in converting raw materials into the finished product. For successful business operations, the first factor to consider is the location of plant or machinery. The location of a business and industry must be carefully

determined as profitability of the firm or company may also depend on location area where political disturbances are frequent must be avoided. The factors which are to be considered while selecting a particular location are: area, availability of land, labour, capital, tax credits, market access, suppliers etc.

Once a location is finalized, the next task is to plan the layout of the business unit. The layout means the design and the way in which different parts of the business buildings and machineries will be located in relation to one another. The suitability of having a single-storey or a double story building coupled with the offices, canteen, water and electric supply, boiler house, gas and material handling etc. must be carefully considered on the basis of relative advantages of each one.

After completion of layout phase, the next task is to plan the production of the business. To achieve this goal, a business starts operations by buying raw materials from the suppliers. The duty of purchasing rests with the procurement or purchase department which selects contacts and arranges supply of raw materials. The activities of the purchase department are closely monitored by the operations manager. A good operations manager plans for several factors that can potentially affect the performance of a business. In the end, we have suggested some measures to counter the production problems that usually occur in factories. These measures include running operations of a business on scientific management basis employing the ideas of time and motion studies and managing logistics to ensure timely availability of goods. Further, some inventory management methods have been suggested to effectively manage the inventory levels of a business.

Test Questions:

1. What do you understand by the term 'operations'? Explain the scope of operations management in detail.
2. What is an operational plan? Describe in detail the contents of an operational plan of manufacturing business.
3. What is meant by the term 'location'? Explain in detail the factors to be considered while selecting location of a business.
4. Explain in detail the concept of layout in the operations management with diagrams.
5. Describe in detail the functions of a purchase department in a manufacturing business.
6. What is inventory control process? Describe in essentials the of a good inventory control system.
7. Explain in detail the different inventory management systems that can be used by a manufacturing concern.

Unit–6

MARKETING

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INTRODUCTION

In the previous unit, we have studied the production and operational concepts for making a product. Once a product developed, the next stage requires to deliver it to the consumers in a timely manner. To achieve this objective, we need marketing ideas to sell the product. The field of marketing deals with the delivering products to the consumers at the right place in a timely manner. The marketing system works to provide abundance of goods used in our society. The marketing process starts with identifying consumers' needs and communicating their demand to the product design department. After this, when a product is developed or manufactured; the marketing department is assigned the task of selling it in the market. To achieve this objective, a marketing plan is created to meet the sales targets. This unit will discuss all the activities related to the marketing and will introduce the set of responsibilities that a marketing department is required to perform.

OBJECTIVES

The objectives of this unit are to enable students to understand the following aspects of marketing:

1. The nature of the marketing system, its component parts, and the functions
2. Define product development, its attributes, packaging, branding and its life cycle.
3. Strategies that are followed by the managers of marketing agencies and institutions.
4. Factors which influence their decisions on pricing, advertising, research, and organization of marketing functions.
5. Various channels of distribution for delivering the product to the consumers.

6.1 THE NATURE OF MARKETING

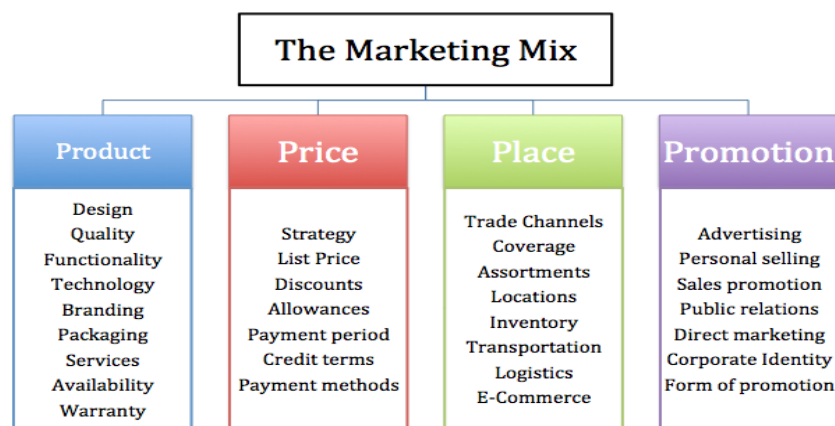
6.1.1 Introduction to Marketing

In the last units, we have discussed the operational aspects of a business that largely deals with the internal matters of a business. In this unit, we are going to study the major player for a business that exists outside the business: the consumers. The consumers are the persons which buy and consume the products of a business. The marketing activities are concerned with the capturing and retaining the consumers by meeting their demands for a product. The other departments in a business are concerned with the internal matters, while the marketing department deals with the consumers and play an important role in the earnings for a business.

The role of marketing is concerned with all of the resources and activities involved in the flow of goods and services from the producer to consumer. To meet the consumers' needs, products are moved from one place to another, stored, priced, bought and sold. The estimation of consumers demand from the market and communicating it to the production department for developing a product as per the customers' requirement is the first task of a marketing department. When a product is developed, the suitable channel is selected for advertising its benefits and the product features to the consumers. Along with the advertisement, a network of dealers and distributors is developed to deliver the finished product to the consumers.

6.1.2 Marketing Mix

The concepts of marketing can be described in several ways. Different scholars have categorized the activities of the marketing department in various ways. A marketing plan is developed by a business to design and co-ordinate its marketing efforts. The concept upon which a marketing plan is developed is called the marketing mix. A marketing mix consists of all those activities and efforts which a business put in place to deliver a product to the consumers as per their demand. Alternatively, a marketing mix is a set of tools that a business possesses to influence the demand of a product in the market. The most common marketing conceptual framework is developed by E. Jerome McCarthy in 1960 and is called the 4Ps. The four Ps refers to the product, place, price and promotion in the context of a marketing mix.



As the above diagram shows, the set of activities to be performed in a marketing mix is listed under the respective headings.

i. Product:

The product refers to the design of the goods or services manufactured/developed by a business. In this area, the features or attributes of a product are designed and developed and these include defining quality parameters for the product, establishing a brand name, designing packaging, after sales services and warranty claims requirements. The product function also includes the development of training manuals for guiding the consumers for using the product. Further, the technological features (website or toll free help line) are also developed to give a friendly view to the consumers.

ii. Price:

The second tool in the marketing mix is the decisions regarding the price of a product. The pricing decisions involves analyzing the existing pricing trends in the industry, looking towards the competitors, designing discounts for the various classes of consumers, establishing credit terms and conditions, exploring the partnership with the banks and offering different payment methods to the consumers and dealers. The pricing decisions are fundamentally concerned with the offering an appropriate price

iii. Place:

The place in a marketing mix refers to the network of dealers, distributors, wholesalers and retailers that ultimately deliver a product to the consumers. It also includes the arrangement of transport for delivering the product, storage and inventory management and establishing a reserve position to avoid the possibility of stock-outs. Further, the platform of e-commerce is also explored to use the internet and phone networks to reach the target market and deliver the product to the consumers at the right time.

iv. Promotion:

The promotional activities include all those strategies adopted by a business to aware the consumer of the benefits of using the product. It includes developing advertisement, partnering with other brands, personal selling, developing institutional linkages and public relations. Further, the promotional activities also include media management and establishing channels of communication.

6.1.3 Functions of Marketing

The functions of marketing refer to the set of activities performed in a marketing department. These functions describe the overall working of a marketing department in a business. A diagrammatic presentation of these functions is given below with details in the coming lines:

i. Selling:

The first function of marketing is to sell the products of a business. It is concerned with the persuasion of potential buyers to actually complete the purchase of the products of a firm. It is the most important part of marketing as the ultimate aim of earning profit can be realized through this function.

ii. Logistics:

The second function of marketing is arranging logistics. This involves movement of goods from the places they are produced to the places where they will be consumed (known as the place utility) at the time they are required (known as the time utility). Transportation is essential for the procurement of raw materials and the delivery of finished products to the places nearby the customers.

iii. Storage:

The third function of the marketing department is storage of the products. Since all the goods produced cannot be sold immediately in many cases, the storage becomes a very important marketing function. Goods may be stored either in own stores of a business or using facilities of storage offered by warehousing companies.

iv. Standardization and Grading:

Standardization is the setting up of basic categories or grades for products based on intrinsic physical qualities. This grading involves the process of sorting products into the standard categories that have been established. This may include quantity like weight or size etc. or quality such as colour, shape, appearance, material, taste, sweetness etc.

v. Market Research:

It is the most important element of marketing because all the decisions made are based on correct and timely market information. The firms collect, analyze and interpret facts and information from internal sources, such as records, sales people and findings of the market research department. They also seek facts and information from external sources, such as business publications, government reports and commercial research firms. Marketing activities involve the exchange of a great deal of information, e.g.

- a. The producer must know what consumers want;
- b. The merchant needs to know about producers; and
- c. The consumers want to know about the products he can buy.

6.1.4 Marketing Plan

The marketing plan is a document that shows the marketing strategies and tools that a business wants to undertake in order to deliver quality product to its consumers. A marketing plan is prepared by taking inputs from different persons in the marketing department. These include asking sales team to submit sales estimates, arranging logistics, coordinating with distributors, managing customers' complaints and designing competition strategies for the market.

Contents of a Marketing Plan:

i. Executive Summary:

The executive summary is a brief description of the marketing plan. It offers its readers a snapshot of what is written on the next pages. It quickly conveys its message to the readers on the actions and the strategies for the marketing plan developed by a business.

ii. Current Market Situation:

This portion of the marketing plan describes the current market situation in which the business is planning to introduce its product. The current market situation is analyzed by looking at the industry volumes, big players in the market, consumers buying behaviour and the trend being followed in the market. By studying current

market situation, a business can estimate the potential market size, number of buyers, locations, product features and pricing decisions.

iii. SWOT Analysis:

The SWOT refers to the Strengths, Weaknesses, Opportunities and Threats that a business can have in its market. The area of strength refers to a situation which is internal plus points of a business, whereas, weaknesses show the internal problems and issues that a business is facing. Similarly, opportunities offer a business a potential area for increasing its sales, whereas threats convey a business the potential hurdles in the external environment.

iv. Objectives of Marketing Plan:

Once the SWOT analysis is completed, the overall market picture emerges for a business to set its own targets and objectives related to its products. The objectives of a marketing plan generally includes setting a sales target (monthly or annually), estimating new customers capturing, defining target markets and planning revenues and expenses for getting new markets.

v. Marketing Mix:

After specifying the marketing objectives, a marketing mix is selected by a business to reach its target market and customers. The marketing mix includes defining product design, establishing packaging, deciding pricing, contacting dealers and developing advertisement for the product. All of these activities require developing plans and corresponding implementation strategies to target the different markets and customers by offering them what they want.

vi. Action Programs:

After the development of a marketing mix, the action programs are developed by the marketing team to implement the plans developed in the marketing mix. These action- strategies includes assigning human resources to a project, provision of resources (monetary and non-monetary), setting time tables, establishing performance indicators and devising ways to contact customers. These action programs are developed by the field team to practically implement the marketing mix to achieve the objectives set in the marketing plan.

vii. Budgets Required:

The financial resources are required for every task of the marketing department. These estimates of financial resources includes budgeting for advertisement, sales promotion, discounts, dealers commission, logistics charges, customer retention programs and information technology (software) fees for developing customers data bases. The budget for all these activities should be developed in consultation with the finance department and should be communicated timely to get the required resources on time.

viii. Control Mechanism:

The last part of a marketing plan is devising control mechanisms. The control mechanism refers to a set of activities developed to check the performance of the marketing team with respect to the marketing objectives set in a marketing plan. The control activities are designed to monitor the performance of the marketing team and special managers are assigned to direct the marketing team to stick to their marketing plan.

6.2 PRODUCT DEVELOPMENT

6.2.1 Definition of Product

In the previous pages, we have studied the activities performed in the marketing department of a business. The marketing department functions to capture the customers' needs and wants and communicate these requirements to the production/operations department to design a product as per the customers demand. The products are developed to satisfy the needs of the customers. The profits of a business depend on the efforts of its marketing department in selling the products of the business. To achieve best results, the marketing manager of a business designs a good marketing plan by consulting all other departments in the business.

There are several types of products that a business can offer to its consumers. These include the following:

i. Industrial Products:

These products are designed to be used in the industries or businesses. For example, a plant designed by a company to manufacture a product. These products are usually purchased by the industrial consumers i.e. factories, companies etc.

ii. Convenience Products:

These products are purchased by the consumers with minimum efforts and buy frequently with minimum comparison. These include soft drinks, soaps, detergents, cigarettes etc.

iii. Shopping Products:

These products are purchased by a consumer not on regular basis and by making comparison with respects to the quality, price, design and style. These products include jewelry, airline tickets, clothes, cars etc.

iv. Specialty Products:

These products are purchased by the consumers less frequently and paying more attention to the features of the products by making active comparison. These products include T.V, laptop, refrigerators etc.

v. Unsought Products:

These products are generally used by the consumers rarely. These include contacting charity services, funeral services, blood donation services etc.

6.2.2 Market Segmentation

A target market is divided into several sections and separate strategies for reaching to these consumers are developed. There are different types of market segmentation which are explained below:

i. Geographic Segmentation:

It refers to division of the target market of a business into different geographic parts such as countries, provinces, states, districts, cities etc. It is done to give consumers a sense of localization in the products so that they can feel an attachment with the products.

ii. Demographic Segmentation:

It refers to the division of the target market of a business into various groups based on income, family, gender, education, race, nationality etc. This division of market

results in reaching to the different consumers in understanding and responding to their needs.

iii. Social Segmentation:

This refers to the division of a target market of business into the different sets based on social factors such as religion, culture, rituals, events, gatherings, customs, traditions, language etc. This division helps the business to correctly modify a product to serve its consumers.

iv. Psychographic Segmentation:

Another way to segment a market is to divide the consumers into different groups based on their psychological factors such as emotions, feelings, thoughts, faith etc. This type of segmentation results in devising a product as per the psyche of the consumers bringing them closer to the product.

6.2.3 Product Development

Once the target market is identified and suitable segmentation of the market is done, the next stage is to develop a customers' friendly product to satisfy their needs. The process of product development includes all those steps which are necessary to develop a new product capable of meeting the needs of the consumers.

i. Idea Generation:

The first stage of the product development is the idea generation. The idea generation refers to thinking and discovering a unique business idea to develop a product for the consumers to meet their demands. An idea may come from sales team, internal employees, consumers, suppliers etc.

ii. Idea Screening:

At second stage of the product development, the idea generated in stage 1 is screened and analyzed in depth to consider the possibilities of its implementation to develop a new product. Generally, the production, operations, finance and marketing executives screen an idea for developing a product.

iii. Concept Development and Testing:

Once an idea is approved, the next stage is to convert it into a meaningful product to be offered by the business. The concept development refers to the planning a product based on the idea screened earlier. The initial product is tested internally to seek further views on it before making it to the market.

iv. Marketing Strategy:

Once the features of a product are identified and a concept is developed, the next stage is developing a marketing strategy to deliver the product to the consumers. It includes making decisions about the market segmentation, pricing, promotions, and distribution system.

v. Financial Analysis:

The next stage is to conduct a financial analysis and it includes making sales projections, developing estimates of revenues and costs, estimating balance sheet effects and projecting profits.

vi. Product Development:

At this stage the product is developed in the production/operation department based on the decisions made earlier about its design, packaging, contents, and size. Initially a product is manufactured on small scale and after looking at initial consumer response the full scale production is commended.

6.2.4 Product Development Life Cycle

After studying the product development, we now come to the next topic: the product life cycle. It refers to an analysis of a product based on its lifetime in the market. When a product is developed and marketed to the consumers, it generally receives lesser response. To increase sales, the marketing department of a business develops different strategies: discounts, advertisement, free sampling etc. to capture the new customers. The product development life cycle guides the managers of a business regarding the selection of a particular strategy to reach the maximum number of consumers. The product development life cycle is shown below with respect to the stages of a product.

The above chart shows the stages of product lifecycle and conveys a message to the managers of a business to consider the industry sales and profits with respect to its product and make suitable changes in its offerings to the consumers to satisfy their changing needs and wants. The stages described in the above chart are described below:

i. Development:

The first stage of the product life cycle is the development of the product. It refers to the developing or manufacturing a new product based on the consumers needs. The detailed discussion on this topic is presented in the previous pages.

ii. Introduction:

The second stage of the product life cycle is the introduction of the product in the market. Through sales promotion activities, awareness is created among consumers regarding the product. Above graph shows the introduction of version 1 of the product in the market. At this stage, consumers start buying the product but their number remains low.

iii. Growth:

The next stage of the product life cycle is the growth in sales and profits of a product. The consumers become aware of the product benefits and the number of consumers buying the product starts increasing. The growth phase results in increasing the revenues of the business.

iv. Maturity:

At this stage, the product of a business reaches its climax and maximum numbers of buyers are purchasing the product in the market. This stage shows that a product has reached to all consumers in the targeted market segment and no more market is available for the current version of the product. The chart shows a saturation point where no further consumers can be added here.

v. Decline:

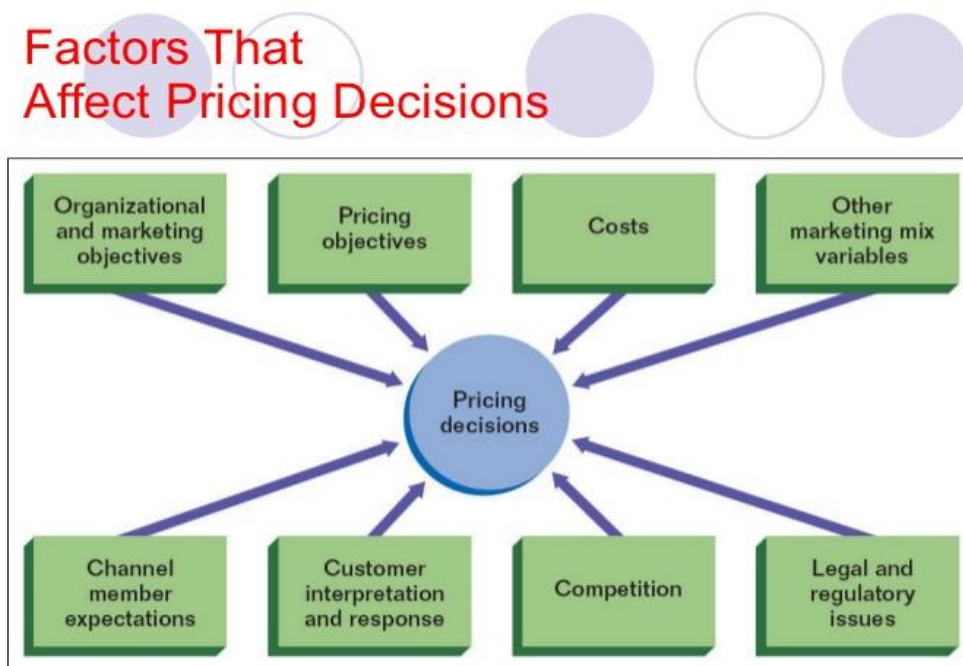
The last stage in the product development life cycle is the decline stage where the sales of a product start decreasing. This may be due to entry of new competitor in the market with a better product or change in the needs of the consumers.

6.3 PRICING & PROMOTION

6.3.1 Determinants of Pricing

In the previous pages, we have studied the initial steps in a marketing process related to the product development. Once a product is developed, the next phase is to market it to the consumers at a suitable price. The determination of this suitable price is a complex task as large number of factors affects the price determination strategies of a product. The marketing team in co-ordination with the finance and production department provides their input for the selecting a price level. If the price of a product is very high, the purchase may become out of reach of many consumers and hence sales volume may decrease. However, if the prices are low, the company may not recover all the costs resulting in lower profitability.

In setting a price, there are several considerations that a marketing manager has to understand. These include the factors listed in the following diagram:



i. **Organizational and Marketing Objectives:**

The first factor to be considered in setting the price of a product is the organizational and marketing objectives. The organizational objectives include achieving a certain profit targets, capturing new markets, offering shareholders certain returns and obtaining prominent position in the market.

The second variable to be considered for the price determination of a product is the pricing objectives of the business. If a business wants to capture new customers, it has to offer discounts and design special offers for them.

iii. Costs:

Another factor to be considered for the determination of the price of a product is to observe its costs of production. If the costs of raw materials, employed labour and factory overheads is increasing then a business has to increase the product costs as it is not possible in the long term for a business to set a price below the costs of production.

iv. Other Marketing Mix Variables:

These variables include advertisement costs, distribution costs, dealers' margins, retailers' commission, packaging costs, etc. A business has to pay attention to these factors for developing a user friendly product at a reasonable price. Further, the costs of maintaining a strong logistics network is also taken into the account for setting a certain price of the product.

v. Channel Member Expectation:

This refers to the expectation of the suppliers, competitors, dealers, distributors, wholesalers, retailers and other industry's players in setting a price of the product. Every industry has its own system of pricing its products and all businesses have to observe it in order to survive in the market. For example, the businesses working in the gold industry, it has to follow the international and national gold prices set on daily basis.

vi. Customer Interpretation and Response:

In setting the price of a product, it is necessary to observe the consumers expectation regarding a product's price. The consumers have made their minds on the basis of their past buying experiences with regard to the price and the quality of a product.

vii. Competition:

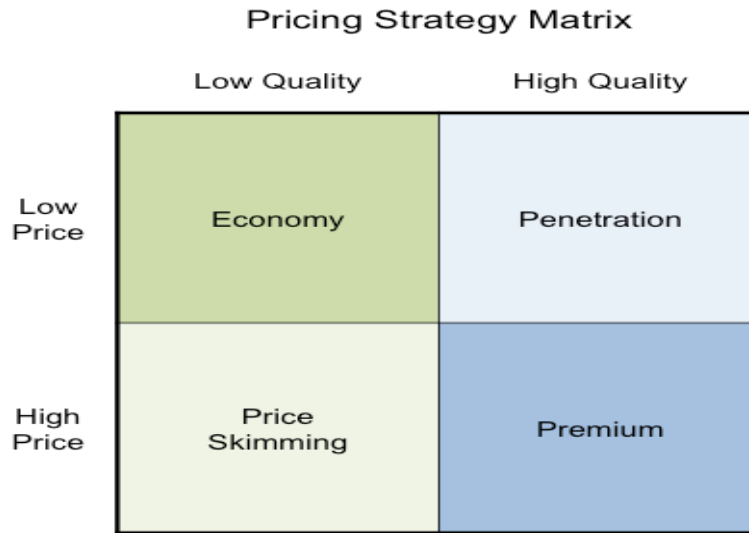
The next factor to be considered for setting the prices of products is the level of competition in the market of the similar products. The consumers who are buying the products of the competitors need to be given special incentives to convince them to buy our products. The higher level of competition among the existing market players forces a business to cut prices to gain new customers.

viii. Legal and Regulatory Issues:

The last factors to be considered for setting the price of a product is the legal and regulatory restrictions imposed by the government. For example, in Pakistan, the price of oil is not set by the businesses but rather it is set by the OGRA (Oil and Gas Regulatory Authority). All businesses operating in oil industry has to follow the government guidelines. If a government decides to fix the price of the product then a business has to re-adjust itself with the new prices profit margins.

6.3.2 Pricing Strategies

These pricing strategies are generally divided into four types based on quality and price of the product: economy, penetration, price skimming and premium. A diagram below depicts the relationship among these strategies with respect to the price and quality of a product.



i. Economy:

As the above diagram shows, the economy strategy is developed for those products which are of low quality and their price is also set at lower level. These products are generally purchased by buyers without paying much attention to the quality. Here, the objective of consumers is to buy a product to save cost and generally consumers buy these products in large quantities. The examples of these products are papers, pencils, disposable utensils etc.

ii. Penetration:

The second pricing strategy for a business is of market penetration. It refers to the adoption of a strategy for entering into a new market to capture new customers. Under this strategy, large discounts are offered to the buyers to attract them to the products. This strategy is adopted to capture a new market, where the products of business are introduced for first time. Examples include discounts on newly established departmental stores, cloth merchants, bakeries etc.

iii. Price Skimming:

Under this strategy, a higher price level is set by a business in the start. Gradually, the price of the product is decreased over time. This type of strategy is generally adopted for innovative products where the costs of research and development of a product is initially recovered from the buyers of the products. The examples of application of this strategy include mobile phones, electronics products, medicines etc.

iv. Premium:

The premium strategy refers to a method of setting price of a product at an artificial higher level to inject a good perception related to product in the minds of the consumers. The premium strategy is selected by a business to attach a higher brand worth among its consumers. Generally, this strategy is followed for fashion products where the buyers care less about the price and more about the contents.

6.3.3 Advertising & Its Types

After deciding the price of a product, the next phase is to promote the product to inform the potential buyers about the features of the products. The promotion of a product is done through advertisement. The advertisement is the paid form of promotion and publicity of a product. This paid form of publicity is used not only to create a demand for the product but also serves as an informative and educational force that aids the consumer in making judgment and adds to his standard of living.

A business may select variety of ways to advertise its products as explained below:

- i. **Primary advertising** is intended to increase an interest and a desire for a certain class of goods.
- ii. **Selective advertising** is done to inform the customers towards the purchase of a particular brand of goods.
- iii. **Mass advertising** appeals to a large section of the population for promotion of the product.
- iv. **Class advertising** is directed at special groups of people such as students, newly married couples etc.
- v. **Name advertising** is used in case of such items as cigarettes etc., and is done to popularize a particular name or brand.
- vi. **Institutional advertising** is used for communicating the benefits of a product to the institutions and organizations related to the sale of any particular merchandise.

6.3.4 Advertising Media

The advertising of a product can be carried out through several ways. A brief discussion on these advertising media is given below:

- i. **Newspapers:**
This is an exceedingly useful media for local merchants who wish to reach all parts of the concerned cities. It has high flexibility in respect of changes that can be made just before going to the press.
- ii. **Magazines:**
For advertisers with nationwide distribution, the fact that most magazines have countrywide coverage makes these media very advantageous. This advertising is not as flexible as that of the newspaper in respect of changes that can be made before publication of an advertisement.
- iii. **Radio:**
It is an excellent medium for territorial selectivity because an advertiser can select just those stations that broadcast into the areas they wishes to reach. It is exceedingly flexible, because its possible effect changes in the copy even while a program is in progress such a thing should become necessary.
- iv. **Television:**
This media offers a combination of the spoken words and the visual presentation of the products and their benefits. It is, however, very costly to advertise on television. Moreover, a viewer has to concentrate on the television ceasing all or most of the other activities at the time of watching TV.
- v. **Direct Mail:**
It can be used by any advertiser due to wide variability of its coverage and covers the form of postcards, letters, etc.

vi. Outdoor Advertising:

It is directed at people who are outside their homes or offices all cover such Medias as posters, bill boards, electronic display etc.

vii. Transportation Advertising:

It reaches the riders in a given locality or with similar interests all is done through railways, buses, etc.

viii. Personal Marketing:

The personal marketing refers to a planned effort by the business to promote the products by hiring the sales agents and sending them door-to-door to convince people to buy the products of the business.

ix. Internet:

In 21st century, the connectivity of computers through internet in all over the world has enabled the businesses to promote their products on placing ads on the websites. These include Google, Facebook, Twitter etc.

x. Other Media:

These include business papers, store displays, packages, and sampling etc. In addition advertising specialties such as calendars, match folders, ash trays, bottle openers, key rings, pencils, rulers etc. are also used for advertising.

6.3.5 Advantages of Advertising

Advantages of Advertising:

- i. Mass production would be impossible without marketing and advertising to generate mass consumption.
- ii. Production and employment are stimulated, thus resulting in increased income and a better standard of living than would be possible if advertising did not exist.
- iii. A more rapid acceptance of new products and major inventions is made possible by advertising.
- iv. New uses for existing products are identified and expanded through advertising.
- v. Consumers are better informed about competing products and their qualities through the information supplied by advertising.
- vi. Expansion of the market through advertising reduces the price of goods because overhead costs are spread over greater production and output.

6.4 PLACEMENT (DISTRIBUTION) OF PRODUCTS

6.4.1 Introduction to Channels of Distribution

Once the decisions regarding product development, pricing and promotions have been made, the next stage is to deliver the product to the consumers. This delivery of product is made through different parties called the distribution channels. These parties include dealers, distributors, wholesalers and retailers. A dealer or distributor is a person who appointed for a specific area to take goods from the business and deliver them to the wholesalers. A wholesaler takes goods from the distributor/ dealer and resells them to the retailers. And finally, retailer sells the goods to the final consumers for ultimate consumption. This distribution network is essential for a business to sell its products in different parts of a country.

i. Location:

The first factor considered for selection of a particular medium of distribution is the location of the dealer or wholesaler. The location of the distribution channel should be closed to the target market of the business and the warehouse/storage of the business.

ii. Consumers' Reach:

The second important factor to be considered for the selection of a particular distribution channel is the consumers' reach to the distribution channel. The consumers should be in a position to visit the retail or wholesale store easily and ideally it should be located close to the populated areas.

iii. Product Safety:

The third factor is the product safety while handing it over to the distribution channel. The product should be handled with care and appropriate measures should be taken by the distribution agent to prevent spoilage and theft. This requires special attention in case of perishable goods or food products.

iv. Commission:

The fourth factor to be considered for developing a distribution strategy is to look at the financial cost in the form of commission, margins etc that a business has to bear while selecting a particular distribution channel. The financial cost should be justified based on the benefits to be received from a distribution system.

v. Logistics:

The last factor to be kept in mind while selecting a particular distribution channel is the arrangement of transport to deliver goods from manufacturer to the dealer/distributor/wholesaler. A business should carefully analyze the transportation infrastructure that it can use to efficiently deliver goods to the distribution agents.

6.4.2 Wholesaling

The term wholesaling is used to cover the activities of all middlemen who move the goods from the producer to the retailer or processor. Wholesaling is the process of selling and distributing goods to the users for reselling purpose or ultimate use by the end users in large quantities. Wholesaling is a step of supply chain in which suppliers, manufacturers, retailers and other users purchase goods from wholesalers, and then sell the products at a higher price to cover costs and generate profits. A pure wholesaler is neither a manufacturer nor a retailer, but merely acts as a link between the producer and the consumer.

Functions of Wholesalers:

- They act as intermediaries between producers and their customers
- They sell goods to other businesses, suppliers, manufacturers, retailers and end users
- They speed the marketing process
- They serve as representatives
- They provide marketing information to the retail industry about trends in each industry
- They research on the products, fashion trends, consumer demand, and retail prices which enable them to buy the product that the retailer will most likely want in the right quantities.

Types of Wholesale Establishments

A. Merchant Wholesalers:

They take the title to the goods in which they deal and buy and sell goods on their own account. They are the most important type of wholesalers. The more important wholesalers in this type are:

i. Wholesale Merchants:

They are regular wholesalers and principally buy goods from distributors/dealers and sell their goods to retailers.

ii. Importers and Exporters:

The importers buy from foreign countries' whereas the exporters sell in the foreign markets largely on wholesale basis for the consumers.

iii. Wagon or Truck Distributors:

They sell to the retailers from their stocks which they carry in their wagons or trucks generally for cash and in original packing.

B. Merchandise Agents and Brokers:

They do business for themselves by negotiating the purchases and sales in domestic and international trade on behalf of their principals who have title to the goods. The important types of agents and brokers are:

i. Manufacturers' Agents:

They are middlemen who sell part of the output of certain manufacturers on an extended contractual basis. Their principal duty is to sell goods in accordance with the desires of their clients and usually represent more than one non-competitive producer.

ii. Merchandise Brokers:

They arrange negotiations between the sellers and the buyers without having direct physical control over the goods. They are also known as brokers. They may represent either a seller or a buyer in any given transaction but not both.

iii. Commission Merchant:

They transact business in their own names on a commission basis for different companies.

iv. Selling Agents:

They are independent business enterprises operating on a commission basis. Their principal function is to sell the entire output of a given line of goods for one or more manufacturers with whom they have contractual relationship as such.

v. Auction Companies:

They sell on wholesale by the method of auction to the consumers in the market and represent sellers of goods.

6.4.3 Retailing

After wholesaling, the next link in the distribution chain is the retailer. The retailer is an intermediary between wholesaler and the ultimate consumer. The retailing is the process of providing goods or services directly to end users for their personal consumption and includes all the activities which are a part of this process.

Types of Retailing Establishments

i. General Stores:

A general store carries a broad range of goods of general use for example a shop carrying grocery items, soap, chips, chocolates etc.

ii. Departmental Stores:

It is basically a group of a number of specialty stores and shops or departments under one management and one roof. A departmental store sells home furnishings, appliances, family apparel, and household linens and dry goods, each in a different part of the store. Centralized shopping is offered to the customer with emphasis upon service.

iii. Specialty Stores:

It carries a narrow product mix with deep product lines. They are sometimes called *limited-line retailers*; if they carry depth in one particular product category, they may be called *single-line retailers*. They are also a type of departmental store but do not offer such merchandise as home furnishings. They sell items such as house wares, furniture, floor coverings etc.

iv. Single Line Stores:

These specialized in one line of merchandise only such as food, shoes, or drugs. They range in size from a very small shop to a large establishment.

v. Super Markets:

They generally sell primarily food, non-food items of grocery and household products. A superstore is a large retail store that carries not only food and non-food products ordinarily found in supermarkets, but also additional product lines. They are generally self-service and attract a large number of customers.

vi. Discount Houses:

They emphasize on price and de-emphasize on the service. They attract the customers by pricing goods below the standard prices and generally sell for cash only.

vii. Mail Order Selling Houses:

They sell through mail only and that also against cash. They attract their customers through advertising.

viii. Consumer Co-operatives:

These are co-operative societies established to provide the goods that are required by their members at an economical price. They have not gained much popularity in Pakistan, due to interference of Government officers of the Cooperative Department.

ix. Chain Stores:

Chain stores are located at different places but are under the same management and in the same kind of business. The distinctive nature of these stores is indicated by the policies that are generally followed in connection with each of the following.

6.4.4 E-Commerce as a Channel of Distribution

The modern age is changing the methods of conducting business specially retailing and wholesaling. The advent of computers connected with high-speed internet has enabled the movement of products from the manufacturers to the distributors, wholesalers and retailers in real time. Some businesses are also experimenting the home-delivery services of orders

placed through internet, mobile or any other electronic media. All these activities fall in the domain of e-commerce which is a computerized way of selling and buying products. The e-commerce is a rapidly growing field and many businesses are opting it in addition to their normal distribution networks to efficiently serve the consumers in the market.

The activities covered in the field of e-commerce are explained below:

i. Suppliers Relations:

Through e-commerce a development of new softwares, the production and distribution of products have become easy and well-connected. The orders of raw materials can be easily placed through computers to the suppliers and any shortage of material can be timely identified and communicated to the supplier. .

ii. Online Retailing:

Allows consumers to search for, evaluate, and order products through the Internet. For many consumers' the advantages of this form of retailing are the 24-hours access, the facility to compare shop, in-home privacy, and variety.

iii. Telemarketing:

Another form of non-store retailing, called telemarketing, involves using the telephone to interact with and sell directly to consumers. Telemarketing is considered to be able to target your market much more focused. Telemarketing is used by insurance companies, loan banks, and newspaper companies.

iv. Mobile Commerce:

Another rapidly growing field within e-commerce is the interaction of consumers with the businesses through their mobile phones or order placing and products' information. The introduction of smart phone and 3G/4G services has enabled the consumers to install applications for purchasing the products of different businesses.

SUMMARY

This unit discussed the role and functions of marketing with a focus on understanding the overall marketing process. The first function of marketing mix is product development and it requires idea generation, screening, analysis and test marketing. Once initial results of a product confirm its acceptance in the consumers, a product is launched on mass scale for the consumers. The next big issue is to set price of the product that is acceptable among the consumers. The pricing policies reflect the nature of competition in the markets the elasticity of demand, the sellers' costs and gross margin. The pricing is dependent on the market competition, product manufacturing costs, organizational objectives, interest rates, shareholders expectations etc. Based on all these factors, a suitable pricing policy is established by a business. Once the pricing issues are resolved, the next point to think is the designing a promotional program for the products of the business. The promotional activities in a business are called advertisement and it requires a spate team for designing advertisements. There are various types of advertising media used such as newspapers, magazines, radio, television, direct mail etc.

And lastly, to send products to the consumers, a business requires a strong distribution channel. The distribution channel refers to the retailers, wholesalers, dealers, distributors, e-commerce agents etc. that delivers the goods to the consumers in markets.

Test Questions:

1. What is marketing? Write a detailed note on various functions of marketing.
2. What is marketing mix? Explain in detail the components of marketing mix for a manufacturing business.
3. What is meant by the product development? Explain the product development life cycle in detail.
4. What is pricing? List down pricing strategies. Explain the factors that affect the pricing decisions of a business.
5. What is advertising? Explain in detail the different types of advertising media available in Pakistan.
6. What is meant by the placement (distribution). Explain the different channels of distribution available to a business.
7. What is retail business? Explain the major types of retailing establishments in Pakistan.
8. What is E-Commerce? Explain the methods and benefits of e-commerce as a distribution network.

Unit–7

BUSINESS SUPPORT SERVICES

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INTRODUCTION

In the previous unit, we have discussed the role of marketing in delivering products to the final consumers. Now, we shall focus on some other useful areas for a business to achieve growth and profitability. These areas include insurance, stock exchange, logistics and e-commerce. The insurance is a mechanism to manage different types of risks in a business as it provides a cover in case of emergency or abnormal loss. The stock exchange offers an opportunity in the modern economic system where companies can get desired financing by offering their shares to the general public. Similarly, the information technology brings a flow in the activities of a business by focusing on operational and strategic needs of the business while dealing with the suppliers and customers. Lastly, the growing field of e-commerce is discussed in this unit to educate students on the role and importance of information technology and its application in business to contact with the customers and suppliers.

OBJECTIVES

The objective of study of this unit is that the student should be able to understand various aspects of business support services and be in a position to understand the following:

1. The nature of the insurance, its principles, and functions.
2. The role and functions of stock exchange and its importance for business.
3. Strategies that are followed by the managers for logistics and transportation needs.
4. Factors which influence the selection of different software for dealing with the consumers and suppliers.
5. E-Commerce as a channel of distribution for delivering the product to the consumers.

7.1 INSURANCE

7.1.1 Introduction to Risk & Insurance

The operations of a business are subject to many risks in the markets. These risks show the uncertainties that a business may face in achieving its objectives. These risks include chance of fire in business premises, loss of materials, transportation losses, employees' injury chances, chances of theft, risk of weather etc. All these situations present a complex set of choices to the business to minimize losses while managing risks. The uncertainties and risks are present in every type of business whether, it is manufacturing concern or a service oriented business. A good manager needs to understand that risks cannot be eliminated from any business, these can only be managed to reduce their impacts on business performance.

The risk management is a process in which potential risks are identified, evaluated and a strategy is selected to deal with them. The first step in a risk management process is to identify the all potential risks in a business. These risks may relate to any area of business where 100% supervision is not possible. Once these risks are identified, the next task is to evaluate them. A business may select any of these four policies to deal with the potential risks. The policy of risk acceptance is selected when the effects of a risk are low on business performance and a specific budget is allocated to manage these risks. The second policy of risk avoidance is selected when the potential risk is area specific and cannot be handled with any policy.

The insurance is a method through which the potential losses of a business are transferred out of the business to a third party that compensates the business in the event of a loss. For this purpose, the insurance company receives fees for rendering such services. In other words, insurance is a mechanism through which the loss is transferred from the business to the insurance company. The business organization pays a particular amount called premium to the insurance company periodically. The insurance company makes payment to the business organization in case of loss. The working of insurance companies is dependent on the type of risks a business is facing and their possible transfer to the insurance companies.

7.1.2 Types of Insurance

The insurance companies offer different schemes to the individual and business customers to meet their specific needs. Generally, insurance companies are divided into two categories: life insurance companies and non-life insurance companies. Another way to study the insurance industry is to understand the insurance companies through the type of insurance they offer. Following is the most common type of insurance services available in Pakistan:

i. Life Insurance:

It is type of insurance in which a person pays premium annually to the insurance company to cover the risk of death. In case of death, the insurance company pays a

particular sum to the legal heirs of the person. This is the most common type of insurance that individuals select to insure their life.

ii. Medical Insurance:

The medical or health insurance works in a way that a person pays regularly a premium to the insurance company and the insurance company promises to pay his medical bills in case of his illness. Generally, the person insured gets treatment from the hospital and the bills are paid to the hospital by the insurance company.

iii. Fire Insurance:

The fire insurance is a type of insurance where a person pays premium to the insurance company to compensate him in the event of fire at the plant, property or house. The fire insurance policy is offered by the insurance companies preferably to the businesses where the effects of loss by fire are larger.

iv. Marine Insurance:

This is the oldest kind of insurance where the business organizations pay a particular premium to the insurance company to compensate them in case of loss of goods placed on a ship. This type of insurance encourages business organizations to participate more in the international trade as the risk of loss is minimized.

v. Auto Insurance:

The auto insurance is offered by the insurance companies for the protection of vehicles. It works in a way that the owner of vehicles pays a regular premium to the insurance company and the insurance company undertakes all risks associated with loss on vehicles including damage, accident, fire, theft etc.

vi. Machinery Insurance:

Another type of insurance is the machinery insurance that targets high value machines used by a business. These high value machines need special attention and a specific insurance policy is designed to compensate the owners of machines in case of their theft or loss by fire.

vii. Liability Insurance:

The liability insurance is generally used by the business organizations where the debtors might default on the trade debts. For this purpose, the business organization or in some cases debtor pays a premium to the insurance company and the insurance company promises to compensate the business organization in case of default by the debtors.

viii. Accident Insurance:

The accident insurance aims at reducing the financial effects on a person incurred through an accident. Generally, a person pays a premium to the insurance company and the insurance company compensates him financially in the case of an accident. The insurance company specifies the limits of financing it can provide according to the type of injury.

ix. Employee Insurance:

Another form of insurance that is practiced by the business organizations is employee insurance. This type of insurance covers a wide variety of injury risks that an employee might face in an industrial unit. The business organization pays the annual premium to the insurance company and in case of any injury to the employee the insurance company compensates to the employee.

x. Islamic Insurance:

The Islamic insurance (Takaful) refers to specific type of agreement in which the Islamic principles of Shariah are followed to design an insurance contract. It is widely practiced in Islamic countries presently and operates on the principles of mutual co-operation and trust. The insured person pays a regular sum to the insurance company that promises him to cover his specific risks.

7.1.3 Principles of Insurance

The insurance companies operate on the basis of certain principles. These principles are fundamental rules of the insurance industry on the basis of which the business of insurance is conducted. These principles are elaborated below:

i. Principle of Utmost Good Faith:

The first principle of insurance is the utmost good faith. It refers to the disclosures of all material facts related to the subject matter of insurance. For example, if a person is intending to insure the building of his business then he is required to disclose all important facts to the insurance companies related to that building. These may include date of construction, expiry period, weather pattern etc. This principle attempts to help insurance companies to decide the subject matter of insurance after considering all material facts.

ii. Principle of Insurable Interest:

The second principle of insurance is the insurable interest that implies a monetary relationship of the subject matter of insurance with the insured person. For example, if a person has insured his car, then it is necessary that the person should have any monetary relationship with the car (ownership, rent etc). If the car is given to a person by his employer then no monetary relationship exist in this case.

iii. Principle of Indemnity:

The principle of indemnity states that the insurance company shall compensate the insured person in the event of loss which is dependent on the happening or non-happening of a contingent event. The insurance company shall measure the amount of loss suffered by a person and the provisions of relevant insurance policy are checked to determine the amount of compensation payable to the insured person.

iv. Principle of Contribution:

The principle of contribution states that the insured person shall contribute a sum called premium to the insurance company for receiving the compensation in the event of loss. The premium is calculated on the basis of amount of compensation that the insured person will receive in the event of loss. The insurance company invests the amounts of premium of received from different persons in some profitable adventures.

v. Principle of Subrogation:

The principle of subrogation states that the insurance company shall receive any benefit after the payment of the compensation money to the insured person. For example, if a building is destroyed by fire, the insured person shall receive the compensation money from the insurance company. However, after the payment of insurance money to the insured person, the insurance company shall get possession of all the scrap of building left after fire.

vi. Principle of Proximate Cause:

The principle of proximate cause states that the insurance company shall compensate the insured person in the event of loss only for those conditions as are mentioned in the contract or insurance policy document. For example, if a person has a life insurance policy and he commits suicide then insurance company is not responsible for paying insured money to the legal heirs of the person as suicide is not covered under the life insurance policy.

7.1.4 Benefits of Insurance

i. Provides Employment:

The first benefit of insurance to the general public is the provision of employment opportunities to the public. The insurance companies employ lot of people in the form of agents and surveyors who works at ground level and persuades people to enter into insurance contracts.

ii. Sources of Capital Investment:

The money people pay to the insurance companies in the form of premium is a source of investment in the country. The insurance companies collect premium from different person and the aggregated amount is invested in the stock exchange or in the government papers.

iii. Means of Savings:

The life insurance enables individuals to set aside a specified sum of money each year and pay it to the insurance company in the form of premium. This practice encourages savings among public and also provides the benefits of life insurance.

iv. Reduction of Losses:

The insurance enables businesses to manage their losses by paying a specified sum to the insurance companies. In the event of loss, the insurance companies compensate the insured person and help him to minimize the losses.

v. Removes Fear & Worries:

Another benefit of insurance is that it removes fear and worries in the minds of insured persons. The insured persons can undertake new risks and business ventures without any fear of abnormal loss as the insurance company promises to compensate them in the event of loss.

vi. Stimulates Business Enterprises:

The main benefit of insurance to the business organizations is that it encourages them to make new investments, take risky projects and purchase new machinery to expand the business operations. The insurance mechanism enables the managers to manage their risks.

vii. Cost Stabilization:

The insurance enables the business organizations to stabilize their costs and minimize their losses. In the absence of insurance, the abnormal losses decrease the profits of a business. The insurance companies promise to pay in the event of loss helps to stabilize the earnings of a business.

7.2 STOCK EXCHANGE

7.2.1 Introduction to Stock Exchange

In unit number four, we have discussed the sources of finance for a business. These sources primarily include bank loan and owners equity. The owners equity in a sole proprietorship and partnership business can be raised easily as the number of owners are small. However, in the case of a company, if the founders want to get funding from general public, they issue shares to the interested persons. Here comes the role of a stock exchange that facilitates the issuance of shares to general public and it also enables further trading of these shares. Through issuance of these shares, a company can have thousands of owners who invest their money in the company.

The stock exchange helps potential investors to purchase shares of different companies and it also provides a platform for further selling of these shares to other persons. Please note that if a person purchases a share from a company, he can only get his money back by selling it on a stock exchange to any other person as the company will not get back its own share on the request of the shareholder. The buying of shares on a stock exchange provides two types of returns (profits) to a person. The first type of return is the dividend that a company announces at the end of a year or quarter and is paid to the shareholders out of the profits of the company. The second type of benefit is the capital gain that a shareholder can make by selling share to any other person on a stock exchange above its purchase price.

Pakistan Stock Exchange

On January 11, 2016, the above mentioned three stock exchanges have been integrated into a single platform under the name of Pakistan Stock Exchange (PSX). The purpose of this integration is to offer a joint platform previously established three stock exchanges to access the capital market in an easy way. Further, the objective of integration of these stock exchanges is to help investors to manage their risks by investing in different stocks. The old stock exchanges of Karachi, Lahore and Islamabad now serve as the trading centers of Pakistan Stock Exchange.

7.2.2 Functions of Stock Exchange

The presence of stock exchange in a country enables the raising of long term funds for corporate and government sector. A stock exchange performs different functions in an economy that facilities companies to get funds and plan expansion of the business. Generally a stock exchange performs the following functions in an economy:

i. Promotion of Capital Formation:

The first role that a stock exchange can play in an economy is the capital formation. It refers to the collection of large amounts of capital for industrial and economic development. The general public invests their money in the shares of companies that helps to start and expand the business activities.

ii. Stimulates Industrial Development:

The second role that a stock exchange can play in an economy is the promotion of industrial development. The establishment of stock exchange in an economy

encourages the managers of a business enterprise to offer their shares to the public and receive funds for establishing new business units to meet local and international demand.

iii. Facilitates Investors:

The forum of stock exchange enables different investors to invest or divest their funds in the shares of various companies. The stock exchange provides the mechanism for buying and selling of shares to the investors. The trading of shares on a stock exchange enables the different investors to buy and sell the shares of different companies as per their performance in order to get reasonable profit.

iv. Encourages Savings:

The establishment of a stock exchange provides a forum to the general public for investing their savings in a profitable method. Through stock exchange, a person can invest his savings in the shares of any company to receive a profitable return. The presence of stock exchange motivates individuals to save out of their incomes for investment.

v. Economic Barometer:

The stock exchange of a country is an economic barometer of the financial and economic performance of a country. Generally, share prices of different companies make up-ward or down-ward movements on the basis of the earnings of the companies. These earnings of companies are dependent on the economic performance of a country and its future economic growth potential. So, the performance of stock exchange in a country shows the strength of its economy.

vi. Ease of Getting Finance:

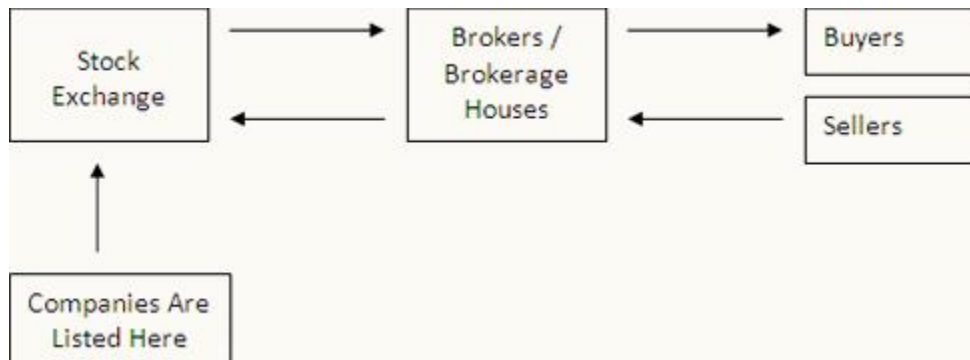
Another role of stock exchange is to enable the companies to easily get required financing from the general public in the form of issuance of shares against a specified amount. The companies are able to get the required funds from the general public by issuing shares. This is comparatively less costly if a company wants to get funds from the banks or other financial institutions.

vii. Transparency in Companies Performance:

The shareholders of the company who buy the shares of the company are concerned about the performance of the company. Through stock exchange, a mechanism is established where the performance of a company is shared with public in the form of annual or quarterly reports shared with shareholders that show the performance of the company (profit, sales, assets etc.).

7.2.3 Working of Stock Exchange

The stock exchange is a part of the capital market in a country that works to generate long term funds for the companies. The stock exchange is generally established in a big city where the number of companies with registered offices is large. The companies list their shares on the stock exchange for trading among the investors. To facilitate traders in the stock exchange, brokers are there to work as an agent for the investors to trade their shares. These brokers are licensed by the stock exchange to execute transactions on behalf of their customers (investors). A stepwise working of the stock exchange is discussed below:



i. Initial Public Offer (IPO):

The first time issuance of shares to the general public is called the Initial Public Offer (IPO). The IPO works in a way that an advertisement is issued in the newspapers asking general public to invest in the shares of company. The IPO process starts with hiring of an investment bank or a broker as an advisor (also called underwriter) to decide the date and price of offering shares to the public. Once a decision is made, the next task is to inform the general public to invest in the shares.

ii. Public Subscription:

After the advertisement is given in the newspapers, the general public studies the profitability and the growth potential of the company. The interested investors may take advice from the investment advisors for evaluating the options for investing in the company. The investors subscribe the shares of the company by filling the form and submitting it to the relevant bank or broker.

iii. Listing of Shares:

Once public has subscribed for the shares, the next step is to allot shares to the investors. These shares are allotted against their applications; the shares of the company are listed on a stock exchange for further trading among the investors. The listing on a stock exchange enables the investors to sell and buy the shares of the company. Please note that once a share is issued to the investors, the company cannot return the money to investors. For taking its money back, the investor needs to approach the stock exchange to sell his shares.

iv. Trading of Shares:

After the listing of the shares on a stock exchange, the next task is to enable the trading of shares of a company. For trading, an agent called broker is involved that facilitates the transactions of buying and selling of shares. The buying and selling of shares is conducted on a registered stock exchange. Generally, only listed public limited companies are allowed to trade their shares on the stock exchange. These transactions of buying and selling of shares is conducted through brokers (agents) who receive their commission.

7.2.4 Benefits of Stock Exchange

A brief discussion of the general benefits that a stock exchange can provide is presented below:

i. Long Term Finance:

The first advantage of a stock exchange is the provision of a platform for getting long term finance for the business. Generally, long term finance is provided by the banks at higher interest rates with strict conditions. The stock exchange in this case presents an alternative to the businessmen to raise long term funds by selling shares to the general public.

ii. Investment Opportunity:

The second benefit that a stock exchange can provide to the general public is the investment opportunity. The shares of different companies are bought and sold on a stock exchange and provides a way to the potential investors to invest their amounts to generate a reasonable return. In the absence of a stock exchange, people are left with only banks to invest their funds in savings accounts.

iii. Economic Stability:

The investment of amounts in the stock exchange enables companies to get required funds and plan for expansion of the business activities. The expansion of business activities creates economic growth and development in an economy. The economic growth sends a positive signal to the potential investors and results in opening of more factories and companies to meet the increasing demand from the consumers.

iv. Raising New Capital:

At the formation stage of a company, it is very difficult to get the funds from the banks or other financial institutions to run the affairs of the business. In this case, the option of Initial Public Offer (IPO) is the most suitable way to raise new funds for the business.

v. Easy to Participate:

The stock exchange is an easy way to invest the savings through agents (brokers). The brokers provide up-dates market news on the performance of companies and economy that shapes the opinion of investors to buy or sell the shares of a particular company.

7.3 INFORMATION TECHNOLOGY (I.T)

7.3.1 Introduction to Information Technology (I.T)

The modern age is dependent on the ever-changing technologies for its various functions. Be it economy, agriculture, governance, security everywhere we are witnessing a shift towards automating tasks. This automation requires a combination of computers, telephones, internet, software and trained personnel. The field of information technology is exactly the same where business managers plan their operations with the help of different useful computers programs. These computers programs are designed to speed-up the tasks performed in the business entities.

As shown above, a business uses software in automating their different activities. These activities include procurement, tasks planning, emails, online orders placing, data analysis, record keeping, production control etc. All these activities have been designed to be performed through software to increase efficiency and reduce costs. The scope of information technology is expanding day-by-day and more fields of business operations are being automated.

The field of information technology has its own requirements that must be met to convert manual tasks into the digital ones. These factors are briefly stated below:

i. Computers/Hardware:

The first factor to be considered for establishing an integrating information technology system in an organization is the availability and quality of computers. The computers of 21st century are capable of performing many tasks at the same time with higher accuracy and faster speed.

ii. Software:

The second requirement for an I.T infrastructure is the presence of software. The software enables the computers to perform their functions in an effective manner. There are various software for different activities in a business organization that performs various tasks. For example, to efficiently record the accounting transaction, there is separate software called Quick Books. Similarly, to manage emails, there is separate software called MS Outlook.

iii. Internet:

The third important factor to be considered for the information technology network is the presence of a reliable internet connection. The internet enables the sharing of documents among the different departments of a business entity and it even helps to send or receive documents to the parties outside the business organization. Further, the internet network helps the business organizations to speed-up their tasks by receiving foreign expertise on certain matters.

iv. I.T Experts:

The fourth factor to be considered for establishing an effective I.T network is the presence of I.T experts. The I.T experts generally called computer experts or system expert who can establish the I.T network, arrange software, suggest compatible computers etc. The computers experts in an organization are the backbone of the I.T network as the design and functioning of the system depends on them.

v. I.T Infrastructure:

The last thing required for establishing a strong and effective I.T system is the establishment of a strong infrastructure for enabling the different computers to perform their tasks effectively. The I.T infrastructure includes electricity, wires, safe building, internet equipment etc. All these things are required for installing a responsive and effective I.T system in a business entity.

7.3.2 Software for Business Use

The advent of modern information technology applications has enabled the automation of certain business functions thereby increasing the speed and efficiency of the business operations. A business organization needs to understand its requirements for adopting the

information technology by selecting a right combination of hardware and software coupled with the trained personnel. A brief description of various software is presented below:

i. Accounting Software:

The first types of software are accounting software used for automating the accounting record keeping functions of a business organization. The accounting data is related to recording of incomes, expenses, assets and liabilities of a business. There is different software available for accounting functions developed by various I.T companies. These include MS Excel, Quick Books, and Peach Tree etc.

ii. Procurement Software:

The second category of software is related to the procurement function of a business origination. This software are designed to improve the purchasing activities of a business in the form of order placing to the suppliers and receiving price quotations. The software used in this category are eBid eXchange, Oracle ERP, SAP – SCM etc.

iii. Production Control Software:

The third category of software is production control software designed for monitoring the production operations of a business. These software are designed for controlling the different processes in a manufacturing concern and streamlining the production activities. The generally used software in this category are Optessa, Synchro Pro, Planet Together etc.

iv. Human Resource Software:

The fourth category of software is called human resource software and is used for controlling the labour working in a business. These software are used for marking attendance of labor, reporting work hours, tracking tasks etc. The generally used software for human resource activities are Web HR, IBM Kenexa, Employee Navigator etc.

v. Compliance Software:

The fifth category of software is compliance software used for communicating with the regulatory authorities in a country. These regulatory authorities includes government departments dealing with the business i.e. tax, labor, finance, courts, municipal etc. These software include Regulatory Compliance, Rivo Compliance Management, Fast Track etc.

vi. Marketing Software:

The sixth category of software is related to the automation of marketing activities in a business. These software are designed to effectively perform the functions of sales promotion, customers engagement, advertising, market research etc. The marketing manager in a business may use several software at the same time to achieve its objectives assigned by the higher management. The generally used marketing software are Connect and Sell, Hub Spot, Oracle Marketing etc.

vii. Management Software:

The last category of software is related to the different management and functional areas of the business organizations. These software are used commonly in all departments in a business for sending or receiving documents, presentations, projects, reports, memos etc. The generally used software for these activities are MS Office and its different applications.

7.3.3 Factors Affecting Selection of Software/I.T Equipment

i. Financial Resources:

The first factor needs to be considered for the selection of software or an I.T equipment is the availability of the financial resources. The available funds or budget are a significant variable for the selection of software. The initial cost of buying software may be high due to the licensing and other agreements. Generally, business organizations require approval from their top management to purchase costly software and a separate budget is allocated for it or a loan is arranged.

ii. Scale of Operations:

The second factor to be considered at the time of buying a software or computer applications is to consider the scale of operations in a business. If a business is large then it needs sophisticated software with large storage system. However, in case of small companies, any software can be used to automate the working of the business. The number of transactions or customers needs to be studied before selecting a software.

iii. Time Available:

The next factor to be considered for the selection of software is time in which a project may become available to the business. If software is in development stage and the business needs it now, then it is not suitable for the business. The software or I.T equipment should always be purchased from a company if it has its timely availability so that the ultimate objective of automation of tasks can be completed.

iv. Training of Manpower:

The third factor to be considered while buying software is to study the level of training required for employees in the business organization for using the software. Similarly, if a business organization is buying a new category of computers then it should carefully understand the training mode and methodology to enable its employees to effectively utilize the I.T equipment.

v. Cultural Factors:

Another important factor to consider is the cultural aspects of a business while planning to automate the tasks through I.T. Some business organizations have a culture of using traditional method of hard paper to record and report their transactions and employees pose a lot of resistance to install a modern I.T system. To overcome this, a specialized training program can be arranged to dispel their fear.

vi. Level of Competition:

The next important factor is the level of competition among the different market players in the industry. If other firms in industry are quickly adopting the technology then the business is required to plan for some technological changes. For example, if the business is operating in media industry which is heavily dependent on technology then the business needs to study different technologies available and plan for I.T equipment.

vii. Industry Practices:

Some industries are heavily dependent on the I.T equipment for executing their operations. For example, telephone companies are strongly dependent on the I.T factors and a firm that is working in the telephone sector needs to adopt latest technology to meet its requirements. Further, these companies need to be aware of the latest technologies and their up-dated versions for quickly processing the transactions.

viii. Safety of Data:

Another important factor needs to be considered at the time of buying new technologies are the safety of data. The data contains all the incomes and expenses details of the business and its leakage to other may cause heavy losses to the business. The data may get a safer position in a software if it is properly protected through passwords and safety walls.

ix. Business Compatibility:

While buying software or I.T equipment, it is important to understand the compatibility of the equipment with the business operations. If the business operations are traditionally manual then it is very difficult to automate tasks with the help of I.T. For example, in a traditional hotel in Pakistan, it is difficult to replace waiters with I.T based equipment to place orders.

x. Customers Demand:

The last factor to understand while adopting a technology is to consider the demand of the customers. The customers pressure force a business to adopt a new technology or modify their operations. For example, many companies in Pakistan are developing their websites for making effective communication to their stakeholders.

Benefits of Software/I.T

The software discussed above are used in business to achieve efficiency in performance of different functions. The information technology set-up in a business is responsible for stream lining the various isolated functions in a business and design suitable methods to provide a platform for shared working environment. The proper use of these software in business also enables the different departments to perform their functions effectively in a coordinated manner. Further, these software are designed to provide an opportunity to the business to monitor their operations and find ways to improve their performance. Although, in a modern business environment, there are numerous benefits a business can avail by employing these software. Some of these are discussed below:

i. Quick Decision:

The first benefit of software is to enable the management of a business with facts and data in real time to make quick decision regarding production and sales. These software capture real time data and have in-built mechanism to report the results to the managers in a business resulting in faster decision making. The data analysis of different options through software enables management to make quick decision.

ii. Easily Editable:

The second benefit of these software is that the data entered into these software is easily editable and can be changed for meeting different organizational needs. For example, costing data can be used to evaluate new orders from the customers to quote best suitable prices to them. Further, these software are capable of modifying and analyzing data in various shapes and scenarios.

iii. Longer Period Storage:

The data is usually stored in hard copy form is dependent on the safety of lockers or buildings. On the other hand, the data stored in software can be used for a longer period of time and can be stored in digital form without caring for physical risks such

as flood, fire, theft. However, the data in digital form should be properly protected through passwords and safety walls.

iv. Lesser Chances of Error:

The data analysis made in manual form takes more time and is prone to human errors and mistakes. On the other hand, the data analysis done through computers and software is more reliable and trustworthy. The numerical and calculation errors are less likely to happen in data analysis done through software. Once these errors are removed, the decision making by the managers regarding the operations of business improves a lot.

v. Reduces Costs:

Another benefit of using software is that lower costs are to be borne by the business. Once licensed software is purchased, the many manual tasks can be computerized that results in saving labour costs. Further, the adoption of software and computers results in automation of tasks that reduces manual labour required for it. The initial cost of purchasing the software is, however, a financial decision that the managers of a business should make after deep analysis.

vi. Reduces Time:

Lastly, an obvious benefit of using information technology is the reduction in time required for processing different data. The software enables the managers in a business to quickly process the raw data and get the required information in order to make meaningful decisions. The time period is significantly reduced in case of software as these automate the operations of a business entity.

7.4 E-COMMERCE

7.4.1 Introduction to E-Commerce?

The advent of modern technologies has enabled businesses on several fronts to improve and expand their operations worldwide. The field of commerce is also experiencing similar changes where trading of goods and services is affected by the growing internet networks. The pace of growth in information technology is so fast that companies in different parts of the world are struggling to meet the consumers requirements. The consumers in 21st century require additional services from the businesses to deliver goods and render services by using information technology in a convenient way.

The field of e-commerce is associated with the use of modern computer technology equipped with latest software connected through internet around the globe. The e-commerce has provided a platform to the sellers of goods and services to expand their operations and target markets even beyond their borders. The applications of e-commerce are enabling the producers to design their products as per their customers requirements. The e-commerce transactions are spreading throughout the world and customers are being served by the manufacturers through e-commerce gateways.

The e-commerce transactions are being conducted in different manners using multiple mediums. These mediums are necessary for the successful completion of an e-commerce

transaction. A brief description of these mediums is provided below:

i. Internet:

The first requirement for conducting e-commerce transactions is the availability of the internet. The internet is connection of various computers through fiber optic cable or wireless medium worldwide that enables the businesses to plan for entering into online system for selling their products.

ii. Website:

The second requirement for an e-commerce platform is developing a dedicated website that can offer products to the consumers. The website should be developed by the I.T experts in a way that represents the true brand value and capable of taking orders from multiple consumers.

iii. Online Payment Mechanism:

A good e-commerce website should be designed in a way to receive online payment for the orders customer placed on the website. The online payment system usually includes a credit card payment system that a customer can use by entering his credit card number and password for making payment to the company.

iv. Delivery Channel:

Once an order has been place by the customer and the payment has been made, the next stage is to deliver the product to the customer at his address. For this, the company needs a reliable delivery channel to send its products to the consumer. The delivery channel usually is handled through maintaining a fleet of motorcycles and vans.

v. Mobile Phone:

The e-commerce transactions are generally done on computers but after the advent of smart phones, the companies are offering their products through smart phone applications operated on a mobile phone. Further, a combination of mobile phone and computer website is also used for placing an order for purchasing products.

7.4.2 Types/Forms of E-Commerce Transactions

The field of e-commerce is very diverse and rich in its contents in a way that e-commerce transactions can be done through different methods. The relationship of customers and supplier can be established through e-commerce websites in a number of ways. The facility of online shopping is available worldwide and offered by many companies in unique ways. A brief description of these methods of doing e-commerce transactions is presented here:

i. Business to Business (B2B):

The first form of e-commerce transaction is the business to business online transaction facilities. This form of e-commerce works in a way that a business that manufacturers the products for other businesses starts offering its products on its website. The buyers of the products are also the other businesses who purchase their goods online.

ii. Business to Consumer (B2C):

The second form of e-commerce transaction is done in the shape of business to consumer mode where a business sells its products to the ultimate consumers for consumption. Here, the website of the business is designed in such a way that a consumer uses the website to place their orders online.

iii. Consumer to Business (C2B):

In this form of e-commerce transactions, the consumers sell their products to different businesses. This is a unique way of doing business where consumers usually form a group and try to sell their product in a better position. Generally, this form of business exists for agricultural products where big companies need farmers output to make further processing. For example, Indian E-Choupal initiative that facilitates farmers to market their products.

iv. Consumer to Consumer (C2C):

These forms of e-commerce transactions work to engage consumers with the other consumers to buy and sell different products. Here, the businesses are excluded and only consumers can exchange their second hand products with each other. This medium of e-commerce is becoming popular in these days. For example, OLX is offering its platform to buy and sell various products through its website.

v. Govt. to Consumer (G2C):

This form of e-commerce transaction is relatively a new phenomenon in Pakistan where Govt. is engaging with its citizens to provide different services. For example, different government departments are now using online mechanism to process different applications submitted by citizens. These include SECP, FBR, NADRA, HEC, Online FIR, Traffic Police, BISP, FPSC etc.

7.4.3 Factors Affecting E-Commerce:

The spread of e-commerce transactions all over the world have been due to the several factors. These factors have pushed-up the transactions and volume of goods and services traded through online medium. A brief description of these factors is presented below:

i. Technology:

The advancement in technological factors has greatly affected the way businesses were conducted earlier. The development of high speed computers, internet networks, communication channels, software and information technology education have enabled the businesses to convert their operations from old physical stores to online websites.

ii. Globalization:

The second enabler of e-commerce is the massive spread of globalization in the world that connected different countries. The main objective of the globalization is to buy and sell goods and services in all over the world. The e-commerce provides that platform where buyers and sellers can connect with each other, no matter where they are from.

iii. Cultural Change:

Another factor that has encouraged businesses to use online shopping mechanism is a cultural change where people are working on full time basis from morning to evening leaving them with lesser time to go and buy products physically in the markets.

iv. Transportation:

The transportation plays the key role in the overall e-commerce process where the online orders placed by the consumers are shipped to customers in different parts of the country or world. The development of modern supply chain system and courier services have opened a new horizon to the business to use this facility to connect with their consumers in real time providing them their products in a quick way.

v. Payment System:

Another key factor that has played its role is development of modern e-commerce system is the designing of a reliable online payment system. The orders placed by different consumers online are processed by the computers through software system installed by different banks.

vi. Supportive Laws:

The whole process of e-commerce is dependent on the laws and regulations developed by the respective governments in the world. In last two decades, it has been observed all over the world that governments have developed friendly laws to support e-commerce transactions. These includes lowering customs duties, reducing taxes and checking requirements, decreasing licensing fees, relaxing banking regulations, allowing courier services etc.

7.4.4 Benefits of E-Commerce

i. Cost Reduction:

The benefit of e-commerce transaction is that it reduces cost of doing business for producer. Due to the presence of online website for shopping, the producer needs little investment in establishing a physical infrastructure.

ii. Vast Reach:

The online mechanism can reach in all countries of the world though internet. The producer will have an advantage of entering into a foreign market without getting other government permissions.

iii. Increase in Sales:

If a business has its physical presence in physical form in a market then it can increase its sales by developing a dedicated website for offering its products online. The online medium works in addition to the existing store and provides extra income to the owners without committing extra funds.

iv. Lesser Storage Cost:

The online method of doing business involves fewer costs for storage and other allied activities. The business organization has to bear lesser cost for developing stores for stocking goods as online orders are immediately passed on to the manufacturers.

v. Customer Interaction:

The e-commerce way of working is interactive and customers' feedback and requirements are received quickly. Further, a product can be customized to meet the requirements of the consumer. The producer can interact in real time with the consumers to know the drawbacks of using the product.

SUMMARY

This unit discussed some business support services that include insurance, stock exchange, information technology and e-commerce. All these four areas support the key business operations in the modern business environment. The insurance a modern mechanism through which a business can safeguard its risks to avoid losses. There are several principles of insurance for designing a suitable insurance policy. Further, an insurance

policy can be designed to cater many categories of risks in a business organization. The protection cover provided by the insurance helps to mitigate potential losses in an enterprise.

The second area, we discussed in this unit is related to the stock exchange where a company can offer its shares to get the required funding for its business. The stock exchange provides a platform to both investors and producers to maximize their returns. In a modern economy, the stock exchange is a symbol of corporate health and provides opportunities to the entrepreneurs to start their business by offering shares at stock exchange. The third area, was related to the information technology where we discussed the role of hardware and software in the automation of tasks to increase business efficiency. The development of modern business software for use in offices, production, sales, accounting etc. has enabled the managers to achieve maximum output using fewer resources. The I.T experts are designing business operations with the help of software to serve customers in quick time and generate reports for management in an accurate manner.

The last area, we discussed here was related to the e-commerce where emphasis was placed on knowing factors behind the rise of e-commerce ventures around the world. Additionally, we also discussed the different forms of e-commerce and studied how business is done in each format.

Test Questions:

1. What is insurance? Discuss in detail the principles of insurance.
2. Explain in detail the different types of insurance policies suitable for a business.
3. Discuss in detail the benefits of insurance for individuals and business organizations.
4. What is a stock exchange? Explain in detail the functions of a stock exchange.
5. Explain in detail the working of a stock exchange. Briefly describe the benefits of a stock exchange.
6. Discuss in detail the functions of information technology in a business. Also list down the commonly used software in business.
7. What are factors that affect the adoption of I.T software and hardware in a business organization? Explain with examples. .
8. What is e-commerce? Explain the different forms of e-commerce.
9. What factors are encouraging companies to move towards adoption of e-commerce technologies? Explain in detail.

Unit–8

REGULATORY ASPECTS OF BUSINESS

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INTRODUCTION

In performing its functions, every business has to abide by some laws designed for the economic welfare and social protection of citizens. To implement these laws, every state has established its regulatory bodies. These laws have been designed by the government in a country and all businesses falling in the limits of a government are required to comply with these laws. These laws have been developed for various purposes: protection of consumers, safety for investors, bringing transparency in business dealings and ensuring a level playing field for all businesses. Generally, businesses work to get maximum benefits in the form of profits from the consumers. However, this profit motive needs to be monitored to prevent the false claims and cheating to the consumers. Further, businesses are taxed all over the world by the governments to get the required finances for the official budget. This taxation role is also performed by designing suitable laws on the part of the government. This unit will discuss in detail all the relevant laws for a business in Pakistan to provide a comprehensive picture of the regulatory compliance.

OBJECTIVES

The objective of study of this unit is that the student should be able to understand various aspects of business laws and be in a position to understand the following:

1. The nature of the business laws and their application.
2. The corporate laws in Pakistan and role of SECP.
3. The labour laws in Pakistan and the rights of labour in industrial establishment.
4. The taxation laws in Pakistan and their compliance requirements.
5. The competition laws in Pakistan and the role of CCP.

8.1 CORPORATE LAWS IN PAKISTAN

8.1.1 Introduction to Corporate Laws

In the modern form, the businesses are conducted by registering as companies. Since, the shares of company can be purchased by any person in country; it has become very difficult to supervise the activities of the business. To protect the interest of shareholders, the corporate laws are designed by the governments to guide companies to conduct their activities in a fair and transparent manner. The corporate laws deal with companies in defining their way of working and provides framework for different corporate matters. These corporate matters include registration of companies, selecting name of the company, issuing shares, conducting meetings, selecting directors, reporting to shareholders, disclosing financial results etc.

The law that deals with the companies in Pakistan is the Companies Act 2017. The responsibility to implement this law rests with the corporate Securities and Exchange Commission of Pakistan (SECP). The SECP has made further rules for the implementation of this law.

i. Formation of Company:

A company can be established in Pakistan as a public limited, private limited, guarantee limited or as a single-member company. The Companies Act 2017 has specified different requirements for each type of company. Once, the name of the company is selected as per legal guidance. After that, the basic documents required for company's formation are prepared. These documents include memorandum of association and articles of association that specifies the objectives, promoters, founders and rules of business for a company.

ii. Issuing Shares:

Once a company is formed, the next step is to get the required funding from the potential investors. To achieve this objective, shares are issued along with a document called prospectus that outlines the reasons for investing in the company. The prospectus presents the detailed picture of the company to the general public and invites investors to buy the shares of company. The general public invests their funds in the shares of the company. The Companies Act 2017 has specified the provisions for issuing shares, treating capital received, transferring shares, allotment of shares etc. The detailed procedure of issuance of shares has already been discussed in unit four.

iii. Conducting Meetings:

Since the number of owners of a company called shareholders is very large, a meeting of the share holders is conducted annually. This annual meeting is called AGM (Annual General Meeting) in which the financial and operational performance of a company is discussed. Further, the appointment of directors and auditors is made through these meetings. The Companies Act 2017 has given the legal provisions with respect to the meetings for a company. These meetings are called by following a specific procedure laid down in the Companies Act 2017 and the related rules.

iv. Appointing Directors & CEO:

The shareholders of a company may be anywhere in the country that makes them unable to regularly review the performance of the company. For monitoring the performance of the company and making long term decisions, directors are selected by the shareholders among themselves. These directors are selected through election by the shareholders and the procedure for the election of directors along with their eligibility is discussed in the various sections of the Companies Act 2017. Similarly, the law specifies the appointment of the Chief Executive Officer (CEO) of the company by the directors to manage the affairs of the company.

v. Accounts and Audit:

The operations of a company are recorded in the accounting records and the Companies Act 2017 outlines the accounting records keeping requirements. A company is required to prepare a consolidated record of all its assets, liabilities, incomes, expenses and capital. Further, an auditor is appointed by the shareholders to check the accounting records of the company to detect any error or fraud. The Companies Act 2017 requires the presentation of detailed financial statements to the shareholders in the annual general meeting.

vi. Winding-Up of Companies:

A company may be wound if the shareholders desire so or it becomes insolvent. The Companies Act 2017 specifies the procedures for winding-up the companies. Similarly, the law also outlines the provisions for insolvency proceedings. Both of these issues are described in detail in the Companies Act 2017 and the procedures for liquidation and insolvency are described in detail in the law.

8.1.2 Memorandum and Articles of Association

Memorandum of Association:

At the time of start of company, a document is prepared that works as a constitution for the company. This document is called the memorandum of association to be submitted at the time of registration of the company. A memorandum of association is the prime document of a company that specifies certain basic facts related to a company. The contents of a memorandum of association are described below:

i. Name Clause:

The name clause specifies the name of the company and it should not be similar with any existing company. Further, the name of a company should end with the words “limited” in case of a public company and “private limited” in case of a private company.

ii. Registered Office Clause:

The registered office clause specifies the place where the registered office of the company is located. The complete address of the registered office should be communicated to the Registrar in SECP.

iii. Object Clause:

The object clause states the objectives for which a company is established. This clause specifies the powers of company for determining the purposes of the doing business. A company may have more than one objective for the business.

iv. Liability Clause:

The liability clause states the nature of liability of a shareholder in case of default of the company. Generally, the shareholders are responsible only to the extent of the face value of the shares held by them.

v. Capital Clause:

The capital clause states the amount of authorized capital for the company. This clause further states the face value of shares and the number of shares as per the capital requirements of the company.

vi. Subscription Clause:

The subscription clause states the names of the persons who subscribed to the memorandum and are the founder members of the company. This clause also shows the addresses and the initial capital contributed by the founder members.

Articles of Association:

The articles of association are a document for the internal management of the company. This document states the way of working of a company and its members in the form of different rules. A brief list of these rules governing different areas for a company is presented below:

- i. Rules regarding share capital, issuance and transfer etc.
- ii. Rules regarding voting rights of shareholders.
- iii. Rules for conducting meetings.
- iv. Rules regarding appointment of auditor.
- v. Rules regarding appointment of CEO.
- vi. Rules regarding election of directors.
- vii. Rules regarding winding-up of company.
- viii. Rules regarding arbitration and cases.
- ix. Rules in respect of commission and brokerage.
- x. Rules regarding seeking debts.
- xi. Rules regarding dividend and its payment.
- xii. Rules regarding powers and functions of directors.

8.1.3 Role of Securities and Exchange Commission of Pakistan (SECP)

The Securities & Exchange Commission of Pakistan (SECP) is the corporate regulator in Pakistan and all companies are required to register with the SECP to start their business. The SECP was formed under the SECP Act 1997 passed by Govt. of Pakistan to regulate the corporate matters of the companies. The SECP Act 1997 grants several powers to the corporate regulator in ensuring the implementation of the Companies Act 2017 and other functions which come under its preview. A brief discussion on these powers and functions is presented here:

i. Corporate Regulator:

The first function of the SECP is the role of corporate regulator which requires registering companies and designing methods to monitor the activities of the companies. Every company is required to file statutory returns (documents showing financial and non-financial information) to the SECP annually.

ii. Capital Market Regulator:

The SECP also acts as the capital market (long term funds market) regulator in the stock exchange. The capital market regulator is responsible for transparent dealing of shares and bonds in the stock exchange ensuring protection to the general investors. The SECP performs its role of the capital market regulator and to achieve this objective it has developed stock exchange regulations.

iii. Issuing Notices/Orders:

The SECP, being the corporate regulator, has authority to issue orders and notifications to the companies requiring them to comply with certain provisions of law. The SECP as a regulator of companies may also call into question certain matters of companies which it may think non-conforming with the law.

iv. Supervising the Corporate Sector:

Another power the SECP possess is the supervision of corporate sector activities and keeping an eye on the annual sales, profits, costs, expansion plans etc of the companies in order to protect the interest of the shareholders. The SECP provides regulatory framework for all corporate matters to be dealt accordingly.

v. Monitoring of NBFCs:

The SECP is also the regulator of Non-Banking Finance Companies (NBFCs) in Pakistan. The NBFCs include mutual funds, modarbas, leasing companies, house finance companies, etc. These financial institutions fall in the preview of the SECP for all regulatory purposes.

vi. Regulating the Insurance Sector:

The insurance companies in Pakistan are subject to the regulations developed by the SECP. The SECP has power to issue orders for efficient functioning of the insurance companies. The insurance companies also periodically report to the SECP by disclosing their financial and non-financial important information.

vii. Appointing Directors/Auditors:

The SECP has power to appoint directors and auditors in case companies fail to appoint them. The SECP exercise this power in order to protect the interest of shareholders who have invested their money in the shares of the company. This power is exercised by the SECP only in exceptional circumstances as generally auditors and directors are appointed by the shareholders.

viii. Securing the Interests of Shareholders:

The SECP works to protect the interests of the stakeholders by requiring companies to make maximum disclosures. The SECP has powers to issue directions to companies requiring them to work in a way to protect the interests of small investors. Generally, this power is exercised at the time of mergers and acquisitions to protect the rights of the shareholders.

8.2 LABOUR LAWS IN PAKISTAN

8.2.1 Introduction to Labour Laws

In Pakistan, many laws have been framed by the Govt. to develop a worker-friendly business environment where the working conditions and reward system should be ideal to encourage a worker to achieve business objectives. These laws aim at ensuring the

workers' rights with respect to good working conditions and payment of salary on time. These laws have been approved by the Govt. of Pakistan in different phases by analyzing the existing working conditions for the industrial and commercial laborers working in Pakistan. The general objectives of a good labour law are following:

i. Good Working Conditions:

A good labour law should ensure the ideal working conditions for labour in an industrial or commercial set-up. The ideal working conditions include sanitation, pollution free, controlled- room temperature, ventilated rooms etc. These facilities enable laborers to work harder to achieve business objectives.

ii. Safety of Workers:

A good labour law should be designed to provide maximum physical safety to the workers. The industrial equipment should be placed in a manner to avoid any accident or loss of life. The factory building and machinery should be designed as per the requirements of the law.

iii. Payment of Fair Wages:

The labour law should be designed to require businesses to pay fair wages to the workers on time without any delay. This requirement should be incorporated in a law by keeping in view the minimum wage requirement in a country.

iv. Old Age Benefits:

A worker generally requires retirement from work due to his/her old age. The old age benefits include gratuity, pension, provident fund etc. that must be given to a worker in recognition of his/her services for the business.

v. Health & Education Facilities:

A good labour law is judged by considering the health and education facilities it promised to the workers. These facilities are generally given under the social security law that provides children education facilities and family medical facilities to the workers.

vi. Equal Opportunities:

A good labour law should be incorporated in way that it requires from employers to provide equality of opportunities to all workers without any regard to the caste or religion. This practice encourages employees to work hard and receive their fair recognition and rewards in the business organization.

8.2.2 Major Labour Laws in Pakistan

The Govt. of Pakistan has incorporated various labour laws to achieve the above mentioned objectives. These laws have been designed by different governments in Pakistan from time-to-time. These labour laws have been passed by either the Federal Govt. of Pakistan or the four Provincial governments. After the 18th amendment in the Constitution of Pakistan, the labour related laws have become a provincial subject with their own labour departments. A brief discussion on these labour laws is provided below:

i. Industrial Relations Act 2012:

The Industrial Relations Act 2012 is a law that deals with labour issues in the Federal Capital Islamabad. The provinces have developed their own legislation for dealing with the labour issues. The Industrial Relations Act 2012 discusses the rights of workers to form association for their mutual benefits. This association is called the

Collective Bargaining Agent (CBA) and the law has specified mechanisms for the elections of trade unions. Further, the dispute resolution mechanisms have been provided and separate provisions have been incorporated to encourage workers to participate in the management of the industrial units.

ii. Provincial Employees Social Security Ordinance 1965:

The Social Security Ordinance 1965 specifies the set of benefits that a worker can receive under different circumstances. For example, it provides legal framework for compensating workers for sickness, injury, disablement, maternity and death. This law also provides the methods for providing pension and gratuity to the survivors. The employers have been asked through this law to contribute regularly to the social security department of their provinces. The social security department of the provinces has established hospitals and schools for the welfare of industrial workers.

iii. Workman's Compensation Act 1923:

The Workman's Compensation Act 1923 provides legal framework for compensating the workers in case of any accident at the work place. The compensation for the workers varies as per their pay and facilities. The accident at work place may result in injury, permanent disablement, loss of body part or death. This law has established a mechanism for providing the financial assistance to the workers or their legal heirs in case of any accident at workplace.

iv. Factories Act 1934:

The Factories Act 1934 provides the framework for the different workers in the industrial establishments. This law also specifies the rules for holidays, health and safety conditions, inspection, sanitation, cleanliness, child labor, working hours and safety mechanisms from machines. The scope of this law also covers the security of workers and equipment from any unfortunate accidents. The presence of emergency exits and fire-fighting equipment is also required under this law. Further, the law also deals with the disposal of waste, provision of canteens, availability of drinking water and other supporting facilities.

v. Employees Old Age Benefits Act 1976:

The Employees Old Age Benefits Act 1976 provides the mechanism for the provision of old age benefits: pension, gratuity, provident fund etc. Under this law, every industrial establishment employing five or more workers are required to register with the Employees Old Age Benefits Institute (EOBI). The employers are required to send the financial contribution to the EOBI regularly for the provision of pension to their workers at the time of retirement. Further, every industrial establishment is encouraged to maintain its own provident and gratuity fund for the retirement of workers.

vi. Workers Welfare Fund Ordinance 1971:

The Workers Welfare Fund Ordinance 1971 deals with the provision of welfare facilities to the workers and their families. Under this law, every company is required to allocate 2% of its total income to the welfare of its employees. This money is managed by the Workers Welfare Board and is spent on construction of houses for the workers, education of workers' children, medical facilities, enhancing skills, training of workers etc. Further, the Board is empowered to develop schemes for the welfare of the industrial workers.

8.2.3 Rights of Workers in Pakistan

i. Right to Get Paid:

The worker is entitled to get paid in every sector of economy. The right to receive fair wage is guaranteed by the Payment of Wages Act 1936. This law ensures the grant of appropriate remuneration to the workers in industrial establishment of Pakistan.

ii. Right to Safety:

The worker is entitled to check the reasonable safety and security environment in the factory before starting working there. The employer is bound under the factories Act 1934 to provide the appropriate safety to the workers in the factory.

iii. Right to Establish Union:

The workers are entitled to form union and establish their associations for the protection of mutual rights. Under the Industrial relations Act 2012 and the respective provincial labour legislation, the workers are allowed to form their unions for resolving their mutual conflicts.

iv. Right to Equal Opportunity:

The employers are under obligation to provide equal opportunity to all workers for their advancement irrespective of their caste, sex or religion. The Factories Act 1934 ensures the right to receive equal opportunity in the factory for all workers.

v. Right to Compensation:

The Workman's Compensation Act 1923 provides the legal cover for any accident or injury to the workers. The amount of compensation is determined accordingly for the worker and it is the responsibility of the employer to pay all those amounts.

vi. Right to Select Occupation:

The worker is entitled to select his/her occupation for adopting any career. The Constitution of Pakistan provides individual freedom to every person for adopting any career or occupation.

vii. Right to Social Security:

The workers in the Industrial Establishment of Pakistan are entitled to receive social security benefits under the Social Security Ordinance 1965. These benefits include medical, educational, recreational and other allied benefits for the workers and their families.

8.2.4 Role of Labour Departments

To ensure the rights of labor, the Govt. of Pakistan has provided the legal mandate to the provincial governments after the 18th amendment in the constitution. The provinces have their labour departments for dealing with all labour related matters. The provincial labour departments have been assigned the responsibility to implement the labour laws in the respective province. These labour laws are in addition to the labour laws discussed above. The provincial labour departments in all the four provinces in Pakistan have devised rules for the effective implementation of the related labour laws.

The provincial governments have mandated the labour department to implement the labour laws and the labour inspectors have been recruited for the inspection and monitoring of the businesses falling in the respective provincial domains. Generally, the labour department

in a province performs the following functions:

i. Registration of Businesses:

The first task of a labour department is to register the businesses falling in its area. This is generally done by the businesses themselves and labour department issues a form to the employers for registering their business. The complete form is submitted in the district labour office and the business is registered with the labour department.

ii. Inspection of Businesses:

The main duty of a labour department is to inspect the different businesses and check the implementation of the labour laws. If there is any deficiency in the implementation of the labour law then a notice is issued to the concerned industrial enterprise. Any violation of the labour law is observed and strict action can be taken by the concerned labour officer.

iii. Monitoring Labour Conditions:

The labour department is responsible for monitoring the conditions of workers in different industrial establishments. The implementation of the provisions of Factories Act 1934 is checked to ensure the safety and security of workers in the factories. The violation on the part of employers is strictly monitored and a notice can be issued for correcting any measure.

iv. Implementing Labour Initiatives:

The government announces different labour initiatives for the welfare of workers. The provincial labour departments are responsible for the implementation of the respective labour initiatives. The labour department through its officers and staff devises methods to implement the government's directions in the different industrial establishments.

v. Imposing Penalties on Businesses:

The labour department is empowered to impose fine and penalties on the factories and industrial establishments for violations of the labour laws. This fine should be based on the degree of violation committed by a business. The fines can be imposed by the concerned labour officer after the inquiry report submitted by the labour inspector.

8.3 TAXATION LAWS IN PAKISTAN

8.3.1 Introduction to Tax System

Tax (from the Latin word *taxo* which means rate) is a financial charge or other levy imposed upon a taxpayer (an individual or legal entity) by a state or the functional equivalent of a state such that failure to pay is punishable by law. The modern government system in the world requires revenues collected from the citizens of a country and in return various services are provided to them. The collection of revenues through taxation is the sole domain of the governments and the money collected from the people is spent on providing education, health, security, infrastructure and other useful facilities to the general public.

The tax system of a country should be designed in such a way to encourage people to pay their tax liability in due time. There are certain principle that guides governments to design

their tax system accordingly. These principles are called cannons of taxation originally given by the Adam Smith: These cannons of taxation are described below:

i. Canon of Equity

The principle aims at providing economic and social justice to the people. According to this principle, every person should pay to the government depending upon his ability to pay. The rich class people should pay higher taxes to the government, because without the protection of the government authorities (Police, Defense, etc.) they could not have earned and enjoyed their income. Adam Smith argued that the taxes should be proportional to income, i.e., citizens should pay the taxes in proportion to the revenue which they respectively enjoy under the protection of the state.

ii. Canon of Certainty

According to Adam Smith, the tax which an individual has to pay should be certain, not arbitrary. The tax payer should know in advance how much tax he has to pay, at what time he has to pay the tax, and in what form the tax is to be paid to the government. In other words, every tax should satisfy the canon of certainty. At the same time a good tax system also ensures that the government is also certain about the amount that will be collected by way of tax.

iii. Canon of Convenience

The mode and timing of tax payment should be as far as possible, convenient to the tax payers. For example, land revenue is collected at time of harvest income tax is deducted at source. A convenient tax system will encourage people to pay tax and will increase tax revenue. The canon of convenience implies that the payment of tax should be easy to people and should not be complex in procedural matters. To ensure convenience, higher number of tax collection offices should be established in all areas in a country to provide easiness to people.

iv. Canon of Economy

This principle states that there should be economy in tax administration. The cost of tax collection should be lower than the amount of tax collected. It may not serve any purpose, if the taxes imposed are widespread but are difficult to administer. Therefore, it would make no sense to impose certain taxes, if it is difficult to administer. The canon of economy implies that the cost benefit analysis should be conducted before imposing a tax in a country. If the cost of collection of tax is more than the revenues a in a particular locality then such type of taxes should be avoided.

8.3.2 Federal Government Taxes in Pakistan

i. Income Tax:

The income tax is imposed in Pakistan through the Income Tax Ordinance 2001. The income tax is payable by the individuals, partnership firms and companies. The income tax is payable on the income generated by a person in a year. The rates of income tax are described by the federal government in the annual budget or finance bill. These rates are charged on the taxable incomes of the persons for calculation of the income tax liability. The revenues collected through income tax contribute approximately 40% to the tax revenues of the country.

I. Personal Income Tax:

All individuals, unregistered firms, associations of persons, etc., are liable to tax, at the rates ranging from 2% to 25% on different income levels. For the purpose of the charge of tax and the computation of total income, all income is classified under the following heads:

- a. Salaries
- b. Income from property;
- c. Income from business or professions
- d. Capital gains; and
- e. Income from other sources.

II. Income Tax on Companies:

All companies incorporated in Pakistan are assessed for the payment of income tax. The income tax rate for companies in Pakistan is 32% on their taxable profits except banking companies which are taxed at 34%. However, the effective rate is likely to differ on account of allowances and exemptions related to industry, location, exports, etc. The income tax on companies which is also called the corporate income tax is calculated by looking at the net profits reported in the annual profit and loss account by a company. This net profit is further adjusted by following the rules of taxation to arrive at the figure of income tax liability.

ii. Customs Duty:

Goods imported and exported from Pakistan are liable to rates of customs duties as prescribed in Customs Act 1969. Customs duties in the form of import duties and export duties constitute about 10% of the total tax receipts. The rate structure of customs duty is determined by a large number of socio-economic factors. However, the general scheme envisages higher rates on luxury items as well as on less essential goods. The import tariff has been given an industrial bias by keeping the duties on industrial plants and machinery and raw material lower than those on consumer goods.

iii. Federal Excise Duty:

The Federal Excise Duty (FED) is charged under Federal Excise Act 2005 on a limited number of goods produced or manufactured, and services provided or rendered in Pakistan. On most of the items Federal Excise Duty is charged on the basis of value or retail price. Some items are, however, chargeable to duty on the basis of weight or quantity. Classification of goods is done in accordance with the Harmonized Commodity Description and Coding system which is being used all over the world. All exports are exempted from Central Excise Duty.

iv. Sales Tax:

Sales Tax is levied under Sales Tax Act 1990 at various stages of economic activity at the general rate (GST) of 17 per cent on:

- a. All goods imported into Pakistan, payable by the importers;
- b. All supplies made in Pakistan by a registered person in the course of furtherance of any business carried on by him;
- c. There is an in-built system of input tax adjustment and a registered person can make adjustment of tax paid at earlier stages against

8.3.3 Provincial Government Taxes in Pakistan

The four provinces of Pakistan have also imposed their own taxes on different transactions. These taxes include provincial sales tax on services, property tax, excise tax, motor vehicle tax, professional tax etc. These taxes are collected in addition to the taxes imposed by the Federal Government. The purpose of these taxes is to collect more revenues for the Provincial Governments to meet their budget objectives. All four provinces have established their own tax collection organizations/authorities that collect these taxes from the individuals and companies. The share of revenue of provinces collect through these taxes is very small and contributes only 5% in the overall share of the tax revenues of the country.

i. Property Tax:

The property tax is collected by the provincial excise and taxation department in all four provinces of Pakistan. This tax is payable on the basis of area covered by a property. Generally, this area limit is applied on the property based on its residential or commercial use. The property tax is paid annually and it is the liability of owner to pay the property tax to the excise department.

ii. Sales Tax on Services:

After the 18th amendment in the Constitution of Pakistan, the collection of sales tax on services has been transferred to the provinces. The provinces have established their revenue authorities or boards for the collection of this tax. The sales tax on services is collected from the advertising agencies, internet, telecom operators, traveling agents etc.

iii. Vehicle Tax:

The vehicle tax also called token tax is paid annually by the owner of the vehicle. This tax is collected through excise offices and post offices where the collection of this tax is made and a token is issued. The vehicle tax is paid on the basis of the capacity of the engine of the vehicle. This tax is needs to be distinguished from the toll tax that is paid by the vehicles operating on roads at different toll plazas.

iv. Professional Tax:

The professional tax is collected by the provincial governments through excise and taxation department. This tax is levied on the professionals working in different fields: engineers, doctors, lawyers, actors, sportsmen, hotel owners, event managers etc. This tax is paid annually and is generally based on a fixed rate to be applied on a income level.

v. Agricultural Tax:

The agricultural tax is imposed on the land owners in rural areas. This tax generally called *maliya* is based on the land area a person possesses. This tax is paid in combination with the water tax or abiyana for using the canal water in the agricultural fields.

8.3.4 Role of the Federal Board of Revenue (FBR)

The government body responsible for collection of income tax in Pakistan is called the Federal Board of Revenue (FBR). The Federal Board of Revenue is empowered through the Income Tax Ordinance 2001 to implement the provisions of the law in Pakistan for the purpose of collection of income tax from individuals, association of persons and companies.

1. To implement the tax administration reforms to improve the tax system in Pakistan;
2. To promote voluntary tax compliance and to make the Board a service oriented organization;
3. To adopt modern effective tax administration methods, information technology systems;
4. To identify and select through Internal Job Posting process the employees for designated jobs;
5. To direct or advise, where necessary, investigation or inquiry into suspected duty tax evasion, tax and commercial fraud, money-laundering, financial crimes cases and to coordinate with the relevant law enforcement agencies;
6. To introduce and maintain a system of accountability of performance, competence and conduct of the employees;
7. To implement the provisions of all the fiscal laws for the time being in force;

8.4 COMPETITION LAW IN PAKISTAN

8.4.1 Introduction to Market Competition

The consumers buy different products in the market depending on their income level and specific needs. These markets function in many ways depending on the availability of suppliers and their products. The competition is the central force in markets that brings improved quality and lesser prices of the goods and services for the consumers. The competition in markets among various sellers depends on the nature of the product. The level of competition remains generally higher in case of daily used products i.e. fruits, vegetables, cosmetics, clothes etc. Similarly, the intensity of competition in a market also affects the price and quality of a product. If the sellers or producers are in large numbers in market then there would be a higher level of competition.

i. Pure or Perfect Competition:

In perfect competition there are large number of sellers in the markets with easy entry and exit from the market. The products are almost similar and no single seller is in a position to control the prices. Generally, this type of competition is present in the fruit, vegetables and clothes markets in Pakistan. The consumers receive their desired quality at lesser prices in the perfect competition.

ii. Monopolistic Competition:

In the monopolistic competition, there are fewer suppliers as compared to the perfect competition. In this type of market, there are some barriers to entry and exit for the sellers. Similarly, sellers are in a position to control the prices to some extent. This type of market exists in Pakistan in banking sector, mobile phones, consumer goods etc. The monopolistic competition reduces the choices available to the consumers and charges them higher for buying the products.

iii. Oligopoly:

This type of market has very fewer sellers with strict control over entry and exit. Further, the control over prices is higher in this type of market. Generally, this type of market exists in Pakistan in telecom, automobile assemblers, real estate developers etc. In oligopoly, the consumers generally pay higher prices as compared to the perfect competition to get their desired products.

iv. Monopoly:

The monopoly is market condition where only single seller is available in the market with no direct completion. This seller has full control over prices and entry and exit from the market is controlled by the government. The monopolies are created by government usually in railways, electricity distribution, arms manufacturing etc. The consumers receive poor quality services in spite of paying higher prices in monopolies.

8.4.2 Key Points of the Competition Act 2010

The competition in Pakistani markets is governed through the Competition Act 2010.

The key points of the Competition Act 2010 are described below:

i. Preventing the Abuse of Dominant Position:

The Competition Act 2010 aims to ensure the fair market practices among the market players. This fair practice demands that no big firm should try to dominate the entire market negatively affecting the prices and quality of the products. In addition to that, this law aims to protect the small businesses from becoming the victim of large firms. The big businesses generally have more money and resources to capture the large market share. The Competition Act 2010 strives to ensure level playing fields for all businesses and prevents the large firms from dominating the markets by offering high discounts and other non-monetary incentives.

ii. Prevention of Deceptive Marketing Practices:

The Competition Act 2010 aims to protecting the interests of the consumers by restricting the businesses from making deceptive advertisements. These advertisements generally targets common people and big promises are made which are deceptive in nature and difficult to fulfill. These advertisements are designed in order to capture more customers resulting in disturbing the fair competition in the markets. The Competition Act 2010 aims to prevent the deceptive marketing practices and it authorizes the CCP to take appropriate measures to prevent businesses from indulging in such practice.

iii. Preventing the Formation of Cartels and Monopolies:

The main reason for distortion of the fair market practices is the formation of cartels and monopolies. A cartel is an agreement among the industry players not to lower prices or providing other due benefits to the consumers. The competition law aims to break these cartels to ensure a healthy competition among the market players. Similarly, monopolies exploit consumers by charging higher prices as there is no alternative product or supplier is available in the market. The CCP is empowered to take action against the monopolies and cartels to ensure a fair competition in the market.

iv. Approving Mergers and Acquisitions:

In merger two or more firms combine themselves to form a large entity and in acquisition one big firm acquires the smaller firm in the market. In both of these situations, there is a risk of domination of market share by a big firm. Therefore, the Competition Act 201 has provided the framework to be followed before mergers and acquisitions. The approval of CCP is required for every transaction involving merger or acquisition. The CCP shall ensure that no such merger or acquisition is allowed where the result of such transaction would be a creation of dominant firm disturbing the market competition.

v. Prohibited Agreements:

The Competition Act 2010 describes certain agreement not good for the state of competition in Pakistan and prohibits these agreements. These include agreements to fix prices, lower production levels, fixing industry-wise employees' wages, allotting market share etc. All these types of agreements are not allowed under the competition law. An Office of Fair Trade (OFT) has been established within the CCP to keep a vigilant eye on the businesses operating in all segments of the economy. The purpose of these measures is to ensure a healthy competition among the businesses that can lower prices and improve quality of the products.

8.4.3 Role of the Competition Commission of Pakistan

The Competition Commission of Pakistan (CCP) was established on 2nd October 2007 under the Competition Ordinance, 2007. The Competition Commission of Pakistan (CCP) performs the following functions under the Competition Act 2010:

i. Conducting Inquiries:

The CCP is empowered to conduct inquiries on any sector of economy or industry where it feels that the fair competition practices are being distorted. Such inquiries are conducted by its officers and the findings of the inquiries become the basis for taking action against organization which is preventing the principles of fair trade.

ii. Issuing Notices:

After inquiry, the CCP can issue notices to the concerned companies or bodies for providing explanation on their business practices. In addition to this, a notice can be issued on the complaint filed by the general public for violation of the provisions of the Competition Act 2010 against any company.

iii. Judicial Hearing:

The CCP can also conduct judicial hearing of a particular matter falling in its jurisdiction. Generally, when a firm violates the competition principles and this fact is endorsed by the CCP inquiry, an opportunity of hearing is provided to the concerned party. The members of CCP work as judge and adjudicate the proceedings related to the case.

iv. Imposing Fine:

After hearing the concerned party if it is proved that the firm has violated the competition rules, the CCP is empowered to impose fine on the firm. The amount of fine depends on the nature of violation committed by a firm. The manner and mode of payment of fine is also disclosed in the judgment or orders issued by the CCP.

v. Receiving Complaints:

Apart from conducting inquiries on its own, the CCP is empowered by the law to receive complaints from the general public related to the violations of the Competition Act 2010. After receiving the complaints, the CCP investigates the case and notices are issued to the concerned parties only after thoroughly analyzing the complaint.

vi. Issuing Guidelines:

The CCP performs its duties as per the Competition Act 2010 and it issues guidelines to the general public and the business firms related to the requirements of the competition law. These guidelines are aimed at educating the producers and consumers on the points that disturb the competition in the markets.

vii. Advising Government:

The CCP is authorized to advise government on the matters related to the competition in the markets. The advice of the CCP is generally related to the government interventions for restoring the competition in the markets, price controls, new competition law and rules.

viii. Approving Mergers & Acquisitions:

A separate office of mergers and acquisitions is established in the CCP and all companies entering into some merger or acquisition transactions are required to get approval from this office. The mergers and acquisitions are first approved by the CCP by checking the impact on the level of competition in the particular industry of the merger or acquisition transaction.

8.4.4 Benefits of Competition in Markets

The competitive market provides enormous benefits to the consumers and producers. The capitalism is an economic system that rests primarily on the spirit of competition among the sellers in market. The competition in markets shows the strength of an economy in meeting the needs and wants of the consumers in it. The human advancement in science and technology is a result of competition where the best possible options are explored.

i. Promotes Innovation:

The competition in markets promotes innovation for the particular range of products. The producers in pure competitive markets identify the needs of the consumers and develop the new products to capture the maximum number of customers and increase the revenues.

ii. Improves Quality:

The constant demand from consumers to improve quality results in creation of an ideal product that meets the needs of the consumers. The producers specially pay attention to needs and wants of the consumers and design the products accordingly.

iii. Lower Prices:

The strong competition in the markets results in lowering the prices for different products in the markets. The producers in order to capture more customers offer discounts and other incentives to the general public. In pure competitive markets, sellers cannot charge abnormal prices from the consumers as there are many options in the market for consumers.

iv. Creates Options:

The consumers generally feel better in the markets where the number of sellers and similar products are higher as this result in creation of more options for the consumers. The availability of more choices of the products for the consumers generates options for doing shopping as per the individual choices.

v. Generates Employment:

The healthy competition in markets generates employment in the economy as the number of sellers are higher and to meet the needs of the consumers the producer are required to plan their production accordingly. More people get the opportunity to start the business and employ other people in competitive markets.

SUMMARY

This unit discussed the role of Securities & Exchange Commission of Pakistan (SECP) is discussed with regard to the implementation of the provisions of the Companies Act 2017. The second set of laws that we have discussed in this unit is related to the labour laws. The labour laws provides the legal framework for the recruitment of employees, payment of wages, old aged benefits, injury benefits, rights of workers, labour union etc. All these points have been discussed in detail and the role of provincial labour departments have been examined to understand the labour law requirements for a business. In third area, we have analyzed the taxation laws in Pakistan and the structure of provincial and federal taxes have been examined. A brief introduction to the income tax, sales tax, excise duty, customs duty, property tax, vehicle etc. has been provided. The role of the Federal Board of Revenue (FBR) has been examined to understand the tax return filing requirements under the laws. Lastly, the competition law in Pakistan is discussed with a view to understand the role a business is required to play in the markets for selling its products. The Competition Act 2010 is studied and the role of the Competition Commission of Pakistan is examined for the purpose of complying with the provisions of the competition act 2010.

Test Questions:

1. What is the difference between memorandum and articles of association? Explain in detail.
2. Explain in detail any six main points of the Companies Act 2017.
3. Discuss in detail the role of the Securities and Exchange Commission of Pakistan (SECP).
4. What are labour rights? Explain in the light of the relevant labour laws in Pakistan?
5. What is the role of the provincial labour departments in the implementation of labour laws?
6. Explain in detail the different types of taxes imposed in Pakistan. What are the benefits of paying taxes?
7. Discuss in detail the role of the Federal Board of Revenue (FBR) in the collection of taxes in Pakistan.
8. What are the different forms of competitive markets? Explain in detail.
9. Discuss in detail the main points of the Competition Act 2010.
10. What is the role of the Competition Commission of Pakistan (CCP) in promotion of competitive markets in Pakistan?

Unit–9

BUSINESS EXPANSION

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INTRODUCTION

When a business achieves its targets in the initial years and customers begin to use the products of the business regularly, the managers in a business feel the desire to expand the business. A business needs to study in depth the market size of its products and design suitable marketing policies to reach the new consumers. The expansion of business is required to meet the demand from the new consumers who are ready to pay for the products of the business. These new consumers may exist in the local market or in the international market. The business expansion brings additional revenues and profits for the firm and every business strive to find ways to expand its operations. A business can be expanded in several ways. This unit will discuss the methods for expanding the business and brief analysis is given for understanding the factors that influences the decision for business expansion. The costs and benefits of business expansion are also presented to enable students to do a comparative analysis for expanding a business.

OBJECTIVES

A general objective of this unit is to equip students with different ways of expanding the business operations. However, this unit will specifically enable students to know the following points regarding business expansion:

1. Understand business expansion and its need.
2. To know the various forms of business expansion.
3. To familiarize with the forms of business combinations.
4. To know why different businesses, join hand for forming business alliances.
5. Knowing the working and forms of exports.

9.1 BUSINESS EXPANSION

9.1.1 Introduction to Business Expansion

The expansion of a business signals the success of the strategies made by a business to satisfy its consumers. The business growth is highly dependent on the effective management skills of the managers working in the business organization. A business expansion or growth can take many forms and shapes in different organizations. Some businesses prefer to introduce new products to get more customers and the related revenues while some other businesses capture new markets or move abroad to sell their existing products. The different business growth strategies are explained through the following diagram:



The above diagram presents four different types of growth strategies that business might adopt for increasing its revenues and profits. These strategies have been explained by considering two angles: markets and products.

i. Market Penetration:

The first strategy is called the market penetration strategy which is applied when a business is planning to achieve growth by participating in the existing market with the same existing products. In this strategy, various techniques are employed by the business to achieve the growth targets. These techniques include offering discounts to the customers, extensive advertising, alliances with industry players etc.

ii. Product Development:

The second strategy is called the product development strategy which is followed by a business when it wants to work in the existing market by offering new products to the existing consumers. This strategy is applied in many ways in different business organizations. These ways include establishing research and development department to develop new product, conducting market surveys, analyzing new customers' requirements etc.

iii. Market Development:

The third strategy is called the market development strategy is applied in a situation when a business is searching for getting additional revenues by selling the existing products. In new market, this strategy is suitable for a business where research and development of new products is slow. The generally used methods to employ this

strategy are moving to new areas for selling the products or engaging in exports to other countries etc.

iv. Diversification:

The fourth strategy is called the diversification and is applied when a business wants to enter into new markets with new products. In this strategy, the market research is conducting to know the needs and wants of the new consumers. Generally, this strategy is applied by using the skills of the market research department to know the customers' requirements and the products are designed accordingly for the new customers.

9.1.2 Reasons for Business Expansion

A business is expanded for several reasons primarily for getting more profits and higher returns for the shareholders. Apart from the monetary considerations, there are several other factors that compel business to plan expansion and achieve growth:

i. Additional Revenues:

The first objective of a business expansion can be the collection of more revenues by adding new customers. The additional revenues of a business lead towards the higher level of profitability of a business. Therefore, the main objective through business expansion comes to a business in the form of additional revenues by serving more customers..

ii. Lowering Costs:

The economies of scale with lower per unit cost for products are achieved through business expansion. If a business has a plant with 100,000 units capacity and is currently operating at 40,000 so by expanding business, capacity can be enhanced to 80,000 units. This will result in lower per unit cost to the business.

iii. Beating the Competitors:

Another objective of the business expansion is beating the competitors in the market to attract customers to use our products. The competitors' takes away the market share for business and a successful business expansion strategy focuses on recapturing the lost market share. Once a business beats its competitors in the market, it becomes very easy for the business to generate higher revenues and profits from that market.

iv. Satisfying Consumers:

Another factor that plays its role in the business expansion is satisfying the needs and wants of the consumers. If a business is run by a professional manager then it must strive to reach that segment of consumers by offering its existing or new products. Once the consumers get an idea about the products of a business, they desire for using that product. This strategy helps in achieving the loyalty and trust of the consumers on the products of the business.

v. Research & Innovation:

A business can expand by analyzing the market trends and customers new wants, a business position itself to develop those products. This whole process of knowing the needs of the consumers results in creation of new products for the consumers which were not previously available in the market.

9.1.3 Forms of Business Expansion

A business can be expanded in many ways depending on the size, number of products and level of competition. The growth of business generally requires more monetary resources, new staff and set of processes to achieve the objectives of expansion. When a business is expanded, new products are introduced, new markets are targeted and every effort is made to get more revenues by persuading customers. Some methods of expanding business are explained below:

i. Establishing New Branches/Plants:

In this form, a business establishes branches in new areas to reach a higher number of consumers. These new branches may be established in new cities where the products of a company are not available. In case of a manufacturing concern, new plant can be established in another city for producing higher number of products..

ii. Introducing New Products:

Another way to expand a business is to introduce new products in the existing market. This method of expansion of a business requires strong research and development department in a business organization where the consumers demand is constantly analyzed and experiments are conducted to develop the new products for the consumers. While introducing new products, a business needs to thoroughly analyze the market position of the existing businesses offering the same products.

iii. Moving to New Markets:

The third method of expanding a business is to enter into new markets where previously a business has no presence. This method involves establishing links with dealers in new markets and offering them discounts for introducing the products of the business in their areas. The capturing new markets require funds for establishing strong distribution networks in the markets.

iv. Business Combinations:

The fourth method to expand a business is to form business combination with some other business. A business combination is formed when a business purchases the other existing business in market or both businesses combine themselves to form a new business organization. Through business combinations, a business might enter into a new market or utilize the existing product mix of a business. For example, a textile firm and a fashion designing firm may combine themselves to offer better quality clothes to their customers.

v. Business Alliances:

A business alliance works in the similar way as of a business combination except that the individual existence of both business entities remain the same. Generally, a business alliance is formed to take advantage of the technological or physical resource sharing among business entities. For example, a telecom service provider may enter into a business alliance with a mobile phone manufacturing company to offer each other services.

vi. Exports:

The exports refer to the entering into new foreign markets of a country. The exports offer an opportunity to a business to introduce its products in the foreign markets to large number of buyers. Through exports a business establishes its presence in the foreign markets and earns additional revenues. The exports of a business generally depend on the policies of the import and export of the concerned countries.

9.1.4 Factors Affecting Business Expansion

The expansion in a business brings several benefits for owners and customers. The expansion also results in bringing more profits to a business concern. However, the expansion of the business depends on several factors as discussed below:

i. Profit Expectations:

The first factor to be considered while expanding a business is the profit expectations that a business might expect from expanding its operations. The prime motive for expanding a business is the forecasted revenues that business might generate over a period of time.

ii. Customers Demand:

The second factor that affects the decision of a business to expand its operations is the demand of the products of the business in a particular market. The customers demand in market may be in the form of unfulfilled needs that are not met by the existing businesses in that locality. Therefore, a business may decide to expand its operations to fulfill the required demand from the customers.

iii. Availability of Funds:

The expansion of the business requires sufficient funds for engaging in the expansion activities. These funds may be in the form of owners capital or the borrowed funds from the bank or other financial institutions. A business cannot be expanded if adequate financial resources are not available with the owners.

iv. Govt. Approvals:

The expansion of the business in the form of exports, alliance, combination etc usually requires some form of Govt. approvals. These Govt. approvals are pre-requisites for undertaking any business expansion activities. To get these Govt. approvals certain formalities are required to be performed by the business.

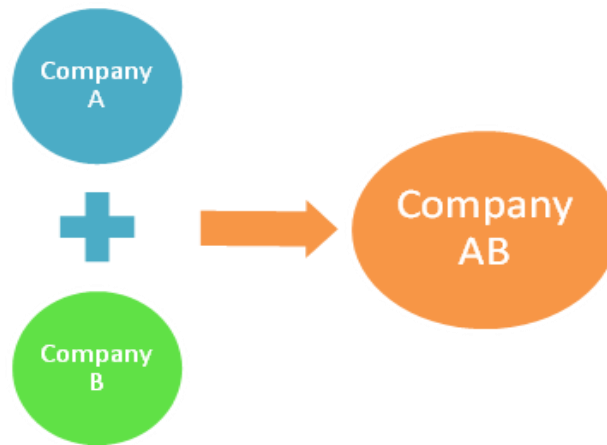
v. Logistics:

The logistics refer to the transportation arrangements among the various business units/branches for ensuring the availability of products and raw materials in the business. A business is required to undertake the necessary logistic activities to manage the all areas related to the expansion of the business.

9.2 BUSINESS COMBINATIONS

9.2.1 Introduction to Business Combinations

In the previous topic, we have studied the concept of business expansion. A business expansion, as earlier discussed, is necessary for the growth of a business, may take several forms. Among the forms of business expansion, we discussed in the last topic, the business combination is a major form. Through business combination, a business may achieve the targets of growth, profitability, cost reductions and higher sales. A business combination may occur in the form of a merger of two or more entities or acquisition of one company by another company.



Reasons for Business Combinations:

A business may be combined for achieving growth, higher profitability and cost reductions. Some of these reasons are discussed below:

i. Cost Savings:

The combination of two companies into a single company results in cost savings related to the administration, selling and other operational costs. The cost savings brings the efficiencies in the business and profits increases over the time. At the time of merger or acquisition, the first objective is to reduce the cost by combining two entities.

ii. Reducing Competition:

By combining two businesses, the level of competition in an industry decreases over the time. This results in saving costs and bringing higher profit margins to the business. However, the lower level of competition in the market may hurt the consumers and careful monitoring by the CCP is necessary to safeguard the consumers' rights.

iii. Market Entry:

Sometimes, a business may enter into a market only by acquiring an existing business or merging with another business. The business combination in this case is caused by the desire of a business to enter in a particular market.

iv. Higher Profits:

The business combinations as we discussed above brings cost savings, hence increase the profits of a business. The higher number of customers is targeted through both businesses and number of products also increases under the combined businesses that bring higher revenues and additional profits.

v. Capacity Utilization:

Sometimes a business may be combined with the other business entity due to the fact that a single business is not able to attract enough customers and operate its production plants accordingly. After the business is combined, the new business entity also utilizes the vacant plant or production capacity of the business.

9.2.2 Forms of Business Combinations

i. Acquisition:

The first form of business combination is called the acquisition where a large business organization purchases or buys the other business entity. In this form of business combination, the business entity who wishes to acquire the other business organization conducts a valuation of the target business organization. This valuation of the business organization can be done by estimating its market potential, costs of assets, revenues potential from the products of the business, processes and machinery installed and distribution networks etc.



ii. Merger:

The second form of business combination is the merger among two or more business firms. A merger is different from the acquisition discussed above in the way that after merger, the name of the company is changed and often the name of the two companies is written together. Before initiating a merger transaction, the interested firms conduct the analysis and valuations of each other. This analysis usually focus on the number of customers of each firm, revenues and profits, range of products, idle capacity of each firm etc. After analyzing the relevant points, the scheme of merger is approved by the shareholders of the concerned business entities.

After approval from the shareholders and the government, the merger takes place and each firm ceases to exist as separate entity and joint business entity is created. Generally, after merger transactions, a new entity is created with a name showing the name of old two firms who have been merged with each other.



iii. Amalgamation/Consolidation:

The third form of business combination is the amalgamation or consolidation of two or more business firms resulting in creation of a new firm. In this method of business combination, two or more business firms combine their operations in a way that a new entity is created and the old business firms cease to exist. The purpose of amalgamation of two or more business firms is to reduce the competition in the market and reduce costs by sharing resources.

The amalgamation or consolidation is generally occurred in large firms where two large entities combine their business operations. The scheme of amalgamation is approved by the shareholders of the concerned business entities and after getting the

government approval, the process of amalgamation is completed.



9.2.3 Factors Affecting Business Combinations:

Two or more businesses can be combined through merger, acquisition or amalgamation as discussed above. However, before entering into business combination transactions, we need to consider several factors as presented below:

i. Financial Resources:

The first factor that affects a business, while considering a combination of the businesses is the availability of the financial resources. If a business wants to acquire the other business entity, then it requires some financial resources or funds to execute this transaction. However, arrangements can be made with some financial institutions to provide debt support to complete a merger or acquisition transaction.

ii. Cultural Differences:

The second factor to be considered while merging or acquiring a business firm is to look at the cultural differences of the concerned business entities. The cultural differences have strong impact on the way of doing tasks in a business. When a business decides to merge with any other business entity, it has to deeply understand the cultural and moral values system of the concerned entity to avoid potential conflicts at the later stage.

iii. Products:

The third factor to be considered for the merger and acquisition transaction is the range of products being produced by the two business entities. If a company is manufacturing the same product and is targeting the same market of consumers then it would be difficult to enter into a merger or acquisition transaction with such entity. However, if there are chances that a business entity can reach to new consumers by merging with the other business firm, then it will prefer such merger.

iv. Profitability:

Before entering into a merger or acquisition transaction, all concerned business firms need to consider the potential impact on the profitability of each firm. If a business firm wants to acquire another business firm which is incurring losses, then a comprehensive analysis is required before acquiring that firm with respect to developing strategies on how to reduce its losses. Sometimes, business entities combine themselves in the form of amalgamation just to increase their profits.

v. Govt. Regulations:

The last factor to be considered here is the requirements of the government laws and regulations for entering into a merger or acquisition transaction. The government before granting approval to any merger or acquisition transaction evaluates the impact of such merger or acquisition on the level of competition in markets. As we have discussed earlier, the market competition is necessary to provide cheaper and quality products to the consumers. The approval of merger and acquisition with respect to market competition is granted by the Competition Commission of Pakistan (CCP).

9.2.4 Benefits of Business Combinations

i. Sharing of Resources:

The merger or acquisition results in sharing of resources by the business entities. The sharing of machines, plants, building, software, manpower etc enables both business entities to increase their productivity and enhances their revenues. This sharing of resources eliminates the needs for new installing new plants or constructing new buildings.

ii. Utilizing Capacity:

The combination of business offers the opportunity to utilize the idle capacity of the plants or machinery in the business entities which was not previously used due to the lower demand and resources. This utilization of the idle capacity reduces the fixed costs of the business and more output is produced by using the existing resources.

iii. Reducing Costs:

The combination of businesses reduces the operating and administration costs of each entity as now a single business entity is formed as a result of merger or acquisition. The reduction in costs directly increases the profits of the business and the financial position of the business is strengthened.

iv. Saving Taxes:

When two business entities merge or acquire each other, the separate tax liability of each business ceases to exist. The combination of two businesses results in payment of single tax liability that reduces the overall tax burden of both business organizations. The savings in taxes brings additional monetary resources to the business.

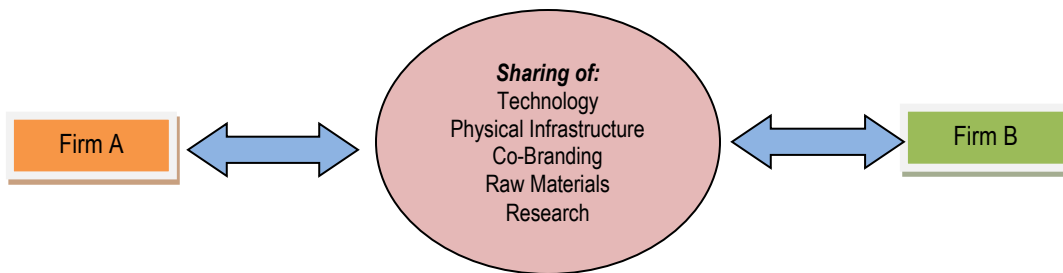
v. Adding New Customers:

The first benefit of combining business activities is the addition of new customers which was not possible previously due to the limited resources of each organization. The additional markets bring new customers resulting in higher sales and profits for the businesses.

9.3 BUSINESS ALLIANCES

9.3.1 Introduction to Business Alliances

In the previous section, we have studied the methods of business combinations where two or more business entities combine their operations and work as a single entity to achieve higher profits and lower costs. Besides business combinations, there are some other ways through which some business entities may work together to increase their revenues and market share without forming a single entity. These ways of integrating business operations are called the business alliances. A business alliance is usually formed by an agreement between two or more business organizations to work jointly on a particular project or product for mutual benefits.



A business alliance agreement is made by two or more business organizations with a view to increase their market share and enhance their revenues together with a reduction in costs of selling, administrating and operations. When business entities plan their alliances with other firms, they undertake deep study of the possible effects of such alliance.

9.3.2 Forms of Business Alliances

The following forms of business alliances are being practiced by the business organizations around the world:

- i. **Franchising:**
In franchising a business firm uses the business model and the brand name of the other business firm usually of a good repute. By using brand name and business model, the firm offers its customers the same experience of products as of the original business firm. When a business firm uses the brand name and the business model of the other firm, it is required to share the revenues or profits in an agreed ratio with the company whose name is being used.
- ii. **Licensing:**
The licensing is a method similar to the franchising in which a business firm offers its brand name or products to the other company. The company that uses the license manufactures and sales the products originally developed by the firm who has given its license. The difference between licensing and franchising is that franchising is word that is mostly used in the service sector while licensing is used for the manufacturing sector activities.
- iii. **Joint Venture:**
A joint venture is a method of working together on the same project by two or more business firms. In joint venture, the business firms agree the mutual responsibilities with respect to the financial resources, manpower, technology etc to produce the common product. A joint venture is formed for a specific product or period and the revenues are shares by the business firms in a pre-agreed ratio.
- iv. **Project Consortium:**
A project consortium works in a way that two or more business entities join hands to complete a particular project within a given time. The business entities share their financial burden in pre-agreed ratio and a mechanism is developed to receive the revenues after the completion of the project. Generally, project consortiums are developed in construction sector where large amounts are involved and different types of skills are required to complete a project.
- v. **Co-Branding:**
Another reform of business alliance is the co-branding where two or more business firms join hands and offer their products in a single pack (bundle form). This type of business alliance offers business firms to reach the new segment of the customers without investing in new infrastructure or distribution networks.

vi. Research Partnership:

Some business firms continuously try to develop new products by experimenting in the laboratories. A small business firm may enter into a research and development agreement with a large business firm to use its equipment and processes in the labs to produce new equipments. This type of business alliance may also work in the form of jointly investing in developing new technologies by giving money and resources to external labs.

vii. Resource Sharing Agreements:

These agreements are designed to share physical or technological resources by the business entities. For example, two I.T companies may share an agreement to exchange their computer programming files to help each other in achieving their targets. Similarly, two telecom companies may enter into partnership for sharing the tower for placing the mobile service equipments.

9.3.3 Factors Affecting Business Alliances

A business alliance is formed between two or more firms primarily to achieve higher revenues and profits. However, every business alliance is dependent on several factors which play a key role in the working of a business alliance. Some of these factors are described below:

i. Profit Potential:

The first factor that motivates the business entities to enter into business alliance is the profit potential in that particular transaction. It's the expectation of future profits that encourages a business entity to enter into an alliance with another business firm. If a business can enhance its profits by 10% by entering into an alliance with a particular firm then it takes deep interest in that transaction.

ii. Financial Resources:

The second factor to be considered while forming a business alliance is the amount of financial resources to be committed for the working of the alliance. Some business alliances requires huge sum of money which may not be available to a small business firm. A good business firm always pre-plan the funds required for a business alliance and cost-benefit analysis is conducted before entering into any business alliance.

iii. Cultural Aspects:

The third factor to be considered while entering into a business alliance is the cultural aspects of each business entity. If the way of working, values system, rewards and performance measurement is different in each business firm then it would become difficult to work together for achieving the common objectives.

iv. Market Potential:

A business alliance works effectively only when there is significant market potential which can only be achieved through business alliance. If there is no market or customers to whom a business alliance can serve, the chances of success of the working of a business alliance are reduced.

v. Nature of Products:

The efficient working of business alliance requires the nature of products to be matched in the business entities entering into alliance. An example is given above where KFC is offering its burgers to the customers with a Pepsi drink. In this case, the nature of products should suit the business requirements of both entities to increase the revenues and profits of each firm.

vi. Distribution Networks:

A business alliance also depends on the nature of distribution networks working in each business entity. An ideal business alliance is entered into by a firm A when it has no distribution network in a particular district or province. In this case firm A enters into a business alliance with firm B which has a significant presence in that district or province.

vii. Govt. Regulations:

Lastly, a business alliance works only when Government of particular country or region allows it. For example, the Govt. of Pakistan has allowed business firms to enter into alliances in manufacturing of electronics and auto products and it has restricted the business alliance in defense production. It depends on Govt. to allow establishing business firms in a particular sector of economy.

9.3.4 Benefits of Business Alliances

A business alliance is formed to increase the revenues and profits for a business. A successful business alliance brings many benefits to a business firm. Practically, two or more business entities enter into a business alliance only after considering the merits and demerits of each other and potential benefits are studied in depth before signing a formal contract for a business alliance. Some of these benefits are discussed below:

i. Business Growth:

The first benefit of a business alliance is the growth of the business in terms of revenues, profits, customers etc. The growth of a business strengthens the financial position of a business resulting in higher return on capital for the shareholders. A business alliance offers an opportunity to the business firms to expand their operations and reach those markets which were inaccessible previously.

ii. Costs Reduction:

The second benefit of a business alliance is the reduction in total cost of doing business as some of activities of the business are now performed by other business organizations. As a result of a business alliance, the capital expenditures, selling, administrative and other operating costs of the business decreases which help to enhance the profits of the business.

iii. Addition of Customers:

The most difficult task in a business entity is to find new customers for making higher sales. In a business alliance, this new set of customers comes directly to the business without making any extra effort or committing large funds for marketing department. The additional customers bring their part of revenues resulting in higher incomes for the business.

iv. Innovation/New Products:

A business alliance offers an opportunity to a business firm to introduce new products as a result of a business alliance. For example, a computer manufacturing firm can offer a new type of product with a business alliance to a software firm. The offering of a new product to the customers enhances the business position of the firm and customers loyalty is captured in the process.

v. Resource Sharing:

Another benefit of business alliance is the resource sharing opportunity provided by the business alliances. It includes sharing of technology, machines, plants, buildings, vehicles, processes etc. The resource sharing opportunity offers a new way to the businesses to enhance their efficiencies and serve their customers in a better way.

9.4 EXPORTS

9.4.1 Exports & Business Expansion

The exports offer an opportunity to the local business firms to sell their products in the international markets (foreign countries). The entry in foreign countries for selling products depends on the approval of the concerned government. Further, the exports of one country are imports of the other country on which customs duty is imposed in some countries. However, due to the vast spread of globalization, the customs duties and foreign firms' entry requirements are decreasing. The globalization is an economic phenomenon which is integrating markets and products by reducing customs duties and other barriers to foreign trade offering foreign products to the consumers in all countries of the world. The exports of a business depend on several factors working in an economy. Some of these factors are explained below:

i. Access to Foreign Markets:

The first factor that affects the decision to export a particular product is the access to foreign markets. A firm can export only if a country allows the exporters of other countries to sell their product in its markets. The access to particular market is granted by the government of the concerned country by taking into account the macro-economic factors.

ii. Foreign Demand:

The second factor that influences the exports is the demand of the particular products in another country. If there is significant number of buyers in a foreign country who may purchase the products of the business then it will encourage a businessman to plan the exports of the particular product to that country.

iii. Access to Finance:

Another factor that plays a crucial role in the working of an export transaction is the access to finance by exporters. The international trade involves foreign currencies for the payment/receipts of a particular transaction. Further, the banks of importers and exporters are engaged to facilitate an export transaction.

iv. Government Regulations:

The decision to export the products by a business firm is influenced by the government policy regarding that a particular sector of the economy. If the government has decided to ban the export of particular product fearing its shortage in the local market then it would become impossible to enter into an export transaction.

v. Competition in International Markets:

The exports of a business are also affected by the level of competition in a particular market or country. If there is high level of competition in a foreign country related to the category of the product which an exporter wants to sell in that particular country, then it would become difficult to achieve reasonable sales volume.

vi. Customs Duties:

Another important point to be considered for the decision to export a particular product to a foreign market is the rate of custom duties or import taxes imposed by the concerned country. If there is a high level of custom duty or import tax in country, then the exporters will be discouraged to sell their product in that country due to the increase in costs.

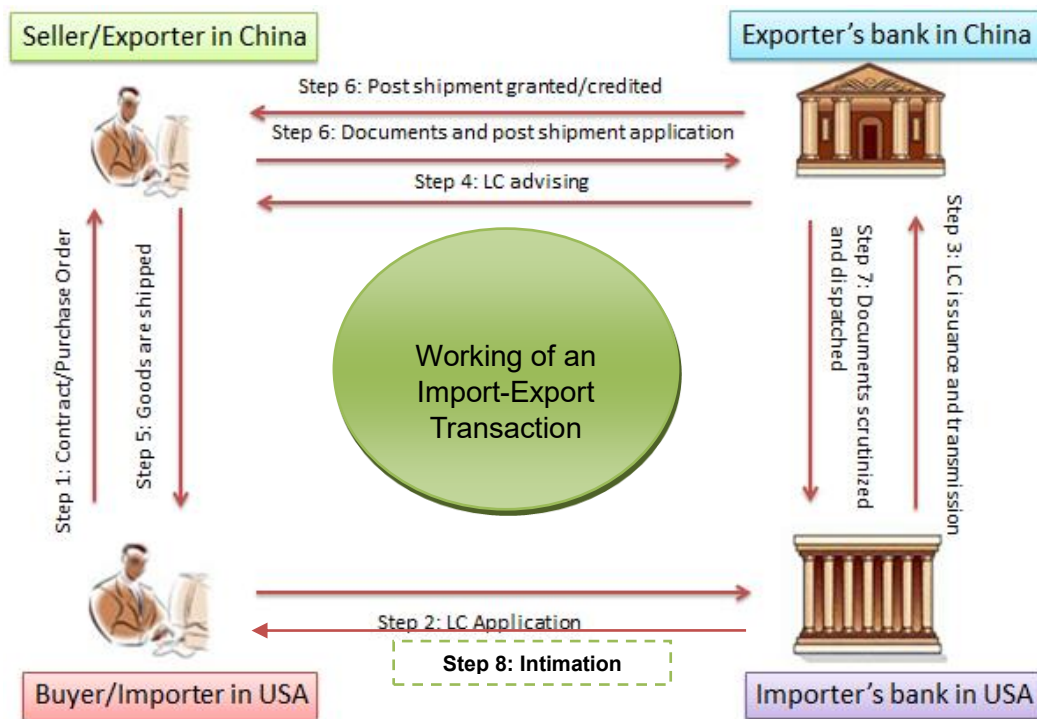
vii. Land or Sea Routes:

The foreign trade is affected by the availability of land or sea route for sending goods to a particular country. If two countries are connected by road or adequate sea route is available, then it will offer an opportunity to the concerned exporters to consider export of their products.

9.4.2 Working of an Export Transactions

After considering the above mentioned factors that affect an export transaction, the practical method of conducting an export transaction is illustrated here. An export transaction is not simple like a domestic market transaction where a product can reach its consumers through only distributors or retailers. In an export transaction at least six parties are involved and many legal documents are prepared to complete the transaction. These six parties include exporter, importer, exporters' bank, importers' bank, insurance company and shipping or transport company.

The mechanism of an export transaction is explained with the help of the following diagram assuming a Chinese Exporter (Seller) and an American Importer (Buyer):



Step 1: The buyer in USA searches for different products in the international market after finding suitable product in China, places an order to the Chinese manufacturer of the product.

Step 2: The seller in China instructs the buyer in USA to issue a Letter of Credit (LC) in an American bank to ensure the payment for the purchase order. The buyer/importer in USA requests its bank to issue a Letter of Credit (LC).

Step 3: The importer's bank in USA after satisfying itself with the financial position of the buyer issues an LC and forwards it to the Chinese bank for ensuring the Chinese seller/exporter.

Step 4: The Chinese bank informs the exporter or seller about the LC received by it from the American bank and advises him to send his products to the American buyer.

Step 5: The Chinese exporter manufactures the product and sends it through a shipping company by sea to the American buyer.

Step 6: At the same time the Chinese exporter sends the documents of the goods sent and other shipping documents to its bank in China.

Step 7: After inspecting documents, the Chinese bank makes payment to the exporter in China against the goods sent by it.

Step 8: The Chinese bank sends the document of the goods and payment details to the American bank and the American bank makes payment to the Chinese bank on the behalf of the importer.

Step 9: The goods reach USA and the American bank intimates the USA buyer/importer to make payment for the goods and receive its title documents for receiving the goods from the seaport.

At the end, the importer in USA makes payment to the USA bank and receives title documents for releasing its goods from the seaport. The importer then goes to the seaport and presents its title documents to the seaport authorities and clears its products sent by the Chinese importer. In this way, an export transaction concludes and the product reaches to its buyer.

9.4.3 Benefits of Exports

A brief list of the benefits that a business firm can get is presented below:

i. Increase in Sales:

The first obvious benefit of exports is the increase in sales volume for a business. An exporting opportunity offers a new market to the business and new customer base is added in the business firm. The increase in sales enables a firm to utilize its full capacity and produce maximum number of products. For example if a business is selling only 100,000 units per month in domestic market of Pakistan then an export opportunity to the Middle Eastern countries of selling 40,000 units per month may offer an additional market to the business.

ii. Higher Profits:

The second benefit that exports bring to a business firm is the increase in the level of profits. These profits are increased due to the two fundamental factors: increase in sales and decrease in costs (fixed costs). As we have discussed above by increase in sales volume, more revenues will accrue to the business firm. of scale (reduction in fixed costs due to higher production volumes).

iii. Foreign Exchange:

The exports are sales to other countries of the world, the payment of which is received in foreign currency usually USA dollar. An exporter gets the dual advantage of increase in sales volume and at the same time gets the foreign currency as payment from the importer.

iv. Discount in Taxes:

The exporters are generally charged at lower rate of taxes in their own country. In the case of Pakistan, the exporters are charged at the rate of zero percent in sales tax for their sales in the international markets. Further, the income tax rate is also very low for exporters usually 1% of the export revenues.

v. International Exposure:

Another factor that works in the favour of exporters is their exposure which they obtain by working in the international markets. This global experience enables them to review their process, add new features to the products, working on quality control dimensions, capturing the tastes and preferences of global consumers etc. The exporter is more customers oriented, market focused, and quality conscious and responsive to changing demands. This additional experience enables him to compete in the international markets and get higher revenues.

vi. Global Opportunities:

Lastly, exports offer an opportunity to the business firms to anticipate the global customer demand and plan their production accordingly. The exporters keep a vigilant eye on the new markets and opportunities arising there for expanding the business operations. The addition of global markets brings a healthy customer base for the business. It also offers a business reap the dividends of the globalization by diversifying their product portfolios.

9.4.4 Role of the Trade Development Authority of Pakistan

The government body that facilitates and regulates the exports in Pakistan is the Trade Development Authority of Pakistan (TDAP). It was established in 2006 to facilitate the exporters in Pakistan to increase their exports. Its old name was the Export Promotion Bureau whose scope was limited with respect to the international trade. The establishment of TDAP in 2006 was made under the context of changing global scenario and the growing influence of World Trade Organization (WTO). The TDAP works under the Ministry of Commerce and performs the role for the implementation of the Trade Policy of Pakistan. The head office of the TDAP is in Karachi with field offices in all four provinces.

The TDAP performs many functions for the promotion of exports of Pakistan. Some of these functions are described below:

i. Conducting Trade Exhibitions:

The first task of the TDAP is to conduct trade exhibitions in Pakistan as well as in foreign countries. The TDAP arranges the EXPO Pakistan every year within Pakistan and offers an opportunity to the local business firms to present their products to the visiting foreign delegates. These exhibitions showcase the Made in Pakistan brands and provide a platform for exchanging the ideas between the exporters and foreign buyers.

ii. Searching New Markets for Exporters:

The TDAP continuously search new markets and opportunities for the exporters in Pakistan. The new markets are searched by the TDAP by keeping in view the trends emerging in the global economy and global demand and supply conditions. A separate research and development department is working within the TDAP to identify such emerging opportunities for the exporters.

iii. Managing Export Development Fund:

The Government in its annual budget provides reasonable amount to be spent on the promotion of the exports of Pakistan. This fund is managed by the TDAP and is used to encourage exporters to reach new markets, introduce new products, devising mechanism to ensure compliance with quality control standards etc. The purpose of this fund is to enhance the exports of Pakistan by offering attractive incentives to the exporters.

iv. Implementing Trade Policy Initiatives:

The Ministry of Commerce develops Trade Policy of Pakistan and fixes the targets to be achieved in next five to ten years. The TDAP acts as an implementing body for the Ministry of Commerce and tries to achieve the exports objectives set in the Trade Policy of Pakistan. The TDAP ensures the implementation of the trade policy and strives to achieve the exports targets set by the Federal Government of Pakistan.

v. Sending Trade Delegations:

The second task of the TDAP is to send trade delegations in the different trade shows organized around the world. These trade shows are organized by the different countries of the world offering an opportunity to the exporters to display their products. The TDAP provides technical and financial support to the trade delegations from Pakistan.

SUMMARY

This unit discussed the methods of business expansion and analyzed different situations under which a business can plan its expansion. A business expansion is always planned after making a business competitive in the local market. Once a business has achieved a level of financial strength then the plans for expanding the operations are devised to increase sales and profits. The first form of business expansion is discussed under the title of business combinations where two or more entities combine their operations to save costs and increase revenues. These forms of business combinations include acquisition, merger and consolidation. In acquisition a large firm acquire smaller firm for the expansion of its operation while in merger two or more entities combine their operations. In consolidation two or more business entities join their operations and form a new entity to compete in the market. Lastly, the area of exports is discussed as a method of expanding the business operations. The exports offer an opportunity for a business to expand in the global markets and get additional revenues. The Government of Pakistan has established the Trade Development Authority of Pakistan (TDAP) for facilitating the exporters to expand their business operations in the international markets.

Test Questions:

1. What is the difference between memorandum and articles of association? Explain in detail.
2. Explain in detail any six main points of the Companies Ordinance 1984.
3. Discuss in detail the role of the Securities and Exchange Commission of Pakistan (SECP).
4. What are labour rights? Explain in the light of the relevant labour laws in Pakistan?
5. What is the role of the provincial labour departments in the implementation of labor laws?
6. Explain in detail the different types of taxes imposed in Pakistan. What are benefits of paying taxes?
7. Discuss in detail the role of the Federal Board of Revenue (FBR) in the collection of taxes in Pakistan.
8. What are the different forms of competitive markets? Explain in detail.
9. Discuss in detail the main points of the Competition Act 2010.
10. What is role of the Competition Commission of Pakistan (CCP) in promotion of competitive markets in Pakistan?

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